

Terumo Report 2024

TERUMO

Group Mission

Contributing to Society through Healthcare

We contribute to society by providing valued products and services in the healthcare market and by responding to the needs of patients and healthcare professionals.

Core Values

Respect — Appreciative of others

We show respect and appreciation toward associates, customers, and business partners.
We value individuality and diverse cultures, and listen widely and carefully to different opinions and the voice of society.

Integrity — Guided by our mission

As associates of Terumo Group, responsible for life and health, we always act with sincerity and a sense of mission.
Through our daily efforts, we build trust among all stakeholders.

Care — Empathetic to patients

We are mindful that everything we do ultimately connects us to patients.
We strive to understand healthcare providers deeply and work together with them to give patients a better future.

Quality — Committed to excellence

To ensure safety and reliability in healthcare, we view each issue from a "gemba" perspective in order to find the optimal solution.
As well as product quality, we pursue excellence in all we do, from product supply to customer care.

Creativity — Striving for innovation

We promote a mindset that embraces challenge for the future, and work with curiosity and passion.
We respond to the needs of "gemba" by delivering products and services that create meaningful value in a timely manner.

* Terumo uses the term "associates" to refer to our employees, emphasizing the idea of employees as partners with whom we work together.

Contents

1 Group Mission and Core Values
2 Contents
3 Editorial policy
4 CEO message
8 Value creation process
10 Terumo Group at a glance
11 CFO message
13 CHRO message
15 Outline of the GS26 five-year growth strategy
17 CSV and ESG themes of the GS26

20 Company-specific strategies
20 Cardiac and Vascular Company
23 Medical Care Solutions Company
26 Blood and Cell Technologies Company

29 Sustainability at the Terumo Group
33 Environment
34 EHS management
36 Development of environmentally friendly and safe products
38 Initiatives to address climate change
44 Effective utilization of resources and initiatives to realize a circular economy
46 Effective utilization of water resources
47 Proper control of chemical substances
48 Initiatives for biodiversity conservation

49 Society
50 Quality and safety of products and services
53 Procurement
55 Human resources
70 Human rights
71 Contribution to society and local communities

74 Governance
75 Corporate governance
84 Dialogue between the Chairman of the Board and an Independent Director
87 Leadership team
90 Dialogue with shareholders and investors
91 Risk management
96 Compliance

100 Data sheets
101 Ten-year financial summary
102 Human resources and labor data
104 Environmental data
109 Independent assurance statement
111 Corporate information

Editorial policy

Editorial policy

At Terumo, we issue our integrated report, the "Terumo Report," to provide stakeholders, including shareholders and investors, with a clear understanding of our comprehensive efforts toward medium- to long-term value creation and enhancing corporate value. The first half of the report focuses on the Terumo Group's overall management policies, medium- to long-term growth strategies, and initiatives to create social value (CSV) by addressing medical challenges. The latter half provides a comprehensive overview of our approach to sustainability management, priorities, organizational structures, and ESG initiatives that support CSV, together with relevant data.

Information disclosure framework

Business/financial information	Non-financial information
Terumo Report	
Investor relations website https://www.terumo.com/investors • Financial results and presentation materials • Information relating to the five-year growth strategy • Terumo Corporation consolidated financial statements and notes • Information relating to the general meeting of shareholders • Stock information, etc.	Sustainability website https://www.terumo.com/sustainability • Sustainability policy, management structure, and priorities • Highlights of sustainability initiatives • GRI Standards Index, etc. Corporate Governance Report https://www.terumo.com/about/governance

Coverage

Report coverage includes, in principle, those elements of the global Terumo Group falling within the scope of consolidated earnings statements. When the scope differs from that described above, notification is provided individually.

Reporting period

The reporting period is fiscal year 2023, from April 1, 2023, through March 31, 2024, and includes some activities occurring before and after that period. (In this report, fiscal year 2023, which ended March 31, 2024, is referred to as "fiscal 2023," and other fiscal years are referred to accordingly.)

Adoption of International Financial Reporting Standards

Beginning with its financial results announcement for fiscal 2017, Terumo has adopted International Financial Reporting Standards (IFRS) with the goal of making its financial information more easily comparable to that of companies around the world and to improve management accuracy and strengthen corporate governance through the global application of uniform rules.

Cautionary statement regarding forward-looking statements

Forward-looking statements in this report, including financial projections, are based upon assumptions using information available at the time and are not intended to be a guarantee of future events or performance. Accordingly, it should be noted that actual results may differ from forecasts and projections due to various factors. Factors affecting actual results include, but are not limited to, changes in the economic conditions surrounding Terumo, fluctuations in foreign exchange rates, and the state of competition. Information on market share in this report is partly derived from our own independent research. Information about products (including products currently in development) included in this report is not intended to constitute advertising or medical advice.

Referenced guidelines

- GRI Sustainability Reporting Standards
- SASB Standards
- Task Force on Climate-related Financial Disclosures (TCFD)
- Japanese Ministry of the Environment, Environmental Reporting Guidelines 2018

Dedicated to tackling healthcare challenges with sincerity and creating new value



Hikaru Samejima
Chief Executive Officer

Reflections and future vision on taking office as CEO

I am Hikaru Samejima, the newly appointed CEO. Assuming the role of top management is a sobering responsibility, one that I embrace with great seriousness. I joined Terumo in 2002, where I started my career in the Strategic Planning Department. There, I was responsible for overseeing several acquisitions, notably Vascutek in Scotland in 2002 and MicroVention in the U.S. in 2006. I am very pleased that these two businesses are pivotal to Terumo's growth, contributing significantly to life-saving medical care for patients who have suffered aortic aneurysms and strokes. From 2007, I was in charge of the TIS division of the Cardiac and Vascular Company. In 2017, I became the President of the Cardiac and Vascular Company, leading its global expansion. Beginning in 2020, I also served as the President of the Medical Care Solutions Company, where I focused on expanding our business primarily for medical institutions (including some home use), and alliance business with pharmaceutical companies.

Since joining the company, I have consistently focused on how Terumo's products and services benefit society. Specifically, I have been dedicated to contributing to advancing healthcare, solving challenges in medical settings, and enhancing patients' quality of life. I have also been mindful of balancing the company's globalization and business growth. Based on my experience, I am confident that we can ensure Terumo's continued development by doing the right things in the right way. I will maintain this unwavering belief and strive to make our company capable of addressing the rapidly changing healthcare challenges and needs in the future. Building this foundation with an eye toward the next 100 years would bring me immense happiness.

New leadership team policies: What will change and what will remain unchanged

Since its establishment in 1921, Terumo has been dedicated to supporting the advancement of healthcare by sincerely and faithfully addressing healthcare challenges under its Group Mission of "Contributing to Society through Healthcare." At the time of the company's founding, improving public health was a critical social issue in Japan due to the Spanish flu epidemic. In response, doctors, engineers, entrepreneurs, and experts in many other fields united with a shared vision to start manufacturing thermometers domestically, marking the beginning of Terumo. In the 1960s, the reuse of syringes led to the spread of infectious diseases, becoming a significant social issue. To solve this issue, we shifted our development focus towards disposable medical devices to reduce the risk of infection and ease the burden on healthcare workers. This change resulted in a gradual decrease in the incidence of infectious diseases and an increase in the population's average life expectancy. However, as living standards improved, new health challenges emerged, including cancer, cardiovascular diseases, and diabetes. To address these issues, we have been developing medical devices and services for minimally invasive treatments to enhance patients' quality of life. Currently, to meet the growing societal need for extending healthy life expectancy, we are exploring personalized medicine, which focuses on early detection and optimized treatments tailored to each patient's specific symptoms and conditions. Through this approach, Terumo has expanded its business by offering solutions to the social issues of each era, progressing alongside medical advancements. As a result, our products and services are now utilized in medical institutions across over 160 countries and regions worldwide. Being a part of such socially significant work brings me joy and pride, and I am excited about Terumo's vast potential. Together with our associates, I am committed to maximizing this potential, striving to make Terumo a company that is trusted, respected, and chosen globally.

When we turn our attention to healthcare, in which we are deeply involved, we see remarkable and relentless progress. Healthcare needs are becoming increasingly diverse and complex, encompassing coexistence with chronic diseases due to an aging society, the rising burden of healthcare expenses and insurance premiums, the strain on medical resources, the shortage of healthcare workers, disparities in healthcare, the expansion of biopharmaceuticals, and the balance between advanced healthcare and economic efficiency. We must respond sensitively to these changing healthcare environments and deliver value to the medical settings. This value means providing solutions that address the problems and challenges faced by medical institutions, healthcare professionals, and patients.

Considering Terumo's journey thus far and future healthcare needs, the framework of our five-year growth strategy, "GS26," remains unchanged. The vision of "From Devices to Solutions" and the three focus areas of "Delivery," "Digital," and "Deviceuticals" clearly define the future direction of Terumo. In terms of financial goals, we continue to aim for our targets, including high single-digit revenue growth, an operating margin of at least 20%, and an ROIC of 10% or more, all from growth, ability, and capital efficiency. This fiscal year marks the third year of GS26, and our performance is progressing smoothly. However, we will also strive for further growth, looking ahead to the next five to ten years.

While leveraging Terumo's traditions and strengths cultivated over the more than 100 years of our history, we aim to steer our management with a future-oriented perspective, carefully discerning what should remain unchanged and what should evolve.

First, I would like to address what should remain unchanged. In my view, the foremost strength of Terumo lies in our Group Mission of "Contributing to Society through Healthcare," which has always been firmly rooted in many of our associates. This mission serves as the source of intrinsic motivation for each individual and supports over 30,000 associates worldwide. In addition, our "Core Values," which provide a foundation for decision-making, and the "Terumo Group Code of Conduct," which serves as a guide for proper behavior, are guiding principles for all associates, including the management team. Furthermore, ensuring the uninterrupted provision of healthcare, i.e., the stable supply of products and services, is our responsibility. In 2018, while I was leading the Cardiac and Vascular Company, we faced shipping delays for certain products. These delays were due to a review of the sterilization process evaluation methods at one of our key facilities, the Ashitaka Factory. Unfortunately, this situation caused significant inconvenience in medical settings. As a company involved in healthcare, we are dedicated to ensuring that such a bitter experience is never repeated. Developing and manufacturing high-quality medical devices supported by reliable technology is non-negotiable. Our commitment to producing products with consistent and uniform quality—those that are "the same every time you use them" and "the same regardless of the item chosen"—is essential to providing security and value to healthcare professionals and patients. This commitment will remain unwavering.

Vision for the next 10 years

From Devices to Solutions

Delivering solutions to 21st-century healthcare challenges

Focus in solutions: The 3Ds

01. Delivery	02. Digital	03. Deviceuticals
High-value-added biological access and delivery for advanced medical care	Disease-based approach focused on improving long-term patient QOL (patient journey)	Maximize drug effectiveness through innovative devices



On the other hand, we recognize that changes are also necessary. As the social environment surrounding healthcare undergoes rapid transformation, I aim to manage with a healthy sense of urgency. The challenges we face are becoming increasingly complex and severe, and unfortunately, there are limits to what can be solved simply by providing products. Therefore, we must harness our creativity to provide solutions that meet the needs of users and patients and become their preferred choices. Our solutions will involve combinations of multiple devices, as well as devices with pharmaceuticals or diagnostics. In addition, we aim to offer services that utilize digital technology and educational initiatives for healthcare professionals and patients. To address the healthcare challenges ahead, we need to accelerate the development of our solutions and enhance our innovation efforts. We are already seeing tangible signs of progress in these areas. I would like to introduce you to the three Ds, which are the focus areas of GS26.

The first "D" is Delivery. Terumo Aortic, headquartered in Scotland, UK, provides stent grafts for treating aortic diseases. These stent grafts are designed for minimally invasive placement in the aorta of patients with such conditions. Blood vessels have varying characteristics, such as shape, size, and the angles of branching vessels, which differ from patient to patient. We also offer custom devices tailored to specific sizes and shapes to address complex lesions that are difficult to treat with standard products. In recognition of our custom devices, we have received the King's Award for Enterprise in the Innovation category, with the award ceremony taking place at Windsor Castle in the UK in July 2024. We are honored to have received this highly prestigious award.

The second "D" is Digital. In March 2024, we formed a business and capital alliance with Medcom, Inc., a provider of smartphone services for medical institutions designed for highly secure environments. By integrating data from Terumo's infusion pumps, syringe pumps, and HR Joint communication-equipped measurement devices that track vital signs, we enable real-time access to patient information through Medcom's platform. As work-style reform progresses in the medical setting, we aim to assist healthcare institutions in achieving patient-centered care by creating an environment where patients can be continuously monitored, regardless of location or time.

The third "D" stands for Deviceuticals, which are solutions that combine medical devices and pharmaceuticals. There is a high global demand for drugs derived from plasma components in blood, known as plasma-fractionated drugs, and this market continues to grow. A typical example of this is immunoglobulin products, which are used to treat various immunity-related diseases. Improvements in the production and operation of the Rika Plasma Donation System developed by Blood and Cell Technologies Company are progressing well and on track. Consequently, the implementation of Rika is also proceeding well at the plasma collection centers operated by CSL.

I believe that transformation beyond the existing framework is now required in Terumo. To swiftly respond to diverse needs, we will focus on internal development while also promoting open innovation and leveraging all available resources, including collaboration with startup companies. Our innovation is not limited to developing devices for existing markets but also involves creating new markets, value, and solutions with fresh ideas.

At the same time, we will also work to optimize our business portfolio. The resilience of our unique business portfolio was demonstrated even during the COVID-19 pandemic. However, I believe there is room for improvement in its current state. In order to enhance group-wide synergies, drive growth, and improve profitability while fulfilling our responsibility as a leading company providing medical infrastructure, we will review our business portfolio to identify ways to further enhance our corporate value.

Enhance sustainability management practices

Our goal of increasing our intrinsic value goes beyond the pursuit of financial performance.

From a governance perspective, we have clarified the roles of our executive officers as of April 2024. First, Toshihiko Osada, who has extensive experience in R&D and business development, was appointed Director in charge of Innovation. By consolidating the R&D Division, DX Promotion Department, and Intellectual Property Department under his responsibility, he will drive technological innovation for the next medium- to long-term period. Next, Kazunori Hirose was appointed as the Director in charge of the Global Supply Chain, Quality, and EHS (Environment, Health, and Safety). He will promote the reinforcement of a safe and secure system that provides a stable end-to-end supply of high-quality products. Then, Norimasa Kunimoto was appointed as the Director in charge of Corporate Value Promotion. We aim to enhance corporate value through communication with society, customers, and within the company. Finally, the accounting and human resources-related departments, which are important assets of the company, as well as the departments related to internal control, which are

responsible for sound corporate management, will be placed directly under the control of the CEO, with the aim of achieving effective utilization of management resources and balanced business activities. At the same time, we will further strengthen corporate governance by increasing the transparency and objectivity of management, including outside directors, and by further accelerating decision-making.

The next point is the environment. We are making steady progress toward our goal of achieving carbon neutrality by 2040. We met our fiscal 2023 target for reducing Scope 1 and 2 emissions from our operations. We are also working with suppliers and pharmaceutical companies to reduce Scope 3 emissions in our upstream and downstream supply chains. For instance, pharmaceutical companies and Terumo are responsible for shipping and delivering pharmaceutical products to the same medical institutions. Therefore, we conduct joint delivery initiatives to reduce the environmental impact of product transportation. This initiative is just one example of our efforts to promote environmentally friendly management practices actively.

The third point is our associates. Even with outstanding business and growth strategies, these alone cannot achieve expanding corporate value. It is our associates who drive business and execute growth strategies. Terumo spares no effort in investing in talent and is committed to developing talent as part of its management strategy while also promoting DE&I initiatives. One example of our talent development initiatives is the global training program for next-generation leaders, in which more than 300 associates have participated. I am confident that when associates of different genders, nationalities, and diverse career paths collaborate and communicate with each other, Terumo will thrive and advance in the appropriate and right direction.

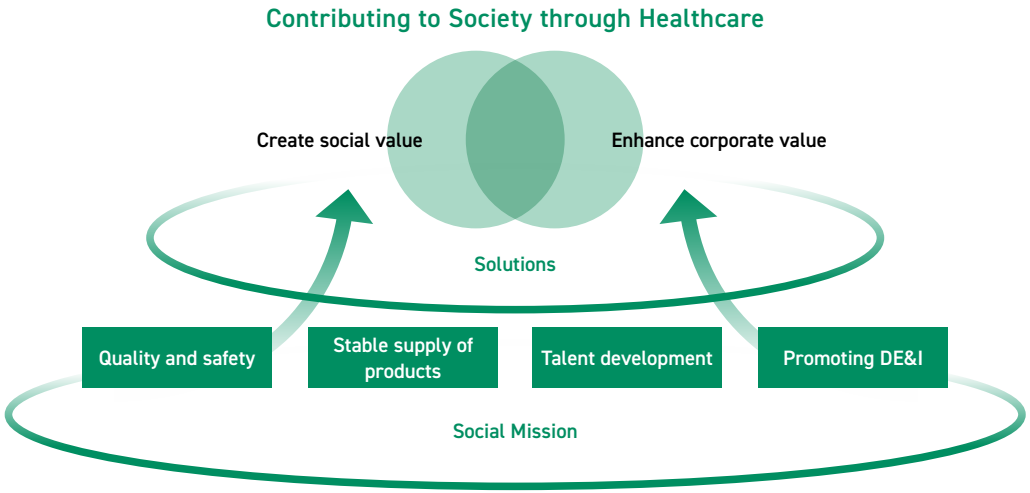
Finally, I would like to highlight our collaboration with the Japanese Red Cross Society as an example of our efforts to serve our society. In June 2024, we signed a comprehensive partnership agreement with the Japanese Red Cross Society. Based on this agreement, we will engage in activities that contribute to the development of regional healthcare and society, while addressing social and healthcare issues within communities. Our initiatives will include donations for disaster relief, the expansion of our in-house blood donation initiatives, and efforts to promote blood donation as part of our social contribution activities.

At Terumo, our unwavering commitment to addressing healthcare challenges defines our business. We will continue taking on the challenges of creating social value through our businesses, thereby enhancing Terumo's corporate value. We ask for your continued understanding and support in this endeavor.



Chief Executive Officer

Terumo's goals and creation of corporate value



Value creation process

We contribute to society by providing valued products and services in the healthcare market and by responding to the needs of patients and healthcare professionals.

Group Mission

Contributing to Society through Healthcare

Core Values/Terumo Group Code of Conduct

Healthcare paradigm shift that Terumo is focusing on

Changing disease patterns
- Coexisting with the rapidly increasing chronic diseases due to the global improvement in living standards and the super-aging population in developed countries
- Overcoming the deterioration of organs and bodily functions associated with aging

Changing timescale
- Improving quality of life (QOL) over the long term
- Spread of monitoring for disease prevention and prognosis status
- Personalized disease management for each patient (Patient Journey)

Changes in technology
- Increasing adoption of biopharmaceuticals, regenerative medicine, and cell and gene therapies
- Broad adoption of personalized medicine through the evolution of genomic medicine and AI

Terumo's strengths

Corporate activities

Social value creation

Cardiac and Vascular Company
- Contributing to early discharge and the reduction of complications in response to the increasing need for medical cost-effectiveness
- Full-scale expansion of the therapeutic product pipeline in growth markets

Medical Care Solutions Company
- Providing patient-focused value that covers every aspect of care, not only in hospitals but also in the home
- Accelerating global expansion as the domestic market reaches maturity
- Providing solutions for pharmaceutical companies to maximize the value provided by their drugs
- Responding to market competition from low-priced products with proposals that provide value through new solutions

Blood and Cell Technologies Company
- Responding to changes in the market, such as the commercialization of cellular therapy products and an unstable blood supply, by building a presence in cell therapy processes and by providing innovative systems and services
- Responding to competitors' actions, such as the optimization of their portfolios, by promoting a shift away from selling products toward selling solutions, developing high-value-added services, and diversifying our portfolio

R&D / M&A
- Accelerating innovation by strategically and consistently combining short-, medium-, and long-term internal R&D with M&A and startup investments

Digital transformation
- Providing comprehensive care and solutions to support the patient journey

Corporate
- Implementation of a group-wide project to improve profitability (aiming to increase profitability by at least two percentage points by FY2026)

→ Achieving optimal performance in the key areas of production, procurement, logistics, and management on a global basis

→ Optimizing global production

Foundation supporting social value creation

People strategy
- Achieving transformation and change
  Developing global leaders, strengthening organization effectiveness and efficiency, and targeting critical skills development
- Enhancing Associate Experience
  Fostering a growth mindset, cultivating a DE&I culture, nurturing associate well-being, and recognizing associates for the value they create

Total quality (ensuring quality, safety, and stable supply)
- Ensuring the quality, safety, and stable supply of products and services
- Sustainable supply chain management
- Promoting safety measures for the working environment

Reducing the burden on the environment
- Initiatives to realize carbon neutrality
- Effective use of resources

Human rights
- Promoting safety measures for the working environment
- Established Terumo Group Human Rights Policy
- Became a signatory to the United Nations Global Compact

Governance and Compliance

- Group Mission and Core Values forming foundations of governance
- Enhancing global management structure (implementation of a Group Executive Officer system)
- Group-wide code of conduct and continuous compliance education

Capital invested

Financial capital

- Stable financial situation
  Credit rating (Provided by Rating and Investment Information, Inc.) — AA-

Manufactured capital

- Global production network (Japan: 8 / Outside Japan: 22) — 30 sites
- Overseas production ratio — 62.4 %
- Capital expenditure — ¥78.4 billion
- Collaboration on production among the companies and businesses within the Terumo Group

Intellectual capital

- R&D expenses/Ratio to revenue — ¥69.1 billion/7.5%
- Global R&D network
- Provision of various types of training for healthcare professionals in multiple regions, including at Terumo Medical Pranex in Japan
- Patents held — Approx. 8,800 (incl. patents held by overseas subsidiaries)

Social and relationship capital

- Trust and brand that Terumo has built over the past 100 years with Japanese healthcare professionals and patients
- Open innovation initiatives
- Communication with stakeholders

Human capital

- The number of associates (Terumo Group) — 30,591
- Ratio of non-Japanese in Group Executive Officers — 33.3%*
- Ratio of non-Japanese in global key positions — 61.5%*

* As of April 1, 2024

- Ratio of female managers (Terumo Group) — 31.3%
- Ratio of female managers (Terumo Corporation) — 10.4%
- Appointment of a CXO to strengthen global management infrastructure

* Unless otherwise noted, the figures on this page are for FY2023 or as of the end of FY2023.

Outputs

Targets of the Five-year Growth Strategy GS26

Realize revenue growth that is superior to the market average growth rate, while also enhancing profitability and aiming to shift to a new growth model to help bring about a paradigm shift in healthcare

Growth

■ Revenue growth rate

High single-digit growth (5-year CAGR)

Profitability

■ Operating margin — 20%+ (in 5 years)

Capital efficiency

■ ROIC — 10%+ (in 5 years)

■ ROE — 10%+

Cash allocation

■ Operating cash flow — FY2022-2026 ¥800–900 billion

＋

Financing

↓

→ Capital investment — ¥430–480 billion

→ Dividend — ¥130–180 billion

→ Acquisitions, shareholder returns*, etc.

* Aiming for total payout ratio of 50% or higher

Sustainability management: CSV

■ Further adoption of radial access procedure

Ratio of radial access procedure (FY2026)

- Coronary — 75%+
- Peripheral — 20%+
- Visceral — 15%+
- Neurovascular — 15%+

Sustainability management: ESG

■ CO_2 emissions (Scope 1+2)

- FY2030 — 50.4% reduction (vs. FY2018)
- FY2040 — Carbon neutrality

■ No. of critical market shortages: Zero

■ No. of critical findings from regulatory authorities: Zero

* For all themes related to CSV/ESG of the GS26, please refer to pp. 17-19.

Medium- to Long-term Vision

From Devices to Solutions

Focus in solutions: the 3Ds

Delivery

High-value-added biological access and delivery for advanced medical care

- Aiming for a world with 100% adoption of minimally invasive treatments

Digital

Disease-based approach focused on improving long-term patient quality of life (Patient journey)

- Aiming to raise the treatment completion rate for chronic diseases to 100% through the effective utilization of digital technology

Deviceuticals

Maximize drug effectiveness through innovative devices

- Accelerating the evolution of combination products through delivery technology innovation, with the aim of raising the share of total sales held by combination products that integrate pharmaceuticals with devices to at least 50%

Outcome

Solving problems of medical settings

■ Optimization of intra-hospital infrastructures

■ Building ecosystems for new therapies such as cell and gene therapies

■ Evaluation systems that contribute to health economics

Developing healthcare ecosystem

■ Further improvement of less-invasive treatments

■ Infection control

■ Data utilization for diagnostics and therapy optimization

■ Optimal delivery for new drugs

Improving patient quality of life

■ Disease management:

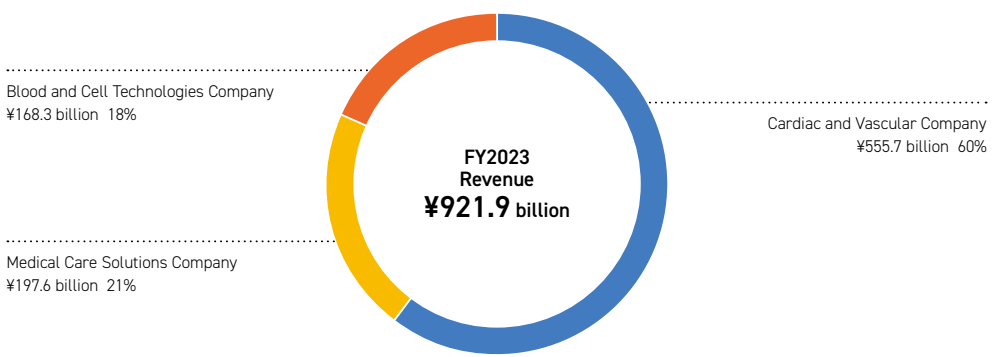
- Endovascular therapy for whole body
- Diabetes, kidney diseases, cancer, etc.
- Overcoming deterioration of body functions

■ Personalized care that accompanies the patient journey

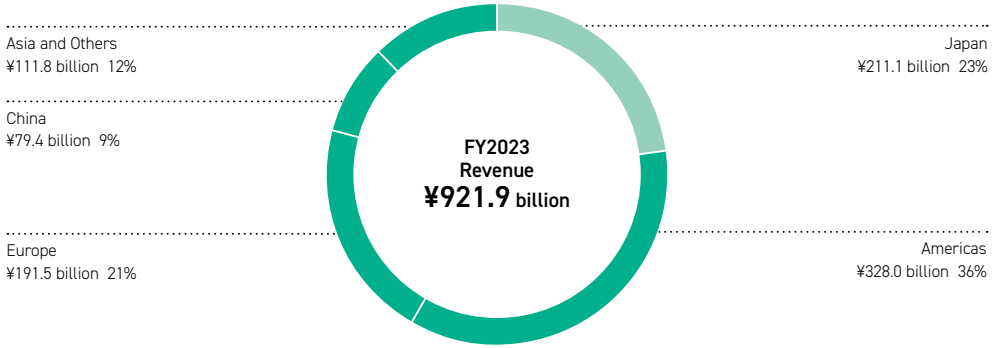
Terumo Group at a glance

Fiscal 2023 (Fiscal year ended March 31, 2024)

Revenue by company



Revenue by region



Note: Revenue composition ratios are rounded to the nearest whole number, and the total may not equal 100%.

Please visit the following pages for an overview of Terumo Corporation, including its businesses and history.

Who We Are (Company Overview) https://www.terumo.com/about/who-we-are

Business Overview https://www.terumo.com/business

History https://www.terumo.com/about/history

Revenue

¥921.9 billion

Operating profit/Operating margin

¥140.1 billion / 15.2%

Adjusted operating profit/ Adjusted operating margin

¥156.8 billion / 17.0%

ROIC

7.1%

ROE

8.7%

Free cash flow

¥64.9 billion

Number of countries and regions where Terumo Group's products are sold

160+

Number of products

50,000+

Number of consolidated subsidiaries

98

Number of R&D sites

22 (Japan 6 / Outside Japan 16)

R&D expenses/Ratio to revenue

¥69.1 billion / 7.5%

Patents held

Approx. 8,800

Number of production sites

30 (Japan 8 / Outside Japan 22)

Number of associates (employees)

Terumo Group	30,591
Terumo Corporation	5,554

Ratio of female managers

Terumo Group	31.3%
Terumo Corporation	10.4%



Jin Hagimoto

Group Executive Officer
Chief Financial Officer (CFO)
Acting Chief Information Officer (CIO)

Enhance corporate value through cash allocation towards improving capital efficiency and achieving sustainable growth

Since starting my CFO & CIO position in April 2024, I believe my role as CFO is to contribute to the growth of the entire group, with an increased focus on resource management and improving capital efficiency. At the same time, as CIO, I will work to improve efficiency and increase value-added activities in IT. As a brief background of myself, I began my professional career with a Japanese global manufacturing and service company in the corporate planning and control department, and gained experience as a member of the CFO staff, transformation management, and management information strategy formulations. I was later involved in the gaming business, and also took on the formulation of digital transformation strategies and IT management. By acting as the bridge between IT technology and business finance, I hope to maximize the functions' contribution to sustainable business growth.

Progress of the five-year growth strategy

Fiscal 2023 was the second year of the "GS26" five-year growth strategy announced in December 2021, which saw sales revenue of 921.9 billion yen, operating profit of 140.1 billion yen, and profit for the year of 106.4 billion yen, all achieving record levels. Net sales grew 7% year on year on a constant currency basis, driven by growth overseas, particularly in the Americas and Europe. Strong demand for coronary intervention procedures continued globally, and blood center business demand is expanding, resulting in a steady increase in sales.

In terms of profitability, we implemented price revisions globally to recover from the negative impact of the deteriorating macroeconomic environment, which included soaring raw material and energy costs in fiscal 2022. At the same time, by strengthening and accelerating group-wide measures to improve profitability, we managed to improve efficiency and control expenses without relying on sales growth. Operating profit increased by 14%, excluding foreign exchange impacts as a result. The operating margin improved by 0.9 percentage points from the previous year to 15.2%. Additionally, ROIC and ROE also improved to 7.1% and 8.7%, respectively. We will continue to strengthen our efforts in FY2024 to successfully achieve the three KPIs of our GS26 five-year financial targets.

GS26 five-year financial targets

Growth	Profitability	Capital efficiency
Revenue growth	Operating margin	ROIC
High single-digit (5-year CAGR)	20%+* (As of FY26)	10%+ (As of FY26)
Aiming for revenue of 1 trillion yen through continued growth	* Calculated based on operating profit before adjustments	ROE of 10% or higher

In order to achieve our operating profit margin of 20% or higher, as outlined in GS26, we began a group-wide profitability improvement project, VC2 (Value Creation through Collaboration), in conjunction with the GS26 announcement. This initiative promotes the optimization and efficiency of the Terumo Group by increasing collaboration and driving scale merits while leveraging the positive aspects of the activities of each individual business. In fiscal 2024, we will further strengthen this project. Looking back at our history, in addition to sustained organic growth, we have achieved significant growth since 1999 through cross-border M&A activities. We have achieved sales growth by securing the autonomy of each business, maintaining organizations and operations to avoid reducing the development capacity and speed of business expansion of the companies we have acquired. While this approach has had its merits, in order to further accelerate our activities at the company-wide level, promoting initiatives that take advantage of scalability in procurement, production, logistics, and supporting functions, we

will also drive further collaboration among the different businesses. As part of this effort, we established an internal organization, Global Business Services (GBS), in November 2022 to consolidate ordering and payment functions in Europe and the Americas. We will continue to drive efforts to improve profitability by standardizing and streamlining business operations shared throughout the Terumo Group, and we will work to improve the efficiencies of our core business operations and information management across the group. By moving forward with these initiatives, we aim to use the lessons learned to promote globalization in the fields of finance, IT, and business administration. In addition, each business and functional division will make concerted efforts to achieve the goal of 20% or higher operating profit margin while continuously pursuing further scope for improvement.

Our performance in fiscal 2024 is an important turning point, one that will determine not only the achievement of GS26 but also the growth potential of Beyond GS26. In the first quarter of fiscal 2024, record highs were achieved in revenue, operating profit, and net profit, thanks to continued strong demand in all companies and appropriate cost control. Terumo will continue to grow from the second quarter onwards, based on increasing global demand for vascular treatment in the Cardiac and Vascular Company, double-digit growth in Pharmaceutical Solutions — a business that partners with pharmaceutical companies — and business expansion in Terumo Blood and Cell Technologies with expansion of the source plasma business. In addition to our sales expansion, we will continue to work toward improving profitability and capital efficiency by focusing on company-wide profit improvement activities.

FY2024 guidance (As of October 31, 2024)

Revenue **¥980.0 billion** **+6%** year-on-year	**Operating profit** **¥165.0 billion** **+18%** year-on-year
Operating margin (Before adjustment) **16.8%** **+1.6%** points year-on-year	**Profit for the year** **¥122.0 billion** **+15%** year-on-year

Cash allocation for increased capital efficiency and sustainable growth

One of our financial goals will be to increase corporate value by achieving profit margins above the cost of capital. To achieve this, we are improving capital efficiency through business operations to improve working capital, taking more control of the investment decisions to consider appropriate ROI while maintaining the speed of these decisions. GS26 sets a financial KPI of ROIC of 10% or higher (ROE of 10% or higher), and we are aiming to improve capital efficiency from a medium- to long-term perspective. While improving the company's profitability, we will also focus on inventory management and ROI reviews to improve our asset turnover, ultimately aiming to maximize free cash flow. Furthermore, to increase our ability to generate profits, we will continue our ongoing investments in our internal capabilities and consider M&A investments that are expected to create further future value and synergies with our existing businesses. In judging investments, we will set a hurdle rate based on the weighted average cost of capital (WACC), with uncertainty risk added, and determine whether the targeted investment returns can be achieved. Cash generated will be allocated for use for growth investment and stable dividend increases, as well as for shareholder returns through share buybacks. If further capital is needed, such as for M&A activities, our policy is to consider optimal and flexible funding options, combining borrowings from financial institutions and issuing corporate bonds, while taking into account the balance between capital efficiency and financial soundness. We aim to make optimal choices and actively invest in projects that contribute to the enhancement of corporate value in accordance with our business strategy. We aim to achieve a total shareholder return ratio, which is the sum of dividends and share buybacks, of 50%.

Fiscal 2024, the midpoint year for GS26, began with a record-high quarter. To achieve the goals outlined in this year's performance forecast and to ensure that we can make growth investments, we will continue to strengthen our financial position, thoroughly manage costs, and examine our business direction from a company-wide perspective.

I believe that the Finance and IT domains are strong complements. In the IT field, it is important to be able to understand and digest the needs of users and provide optimal solutions, and here we can make use of the understanding of business characteristics and direction cultivated through business management. In the field of finance, leveraging IT enables us to better grasp business situations that were previously difficult to capture in a more timely and quantitative manner. Furthermore, by analyzing the captured information from multiple perspectives and in greater detail, we can expand the range of options for future strategies. By acting as a bridge between these two fields, I hope to build an efficient mode of operation and contribute to the sustainable increase in corporate value.

I aim to meet the expectations of our shareholders, investors, and other stakeholders, and contribute to our Terumo Purpose of advancing healthcare and enhancing patients' quality of life, while ensuring future growth and passing on a better Terumo to the next generation.



Tomoko Adachi

Group Executive Officer
Chief Human Resources Officer (CHRO)

Valuing the voice of associates

Terumo grows through the growth of our diverse associates

I began my career in 1990 with a global manufacturing and service company originating in Japan, and have been in the HR field ever since, working in different markets and cultures, including Japan, the U.S., and Europe. I joined Terumo in 2019, and since then, I have been working on designing and implementing HR strategies for the group. I was appointed CHRO in April 2023.

We have incorporated people strategy in our five-year growth strategy, the "GS26," which started in fiscal 2022. It has two main pillars: Achieve Transformation and Realizing Global Management.

Achieve transformation

Since its foundation in 1921, Terumo has maintained delivering solutions to medical settings, providing products and services that would respond to time-to-time changing needs. Our mission is to always remain close to medical professionals and patients by bringing new solutions and improving patients' quality of life. Amidst the rapidly changing environment surrounding the healthcare industry, we have been working to transform ourselves under the vision of "From Devices to Solutions" set out in GS26, working to create innovative solutions beyond the boundary of being a medical device company. To achieve this, it is inevitable to acquire and foster talents with new skills that are of high strategic importance such as digital talents. We have therefore set a target of increasing the number of our digital talents by 2.5 times before the end of fiscal 2026. We started off by discussing what sort of digital skills are needed in Terumo, and how many digital talents we currently have in the group, and those analyses are leading to a concrete action plan. At Terumo Corporation (Japan), we have established a digital talent development program, the "DX college." The program creates opportunities for more associates to acquire basic digital skills, leading to more advanced training to create digital professionals.

While it is important to acquire core skills needed to realize transformation, it is equally important to foster an organizational culture where all associates are constantly taking on new challenges and growing. We have introduced "Growth Mindset" to the entire Terumo Group. Growth Mindset is a concept that our abilities are not fixed with qualities we are born with, but rather, we can improve these abilities through efforts and experiences. The top management team and leaders of each organization first learned this concept, and they themselves became the promoters, harnessing an environment where associates can practice the three key habits of Growth Mindset: experiment, value progress, and learn from others. The entire Terumo Group is working together to foster an organizational culture of taking on new challenges, learning from mistakes, and growing.

Realizing global management

Even though Terumo is a company that originated in Japan, we currently operate in over 160 countries and regions. We have over 30,000 associates working in the Terumo Group around the world, and only 20% of them are based in Japan. Out of our eight business units, four are based in Japan, but the other four are based outside of Japan. This global expansion and diversity of Terumo is a key factor when considering the second pillar of our people strategy: realizing global management.

The GS26 people strategy is strongly focusing on global leadership development. We have set a target of increasing the talent pool by 10 times before the end of fiscal 2026. In order to effectively deploy global leadership development, the top management team needs to fully understand each talent's skills and traits to consider their next steps. This is why we hold a "Global Talent Board" each year, where the CEO and top management team gather and spend one whole day carefully examining the profile and aspirations of talents one by one, discussing where they can further contribute to Terumo.

We have a suite of global talent development programs under the brand name of "Mirai," which is designed to develop skills needed to strongly lead the future Terumo, such as making tough decisions, leading a diverse group, and building pipelines across business functions and regions. Mirai has three levels: Mirai for executives, Mirai for enterprise leaders, and Mirai for emerging talents, targeting those associates with less than seven years of work experience. Perhaps what is unique to Terumo is that we offer a program to emerging talents so that they can feel a sense of belonging to a worldwide community from an early stage. We have also created an alumni community which is becoming a solid foundation of Terumo Group's organizational strength.

As Terumo Group consists of associates with different backgrounds, we need to create an organization where we respect the differences and value diversity. We are promoting Diversity Equity & Inclusion (DE&I) across the group. In 2024, all executive leaders have set specific DE&I goals in their annual objectives, actively leading their chosen initiative. Various Associate Resource Groups (ARG) are formed in various entities, where they gather voluntarily based on shared identities and views. We are working to create an inclusive culture through both top-down and bottom-up approaches.

Supporting the ownership of associates' careers

We encourage active collaboration across Terumo Group. We have launched "Terumo Connect," an AI-enabled online platform for our associates around the globe to maximize their potential by networking or finding interesting job posts or project opportunities within Terumo Group that are relevant for them. Associates can even apply to posts outside their own entities. We are still at a pilot stage, but we are looking to expand this to the entire group in the near future. I expect each associate to seriously consider their own career paths and actively seize the opportunity.

To further enhance our capability as a global company, it is important to strengthen the talent pool of our headquarters in Japan (Terumo Corporation). We have implemented a new HR policy, starting from managerial level in 2022, which expanded to non-managerial level in 2024. A job description that clearly states required skills and experiences is posted, and associates can put their hands up regardless of their years of experience in the company. Despite the traditional practice in many Japanese companies, an associate's compensation is determined by the positions they newly acquire. This new HR policy is designed based on a dual career ladder of generalist and specialist to realize the best fit of our talents to our business requirements.

In my conversations with various Terumo associates, I realize that even though we all come from diverse backgrounds, it is clear that we all strongly believe in the company's mission "Contributing to Society through Healthcare" and take this to heart in everything that we do. In order to meet the needs of our diverse customers, it is equally important that we also have diversity and different views within Terumo. I will continue to sincerely listen to the voices of associates so that we can all grow together, which would certainly lead to the growth of the entire Terumo Group.

Outline of the GS26 five-year growth strategy

GS26, our five-year growth strategy launched in FY2022, sets forth a mid- to long-term vision of evolving "From Devices to Solutions," based on a mid- to long-term perspective that considers changes in the environment surrounding healthcare. Based on this vision, we aim to maximize our corporate value by contributing to the creation of social value by providing innovative, comprehensive solutions to medical issues.

Terumo's Focus: "Paradigm shifts in healthcare"

Changes in disease structure	Changes in timeline	Changes in technology
• Rapid increase in living with chronic diseases, due to global improvement in average life span and super-aging population in developed countries • Overcoming the deterioration of organs and body functions that accompanies aging	• Improvement of long-term QOL • Prevention and prognosis monitoring • Personalized disease management (Patient Journey)	• Increasing adoption of biopharmaceuticals, regenerative medicine, cell and gene therapies • Wide adoption of personalized medicine through evolution of genomic medicine and AI

Paradigm shifts in healthcare

Healthcare is undergoing major changes. Aging societies and rising standards of living around the world have led to changes in disease structure, bringing an increase in chronic diseases. Factors including the long-term management of these chronic diseases are changing the "healthcare timeline." At the same time, the shift to biopharmaceuticals, cell and gene therapies, and regenerative medicine, as well as the development of digital and AI technologies, are changing the technology supporting medicine. These are important environmental changes that Terumo must respond to over the next decade.

Vision for the next 10 years

From Devices to Solutions

Delivering solutions to 21st-century healthcare challenges

Focus in solutions: The 3Ds

01. Delivery	02. Digital	03. Deviceuticals
High-value-added biological access and delivery for advanced medical care	Disease-based approach focused on improving long-term patient QOL (patient journey)	Maximize drug effectiveness through innovative devices

Vision for the next 10 years: "From Devices to Solutions"

In light of this paradigm shift in the medical field, our vision for the next 10 years is "From Devices to Solutions."

Devices will remain Terumo's core products, but the development direction is changing. By shifting our focus from the product to the customer and disease, we aim to become a company that can more actively engage with the entire healthcare ecosystem, identify issues faced by customers and patients, and propose solutions. The three focus areas that will guide the direction of solutions development are as follows:

The first is Delivery. This refers to in-vivo access and delivery functions, and their supporting technologies, typified by the catheter product line that supports Radial Approach*1, a growth-driver for the Cardiac and Vascular Company. This basic technology is our primary advantage in developing new solutions.

The second is Digital. The use of digital technology is essential to improving efficiency and optimizing and personalizing diagnosis and treatment through the use of data. One pioneering example of such solutions is the Medical Care Solutions Company working to improve safety and healthcare professionals' operational efficiency by digitizing and linking perioperative drug management, centered on infusion pumps and syringe pumps, with vital records from bedside care devices such as thermometers and blood pressure monitors.

The third is Deviceuticals. This term was coined to describe Terumo's goal of combining Devices and Pharmaceuticals, and refers to solutions that add value to the use and manufacture of drugs. Examples include the CDMO business*2, a partnership business with pharmaceutical companies that we are currently promoting, and the plasma innovation business*3.

*1 Vascular intervention performed via the radial artery in the wrist
*2 Contracted development and manufacturing business
*3 Details of plasma innovation business are below
https://www.terumo.com/business/blood-and-cell-technologies

Financial KPIs

GS26 sets the following goals for growth, profitability, and capital efficiency, which we are working to achieve.

Five-year financial targets

Growth

Revenue growth

High single-digit

(5-year CAGR)

Aiming for revenue of 1 trillion yen through continued growth

Profitability

Operating margin

20%+*

(As of FY26)

* Calculated based on operating profit before adjustments

Capital efficiency

ROIC

10%+

(As of FY26)

ROE of 10% or higher

Growth:
We aim to achieve high single-digit revenue growth by steadily increasing sales from the growth drivers of each of the three companies within the Terumo Group. Please see below for the growth drivers for each company.
"Vision for the next 10 years" disclosed on Dec. 16, 2021 (page 11, refer to Growth Drivers in GS26)
https://www.terumo.com/system/files/document/2022-02/Presentation_211216_GS26_1_E_1.pdf
Profitability:
We aim to achieve an operating margin of 20% or higher through group-wide profit improvement measures (price revisions, cost reduction, etc.) in addition to improving the business mix by expanding sales of high-profit growth drivers.
Capital efficiency:
In addition to improving profitability, we are working to improve the efficiency of invested capital through appropriate control of working capital, mainly inventories, and aim to achieve ROIC of 10% or higher (ROE of 10% or higher).

Commitment to sustainability management

In the GS26, we aim to increase corporate value over the medium to long term by practicing sustainability management. To achieve this, we have established specific activity themes and key performance indicators (KPIs) related to Creating Shared Value (CSV) and Environmental, Social, and Governance (ESG) criteria, and we are promoting these initiatives throughout the company. (For more information on Terumo's Sustainability Priorities, please refer to page 29, "Sustainability at the Terumo Group." For details on the CSV and ESG activity advanced in the GS26, please see "CSV/ESG themes of the GS26" on pp. 17-19.)

CSV and ESG themes of the GS26

At Terumo, we position the creation of social value (CSV) by contributing to advancing healthcare and enhancing patients' quality of life, which is Terumo's purpose, as the top priority of our sustainability management. In addition, we have set our sustainability priorities related to ESG as the foundation to support the promotion of CSV. We are actively working to achieve these priorities. (For more information on Terumo's sustainability priorities, please refer to p. 29.)

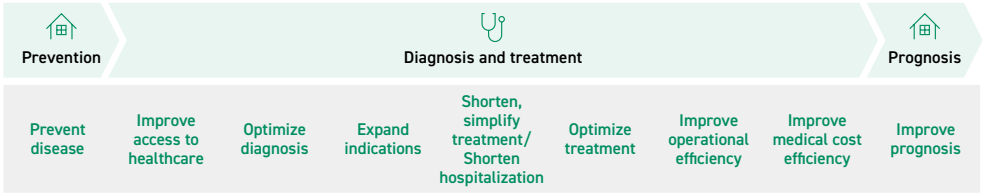
Under our five-year growth strategy GS26, which began in fiscal 2022, we have established specific initiatives and key performance indicators of CSV and ESG to monitor based on the aforementioned sustainability priorities. Under the CSV themes, we will provide valuable solutions to medical settings and patients by leveraging our broad range of products and technologies to create social and economic value in the patient journey, from prevention to diagnosis, treatment, and prognosis. For the ESG themes, we are working on efforts that support CSV, including ensuring the quality, safety, and stable supply of our products and services and fostering an organization that leverages diverse talent to create value. We are also advancing initiatives to meet societal demands, such as achieving carbon neutrality.

The Sustainability Committee monitors the progress of these themes and KPIs and reports regularly to the Executive Management Meeting and the Board of Directors. In addition, we have introduced the Future Corporate Value Targets as a performance assessment indicator for executives starting in fiscal 2023 to appropriately reflect their contributions in practicing sustainability management in their evaluation and compensation. Moving forward, we will continue to enhance our corporate value over the medium to long term through the practice of sustainability management.

CSV themes of the GS26

At the Terumo Group, each of the three companies has identified its own CSV themes and is working on them by leveraging its distinctive products and technologies, as well as the experience and knowledge gained from solving medical issues. By providing unique solutions that leverage each company's strengths in the patient journey from prevention to diagnosis, treatment, and prognosis, we will contribute to creating healthcare value in broad areas, such as reducing treatment and hospitalization time, improving operational efficiency in the medical settings, and improving medical cost efficiency.

Key healthcare value offered by the Terumo Group



Cardiac and Vascular Company

We are committed to promoting the broader adoption of radial access procedures, where a catheter is inserted through a blood vessel in the wrist (radial artery) for vascular interventional therapy. Compared to femoral access procedures, where catheters are inserted through the femoral artery in the groin, radial access procedures have shorter hemostasis time, reduced complications, and faster ambulation following the procedures, contributing to improved QOL. Radial access procedures can also lead to reduced healthcare costs* through early patient recovery and shortened hospital stays, including same-day discharge in certain countries. To extend the benefits of radial access procedures beyond cardiac (coronary artery) applications to peripheral, visceral, and neurovascular treatments, we are actively expanding our product portfolio and offer medical training tailored to each treatment area. We are also working to develop products and solutions to enable personalized therapies, which provide optimal medical care based on each patient's specific characteristics and risks.

* The results of the study below conducted in the U.S. showed that the cost of percutaneous coronary intervention using the radial approach was $916 less per case than the femoral approach.
Amit P Amin et al. JACC Cardiovascular Interventions, Amin AP, et al. J Am Coll Cardiol Intv. 2017 Feb, 10 (4)

CSV themes	1. Wider adoption of radial access procedures 2. Training 3. Personalized therapies
Monitoring items and KPIs	1. Rate of radial approach (FY2026) ・Coronary: 75%+ ・Peripheral: 20%+ ・Visceral: 15%+ ・Neurovascular : 15%+ 2. The number of medical professionals that participated in training (TIS Division) 3. Drive personalized therapies by promoting stent grafts, radioactive microspheres, and intrasaccular devices to be used for more treatments
FY2023 initiatives and results	1. Made steady progress in coronary and neurovascular interventions (Coronary: 73%, Peripheral: 5%, Visceral: 9%, Neurovascular: 8%) 2. ・Returned face-to-face training to the pre-COVID-19 pandemic level (80%-90% of all training across all regions) ・Increased the number of training sessions by 30% compared to the previous year, while the number of participants decreased by just over 20% as a result of a higher proportion of face-to-face training (The number of participants: approx. 62,000.)* *FY2022 results 3. Promoted personalized therapies in both digital and non-digital fields

CSV and ESG themes of the GS26

Medical Care Solutions Company

We are committed to creating unique solutions that provide more quality time for all people involved in healthcare, as our brand promise. By leveraging our experience and capabilities accumulated over many years of addressing issues in medical settings, we will offer solutions that enhance operational efficiency and safety in hospitals, reduce the length of hospital stays and patient visits, and alleviate the burden of treatment at home and improve safety. In this way, we strive to ensure that the time spent on healthcare is as short and high-quality as possible.

CSV themes	1. Perioperative solutions 2. Outpatient chemotherapy solutions 3. Renal care solutions
Monitoring items and KPIs	1. Deliver the solutions to 1,000 medical institutions in Japan and overseas 2. Introduce the solutions to 20% of the designated cancer hospitals in Japan 3. Introduce the solutions to 20,000 patients in Japan and overseas
FY2023 initiatives and results	1. Implemented perioperative and bedside care solutions in 668 medical institutions across the world ・Made our smart infusion system compatible with the syringe pump control software for assisting total intravenous anesthesia, which was developed and sold by Nihon Koden in Japan Expanded introduction of our pump monitoring system in the markets outside of Japan (FY2023: Myanmar and Malaysia) 2. Introduced closed system drug transfer devices to over 30% of the designated cancer hospitals in Japan and submitted budget requests to several medical institutions for the introduction of outpatient chemotherapy system in Japan 3. Launched "Terumo PD MyCare," the application for managing peritoneal dialysis Completed the clinical trial for new peritoneal dialysate Started selling neutralized peritoneal dialysate in China, bringing the total number of patients using this product globally to approximately 9,200

Blood and Cell Technologies Company

The brand promise "Unlocking Potential" expresses our commitment to improving patient outcomes, serving unmet medical needs, and advancing standards of care in both new and established markets. We champion a safe, equitable, and sustainable blood supply while striving to expand access to new and existing life-changing technologies and therapies. We are also focused on enabling more efficient healthcare delivery by investing in automation solutions that support process efficiencies and high performances across the blood and cell handling infrastructure, from blood processing to cell expansion in cell therapy manufacturing.

CSV themes	1. Expand the impact of innovation by increasing the number of patients treated 2. Bring lifesaving technology to previously unreachable patients 3. Enhance efficiencies in the infrastructure of healthcare delivery
Monitoring items and KPIs	1. Status of reimbursement obtained and disposable unit sales of major product platforms*: Double-digit annual growth of disposable unit sales *Whole blood bags and disposable sets for Reveos, TACSI, Trima Accel, Spectra Optia, Finia, and Quantum 2. Sales amount in China and Africa: Increased sales amount 3. Total number of whole blood automation devices installed: Increased the total number of devices installed
FY2023 initiatives and results	1. Obtained three major reimbursements in the US and China 9% growth for disposable unit sales, an indicator of patients treated for major product platforms 2. China: ・9% sales growth ・Advanced partnerships in hepatology and cell therapy markets. ・Obtained reimbursement for cell collections and plasma exchange in multiple provinces. Africa: ・26% sales growth ・Consensus amongst key opinion leaders in Ivory Coast, Kenya, and Uganda on approach for sickle cell disease solution ・First adoption of whole blood automation devices in Zambia ・Record 18 Spectra Optia implemented for cell transplants and red cell exchange 3. 12% sales growth of whole blood automation devices

Note: After the announcement of GS26, we have partially revised the CSV themes, monitoring items, and KPIs for each company.

ESG themes of the GS26

Based on Terumo's sustainability priority themes, we have established specific ESG activity themes and KPIs under GS26. These activities include ensuring the quality, safety, and stable supply of our products and services and fostering an organization where diverse associates can reach their full potential, which forms the foundation supporting CSV. In addition, we are advancing initiatives to meet societal demands, such as achieving carbon neutrality. With these initiatives, we will contribute to our sustainable growth and the realization of a sustainable society.

Themes	KPI*1		FY2023 results*1
Achieve carbon neutrality	CO_2 emissions (Scope 1 and 2, compared to FY2018)	Reduce by 50.4% (FY2030) Achieve carbon neutrality (FY2040)	Reduced by 26.8%
	Ratio of renewable energy use to total electricity use	50% (FY2030)	37.5%
Effective use of resources	Water use (Per unit of revenue, compared to FY2018)	Reduce by 20% (FY2030)	Reduced by 38.5%
	Recycling rate	90% (FY2030)	89.3%
Ensure the quality, safety, and stable supply of products and services	Number of critical findings from regulatory authorities	0	0
Sustainable supply chain management	Critical market shortages	0	0
	Transactions with critical deviations from Terumo's Supplier Guidelines	0	0
Promote safety measures for the work environment	Number of fatal and serious work-related accidents	0	Fatal accident: 0 Serious accident: 2*2
Improve the Associate Experience	Results of the engagement survey conducted for associates	–	Please refer to the "Engagement survey" on P. 63.
Foster an organization that leverages diverse talent to create value	Ratio of non-Japanese in Group Executive Officers (GEO) and global key positions (GKP)	–	GEO: 33.3%*3 GKP: 61.5%*3
	Ratio of female managers (Terumo Corporation)	13% (FY2026)	10.4%
Effectiveness of the Board of Directors	Evaluation of the effectiveness of the Board of Directors (Terumo Corporation)	Conduct annually	Conducted*4
Promote compliance	Violations of laws and regulations with significant impact on Terumo Group management	0	0

Note: After the announcement of GS26, we have partially revised the ESG themes and KPIs.
*1 Scope: Terumo Group (excluding items with notes)
*2 Japan: 0 / Outside Japan: 2
*3 As of April 1, 2024
*4 For details on the evaluation of the board's effectiveness, please refer to the "Evaluation of the effectiveness of the Board of Directors" on pp. 79-80.

Cardiac and Vascular Company

Together with our customers, we strive to create the next standard of patient care and drive the evolution of medicine on the front lines.



Fumihisa Hirose
Group Managing Executive Officer
President, Cardiac and Vascular Company

External environment (opportunities and risks)

External environment

Opportunities	Risks
Vascular intervention*1 ・Increasing needs for same-day discharge and shorter hospital stays ・Growing demand for minimally invasive treatments due to the aging population ・Steady market growth of vascular interventions in new disease areas ・Wider adoption of vascular interventions as therapeutic options for neurovascular diseases in the treatment guidelines ・Improved device performance and clinical outcomes with stent graft implantation technology for aortic aneurysms	**Vascular intervention*1** ・Compliance with stricter regulations, including the EU Medical Device Regulation (MDR) ・Chinese Government's preferential treatment for domestic manufacturers and changes in procurement policy ・Contraction of existing markets due to the development of new treatment methods ・Intensified competition due to clinical evidence for therapies established by competitors
Surgical treatment*2 ・Steady market growth of extracorporeal life support (ECLS) system and extracorporeal membrane oxygenation (ECMO) system ・Growth in emerging markets due to advancements in medical technologies and an increase in Western-type diseases resulting from changes in lifestyle ・Spread of hybrid surgeries*3	**Surgical treatment*2** ・Compliance with stricter regulations, including the EU Medical Device Regulation (MDR) ・Ongoing trend toward minimally invasive treatment due to a transition from surgical treatment to vascular intervention (market contraction)

*1 Vascular intervention: TIS Division, Neurovascular Division, and Vascular Graft Division (stent grafts)
*2 Surgical treatment: Cardiovascular Division, Vascular Graft Division (surgical grafts)
*3 Procedures involving the implantation of a combined surgical graft and stent graft

Strengths

- Training for healthcare professionals that promotes the proper use of our products and disseminates procedures using these products
- Strong partnership with KOL*4
- Product development expertise that integrates proprietary technologies with those acquired through M&As for unique, high-quality products
- Globally standardized organizational structure of sales and marketing, clinical development, and regulatory affairs
- Production network capable of delivering a stable product supply worldwide

Vascular intervention*1

- Leading market share and competitiveness in vascular access products
- Strong brand presence in minimally invasive treatments and radial access procedures*5
- Solution capabilities leveraging our extensive range of product portfolio

Surgical treatment*2

- Leading market share and competitiveness in oxygenators and surgical grafts
- Development and production technologies that made us the world's only company capable of independently developing and mass-producing hollow fibers*6 for oxygenators
- Development and supply capabilities for essential life-saving medical products, including ECMO

*4 Key opinion leaders
*5 A solution where a catheter is inserted through the radial artery
*6 One of the materials used in oxygenators

Strengths of the Cardiac and Vascular Company

At the Cardiac and Vascular Company, we offer a range of products and solutions for vascular interventions and surgical treatments. In the vascular intervention field, we operate globally through our TIS Division, Neurovascular Division, and Vascular Grafts Division (stent grafts). We are also expanding our global presence in the surgical treatment field through our Cardiovascular Division and Vascular Graft Division (surgical grafts).

Our strength in the vascular intervention field lies in our competitive position and strong brand presence, backed by our leading market share in access products, devices which establish pathways from insertion sites to lesions within the blood vessels. In the surgical treatment field, our strength is highlighted by our leading market share in oxygenators and surgical grafts, as well as our proprietary technology that positions us as the world's only company capable of independently developing and mass-producing hollow fibers for oxygenators. In recent years, the demand for minimally invasive treatments, especially vascular interventions, has been expanding in both developed and emerging countries. In developed countries, this trend is primarily driven by the need to shorten hospital stays in response to rising medical costs. Meanwhile, in emerging countries, the demand is influenced mainly by the increasing prevalence of lifestyle-related diseases and advancements in medical technology.

Since the launch of the angiographic catheter in 1985, we have achieved the top global market share in access devices for vascular interventions through the development of high-quality products, and training to promote the use of radial access procedures (vascular intervention performed via an artery in the wrist). We also entered the therapeutic field by acquiring medical devices for neurovascular treatment and aortic repair through mergers and acquisitions, which enabled us to achieve further revenue and profit growth.

We anticipate continued growth in our businesses, driven by the increasing demand for treating complex cases in vascular interventions, including peripheral, visceral, and neurovascular intervention procedures. In addition, the growing adoption of radial access procedures in the U.S., the largest market, is expected to drive this expansion further. Supporting this growth are our operations where the positive effects of cost reduction and enhanced stable supply capabilities, achieved through the automation and efficiency improvements at the Ashitaka Factory and the transfer of production to Costa Rica, are already starting to show. In the medium to long term, we aim to expand our businesses by entering the high-growth venous thromboembolism market and providing digital solutions to create synergies with our existing products.

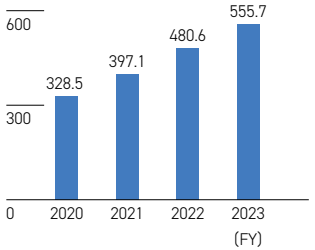
Progress of GS26

With regard to the progress of our five-year GS26 growth strategy, we have achieved mid-to-high single-digit growth in revenue for two consecutive years, excluding the effects of exchange rate fluctuations. This growth was primarily driven by the steady increase in the number of vascular intervention procedures worldwide. Despite challenges such as inflation and supply chain disruptions, we secured profit growth through effective cost-reduction measures and pricing strategies.

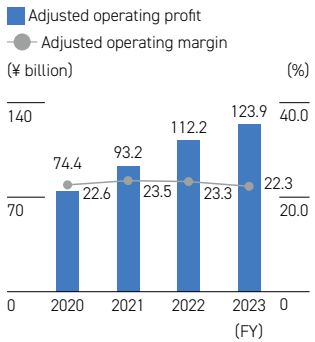
Moving forward, we will continue to expand our range of therapeutic devices and drive sales growth in the TIS, Neurovascular, and Vascular Graft Divisions. In addition, we aim to further increase market awareness of our access product line through the "Radial First" campaign, which promotes the widespread adoption of radial procedures. In response to prolonged inflation, we will continue to review our product pricing globally. Furthermore, we will reduce costs and improve operations through automation and enhanced efficiency at the Ashitaka Factory, and expand production at the Costa Rica Factory.

Through these initiatives, we aim to achieve our financial targets of GS26 (a high-single-digit five-year CAGR in revenue and an improvement in adjusted operating margin by two percentage points) and prepare for the next five-year growth strategy.

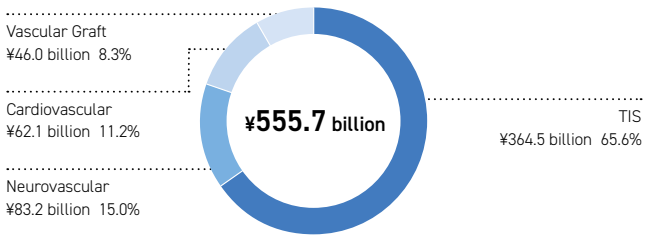
Revenue



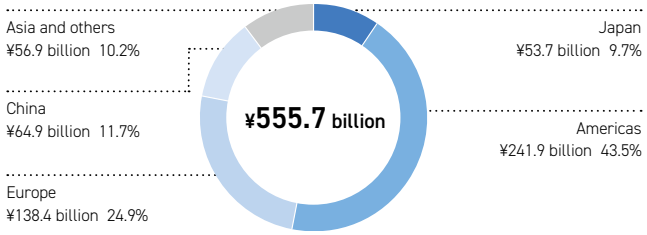
Adjusted operating profit / Adjusted operating margin



Revenue by business (FY2023)



Revenue by region (FY2023)



Note: Revenue composition ratios by business and region are rounded to the first decimal place, and the total may not equal 100%.

TOPICS

Aiming to further improve patient quality of life and reduce healthcare costs in vascular interventions

Initiatives to expand the use of radial access procedures across a broader range of diseases

Percutaneous coronary intervention is widely used as a treatment for ischemic heart diseases, such as myocardial infarction and angina pectoris. In this procedure, a catheter is inserted into a blood vessel, and the lesion (a narrowed or blocked blood vessel) is dilated with a balloon or stent to restore blood flow.

In the past, catheters were typically inserted through the femoral artery. However, radial access procedures, which utilize the radial artery at the wrist, are now widely performed. Compared to insertion in the femoral artery, the radial access procedure has a shorter hemostasis time, allows patients to walk immediately after treatment, and has a lower risk of complications, thereby contributing to a better quality of life for patients. Furthermore, early patient recovery and discharge from hospitals (same-day discharge in some countries) leads to lower medical costs and improved hospital operational efficiencies.

At Terumo, we have focused on developing access devices, products which establish pathways from the insertion site to the lesion in blood vessels during vascular interventions. To date, we have successfully developed access devices in-house, including guidewires coated with a hydrophilic polymer to improve lubricity within blood vessels, and sheaths that facilitate catheter entry into the blood vessels. As a result, we now hold the leading market share in this area*1.

Early on, we began developing products optimized for radial access procedures. Our offerings include sheaths*2 with a small outer diameter that can be inserted into the narrow radial artery while maintaining an adequate inner diameter to pass standard catheters. We also produce a hemostasis device*2 specifically designed for the radial artery, which helps reduce patients' pain while ensuring adequate hemostasis. These products are widely used in vascular interventions.

In addition, collaborating with highly skilled physicians, we have developed educational programs and training models for radial access procedures, actively creating opportunities for skill transfer from physician to physician. We have conducted and sponsored training sessions at hospitals and major academic conferences, distributed videos of experienced physicians providing practical advice, and introduced academic papers on radial access procedures to promote understanding and increase the use of the technique. As a result of these efforts, approximately 70% of coronary artery interventions performed globally are now conducted via the radial artery.

Since fiscal 2022, a key initiative in our five-year growth strategy GS26 has been the promotion of radial access procedures for various diseases, with our focus on expanding this procedure beyond coronary artery diseases, where it is well established, to other areas, including peripheral, visceral, and neurovascular diseases. We aim to achieve this by developing products tailored to each specific condition and providing training opportunities.

While the radial approach can be expanded to more areas, each treatment area requires unique device specifications for treatment and diagnosis, along with specific procedural techniques. It is also essential to fully assess the lesion conditions, access pathways, and patient-specific background to determine appropriate cases for radial access procedures and ensure safe, effective treatment.

For example, when treating peripheral artery diseases in the lower limbs, radial access requires a longer catheter compared to femoral access. We have developed devices designed to enhance pushability, trackability, and crossability, allowing physicians to access and treat lesions smoothly, even with long catheters. In addition, we offer training programs tailored to different diseases and anatomical sites, including online resources such as instructional videos, academic papers, and case studies that cover the necessary information.

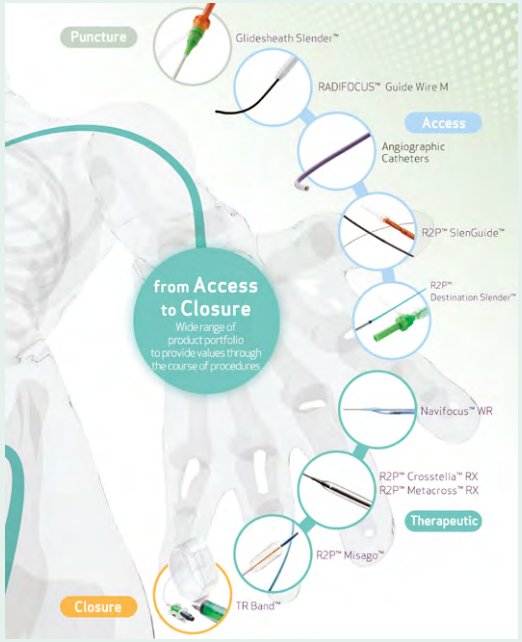
Leveraging our expertise and product development capabilities in coronary intervention, we will continue to promote radial access procedures, which provide less invasive treatment. These efforts will help improve patients' quality of life, improve medical cost efficiency, and drive further growth in access products.

*1 Total sheaths, angiographic catheters, angiographic guidewires (polymer jacket type), and hemostatic devices for the radial artery. Created from Terumo data

*2 To learn more about our products, visit the following website.
Intervention through the Wrist: Thirty Years of Evolution; More to Come
https://www.terumo.com/technology/stories/01



Training for visceral intervention with radial access



Offering a comprehensive range of products for peripheral intervention via the radial approach, from puncture to hemostasis

Medical Care Solutions Company

We provide patient centered solutions that integrate our unique technologies, contributing to the advancement of high quality, innovative medical care.



Itaru Sakaguchi
Group Managing Executive Officer
President, Medical Care Solutions Company
Division President, Hospital Care Solutions Division, Medical Care Solutions Company

External environment (opportunities and risks)

External environment	
Opportunities	**Risks**
・Expanding the scope of healthcare to home settings due to the growing elderly population and the increase in complex and chronic diseases	・Increasing downward pressure on healthcare expenditures and the prices of medical devices and pharmaceuticals in various countries
・Evolving healthcare needs in the post-COVID-19 era	・Rising cost of goods and expenses due to inflation and FX fluctuation risks
・Increasing the value of data-driven solutions through digital transformation of healthcare environments	・Intensifying competition due to the entry of companies from different industries and startups with strengths in digital technology
・Continuous advancement of drug innovations, especially the growing use of biopharmaceuticals	・Strengthening regulations and quality standards for medical devices and pharmaceuticals across different countries

Strengths

- Capability to provide products and solutions to address various challenges in medical settings and hospital management
- Trust-based relationships with customers, cultivated over many years by adapting to changes in healthcare, including the provision of drug delivery solutions that enhance medical safety and efficiency
- Capability to provide solutions that align with the patient journey, encompassing in-hospital and in-home care for chronic diseases, as well as treatments and therapies
- Possessing a proven track record in developing devices that integrate drug-compatible materials, as well as designing and manufacturing combination products of medical devices and pharmaceuticals using advanced manufacturing technologies
- Capability and proven track record in the stable production and supply of high-quality medical devices and pharmaceuticals

Strengths of the Medical Care Solutions Company

The Medical Care Solutions Company has the longest history among the three companies in Terumo. Our strengths lie in our ability to develop, manufacture, and stably supply high-quality products, which we have acquired through many years of business experience and customer trust by addressing challenges in medical settings. At the core of our strengths are drug-delivery technologies that enhance medical safety and efficiency. Leveraging these technologies, we offer a range of products and solutions. These include an advanced infusion system with infusion and syringe pumps equipped with drug libraries and wireless communication capabilities that can be integrated with the clinical information system (CIS), insulin pumps specifically designed to improve the quality of life for people with diabetes, and comprehensive support services from initial product development to commercial manufacturing through partnerships with pharmaceutical companies. In this way, we help ensure that patients receive the medication they need safely and reliably.

Today, the world of medicine is at a major turning point. Several factors are converging to increase the value of systems and support tailored to each patient's journey and solutions that leverage digital technologies. These factors include changes in the nature of diseases faced by aging populations, the need for efficient, long-term care for patients with chronic disease, and the optimization of personalized medical care. We are actively providing solutions that leverage digital technologies to address various medical challenges in both the hospital and home care settings. For instance, in perioperative drug administration, we provide a solution that connects drug infusion systems to clinical information systems. This solution helps improve workflow efficiency and safety and facilitates early patient discharge, thereby contributing to better

hospital management. In addition, in response to the expansion of medical care into the home due to the growing elderly population and the complexity and chronicity of diseases, we offer solutions that connect in-home care and hospital care. These solutions include an application that supports self-management of chronic diseases such as chronic kidney failure and diabetes.

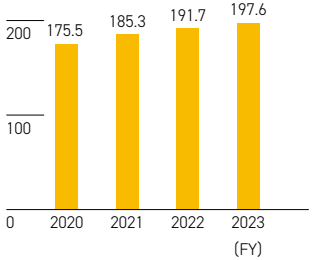
In the pharmaceutical business, demand for contract development and manufacturing organization (CDMO) services is increasing driven by the growing biopharmaceutical market. We specialize in creating medical devices that incorporate materials suited to pharmaceutical use. Leveraging cutting-edge manufacturing technologies, we design and produce sophisticated combination products that merge medical devices and pharmaceuticals. We boast a rich history of collaboration with pharmaceutical companies in Japan. Utilizing this experience, we have initiated the promotion of our services to global pharmaceutical companies, with the aim of globally expanding our successful CDMO business, which was first established in Japan. We will persist in capitalizing on these strengths, adjusting to the evolving requirements of hospitals, patients, and pharmaceutical companies, and concentrate on addressing the challenges faced by our customers.

Progress of GS26

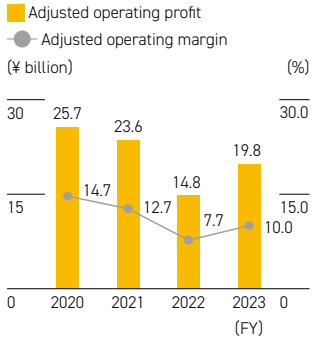
In the first two years of our five-year growth strategy, we faced challenges due to the prolonged impact of COVID-19 and external factors such as currency fluctuations and inflation. Both our revenue and profits were affected, leading us to optimize our portfolio with a focus on market growth and profitability, including discontinuing and transferring certain products and businesses. For our continuing businesses, we implemented a more strategic allocation of management resources and revised our pricing policies to reflect inflation in order to improve profitability.

As we enter the third year of our five-year growth strategy, advancements in digital healthcare and the expansion of the biopharmaceutical market have progressed more rapidly than anticipated. While overseas markets, particularly in the U.S., are showing steady growth, the impact of inflation is lingering. The expansion of the CDMO market is driving companies to increase production capacity, and more companies from different industries are entering the healthcare field. To respond to these changes in the business environment, we are actively considering developing digital solutions through cross-industry collaboration and expanding overseas markets, including OEM supply. In addition, we aim to differentiate ourselves through polymer syringes to expand our CDMO business for biopharmaceuticals. We are also optimizing and streamlining our global production and supply systems to improve profitability. As we continue to adapt to these environmental changes, we aim to achieve the financial targets of GS26 (a mid-single-digit five-year CAGR in revenue and an adjusted operating margin of 15%) through sales expansion, business and product mix improvements, and cost reductions.

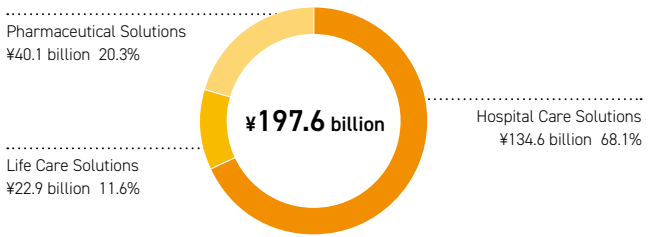
Revenue



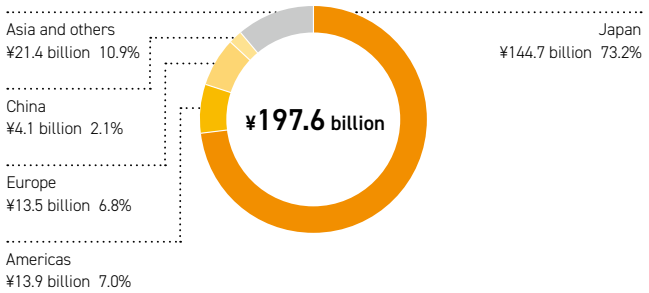
Adjusted operating profit / Adjusted operating margin



Revenue by business (FY2023)



Revenue by region (FY2023)



Note: Revenue composition ratios by business and region are rounded to the first decimal place, and the total may not equal 100%.

TOPICS

Perioperative solutions that leverage our strength in drug administration technologies to support early discharge of patients and hospital management

The Medical Care Solutions Company offers a variety of "Perioperative Solutions" to support early discharge. These solutions include drug administration during operations, early postoperative recovery, pain management, complication prevention, and early nutritional support after operations.

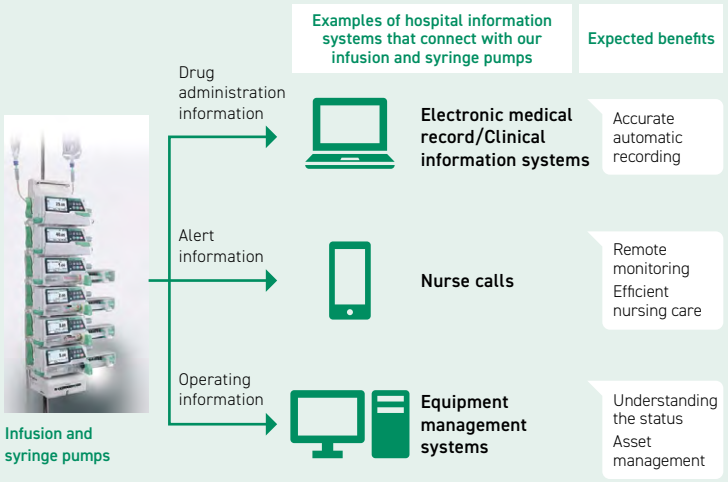
The products that form the basis of this solution are infusion pumps and syringe pumps, for which Terumo boasts the top market share in Japan. Infusion and syringe pumps deliver water, electrolytes, and nutrients to patients through an indwelling needle inserted into a vein and connected to an infusion line. This process helps maintain the normal condition of patients during treatment and recovery. These pumps also administer a combination of various medications, including general anesthetics and circulatory drugs required for operations. When administering drugs and infusion solutions using gravity, where a tube is connected directly to an infusion bag, the rate of administration can vary based on factors such as bed height, drug characteristics, and the passage of time. For patients who require more precise control of drug dosage and timing, infusion pumps or syringe pumps can be used for delivery while controlling the rate of flow. The burden on healthcare professionals in operating rooms and intensive care units (ICUs) is extremely heavy, as they must perform a variety of procedures on multiple critically and acutely ill patients, while at the same time accurately and safely handling a wide variety of drugs and recording their administration. Infusion pumps and syringe pumps can be used to reduce this workload and ensure the accuracy and safety of drug administration.

Among the tasks related to perioperative drug administration, the "anesthesia record," which chronologically summarizes the information necessary for safety management during operations, is crucial. The anesthesia record includes vital signs such as blood pressure, pulse, respiratory rate, body temperature, urine output, and level of consciousness, as well as information on the drugs used, the amount of bleeding, and the volume of infusions. Reviewing the anesthesia record makes it possible to make timely and comprehensive assessments of the patient's condition and respond promptly. In recent years, more hospitals have adopted "automated anesthesia record systems" that utilize IT to create these records accurately and with simple operations.

As hospitals advance in IT integration, Terumo is leveraging information and communication technology (ICT) to offer advanced drug management solutions. These solutions connect infusion and syringe pumps to hospital information systems, such as electronic medical records and automated anesthesia record systems. These pumps are equipped with a drug library with a list of appropriate dosages for each medication and wireless communication capabilities. This setup enables automatic recording and monitoring of drug administration information. By linking the automated anesthesia record system to the infusion and syringe pumps, timely and accurate administration records can be generated by pump operation alone, increasing data reliability. During operations, the patient's condition can be monitored in real-time using vital signs and pump data. After operations, the chronological records of vital signs and pump data can be used to verify intraoperative changes in the patient's condition. This contributes to the efficiency and standardization of hospital operations and improves patient safety during treatment. In addition to providing advanced drug management solutions that can be linked to the automated anesthesia record system, we are developing solutions to support work style reforms for healthcare professionals and promote team-based medical care through a capital and business alliance with MEDCOM, Inc., announced in March 2024.

Recently, the shortage of healthcare professionals has become a significant issue not only in Japan but also in many other countries. In response to this challenge, there has been an increase in adoption of electronic medical record systems to improve workflow efficiency in hospitals while enhancing patient care. We are promoting the introduction of solutions such as infusion pumps, syringe pumps, and pump monitoring systems that can be connected to hospitals' in-house systems to meet these needs in medical facilities, particularly in Asia and other overseas markets. The Medical Care Solutions Company will continue to propose new solutions that address challenges in medical facilities and support patients, thereby providing more quality time for all people involved in healthcare.





Examples of hospital information systems that connect with our infusion and syringe pumps, along with the anticipated benefits

Blood and Cell Technologies Company

Unlocking Potential is our promise to our customers, associates, distributors, affiliate partners, communities, and patients. Every day we are unlocking the potential of blood and cells, technology and data, and our colleagues and customers to improve patient outcomes and serve unmet medical needs.



Antoinette Gawin
Group Senior Managing Executive Officer
President, Blood and Cell Technologies Company
President and CEO, Terumo BCT Holding Corp.

External environment (opportunities and risks)

External environment	
Opportunities	**Risks**
・Heightened importance among pharmaceutical and biotechnology companies to establish stable manufacturing and build capacity to meet the increasing need for commercialized cell and gene therapies ・Increased opportunities for the adoption of new therapies in response to unmet medical needs in the therapeutic apheresis market ・Growth in source plasma collection ・Increasing need for process efficiencies and data connectivity in response to soaring healthcare costs as the population ages ・Advancements in precision medicine driving a greater need for patient-specific medical information	・Implementation of more stringent regulations increasing the importance of clinical data and quality assurance ・Decreased blood supply due to a decline in donor numbers ・Emergence of drugs, alternative treatments, and disruptive therapies, such as cell and gene therapies, with the potential to compete with therapeutic apheresis ・Modified customer purchasing patterns to address business continuity concerns, local manufacturing preferences, an uncertain economic environment, and sustainability goals ・Increased customer concern about protecting the confidentiality, integrity, and availability of information and assets from cybersecurity threats

Strengths

- Sophisticated automated cellular and blood component manufacturing processes and data integration systems to deliver better treatment outcomes and drive efficiencies
- Innovation utilizing a broad product portfolio and an expansive global sales and support network
- Increased manufacturing flexibility with new facilities in the U.S. and Costa Rica
- Strong customer relationships fostered through services and clinical support
- Expanded health economics and market access capabilities providing more treatment options to patients across the globe
- Strong brand reputation in the blood and blood component market

Strengths of the Blood and Cell Technologies Company

At Terumo Blood and Cell Technologies, we provide compelling and accessible innovations that unlock the power of blood and cells globally.

We shape patient access by influencing reimbursement policies for blood- and cell-derived treatments. This commitment allows us to advance standards of care to improve patient outcomes in regions where we have a strong presence while building a footprint in areas with high unmet medical needs.

We champion and support a safe, equitable, and sustainable blood supply through innovation and automation. We advance cell and gene therapy, from offering cell collection protocols that enable therapy development to supporting the scale-up and scale-out of therapies for clinical trials and market readiness.

We design comprehensive solutions by integrating core technologies with advanced digital systems. Our Plasma Innovations segment is built on a holistic ecosystem that supports the growing demand for plasma-derived therapies. The Kinari Device Management Platform*[1] and Myata Customer Service Portal*[2] work in concert with our Rika Plasma Donation System to

enhance efficiencies, delivering superior outcomes for customers, donors, and patients.

Our presence in over 150 countries demonstrates our resilience in facing global challenges. We transformed our supply chain and delivery network to manufacture products closer to customers and patients worldwide, delivering whenever and wherever they are needed.

Our strength lies in understanding the healthcare market complexities that affect our customers, delivering solutions that combine technology with customer expertise to help meet their biggest challenges.

As we advance, Terumo Blood and Cell Technologies will continue shaping healthcare's future through innovation, connectivity, and transformative business models. Our commitment to the patients we serve ensures we remain relevant and impactful in the evolving global healthcare landscape.

*1 Device management software that enables overnight center conversion, proactive fleet management, and electronic software distribution.

*2 A customer service portal that streamlines plasma center management.

Progress of GS26

Terumo Blood and Cell Technologies remains poised for growth despite COVID-19 supply chain challenges.

We have returned to growth by modernizing our infrastructure, including internal systems investment, and transforming our delivery network to be closer to the customers and patients we serve. We have launched new products for cell and gene therapies and blood centers and have notably expanded into the source plasma segment. Additionally, we are shaping standards of care by influencing reimbursement policies to extend patient access to blood- and cell-derived treatments.

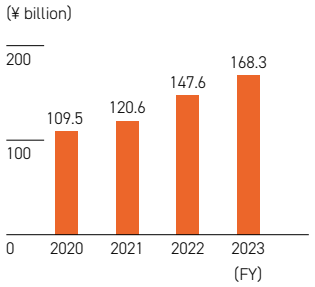
We are on target to achieve the GS26 goals, with consecutive high-single-digit revenue growth. The core business remains robust, and our new Plasma Innovations business is ramping up as planned. While inflation has impacted margins, we have improved profitability through pricing initiatives and transferring disposables production from the U.S. to Costa Rica.

Looking ahead, we will continue the strong rollout of the Rika Plasma Donation System in all CSL Plasma U.S. centers through early 2025. Our Global Blood Solutions segment, which primarily offers solutions for blood centers, continues to perform well, growing potential with the Reveos platform, recently FDA-cleared for commercialization in the U.S. and steady expansion elsewhere.

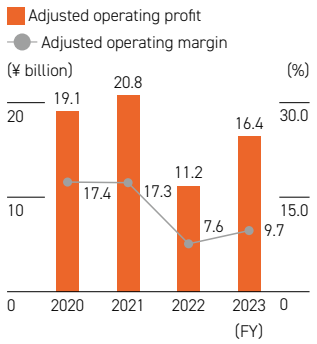
Our Global Therapy Innovations segment includes therapeutic apheresis and cell therapy technologies. We launched both Quantum Flex and Finia for cell and gene therapy, along with an array of services and digital solutions that position us for strong growth in this segment.

We remain committed to strong performance through technological advancements, customer relationships, and manufacturing flexibility. We aim to achieve GS26 KPIs with near double-digit topline growth and a 20%+ adjusted operating profit margin.

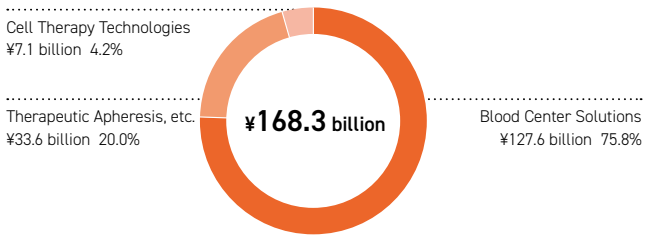
Revenue



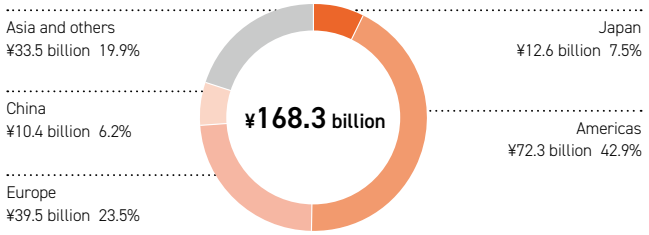
Adjusted operating profit / Adjusted operating margin



Revenue by business (FY2023)



Revenue by region (FY2023)



Note: Revenue composition ratios by business and region are rounded to the first decimal place, and the total may not equal 100%.

TOPICS

Red blood cell exchange (RBCX) for sickle cell disease (SCD) with Spectra Optia

Sickle cell disease (SCD) is an inherited blood disorder affecting millions worldwide. Its hallmark acute pain crises can lead to hospitalization or worse. Unfortunately, today there are significant disparities in treatment access and patient outcomes.

Terumo Blood and Cell Technologies is addressing these challenges by increasing access to our therapy-enabling technology, partnering with healthcare networks, and advocating for policy changes to meet unmet patient needs.

Our Spectra Optia Apheresis System performs automated red blood cell exchange (RBCX), a treatment protocol that helps manage SCD by removing sickled cells and replacing them with healthy ones. This protocol reduces the risk of complications like stroke, acute chest syndrome, and organ damage.

The UK, with approximately 15,000 SCD patients, is a country where our efforts and technology have made an impact. In partnership with the UK's Health Innovation Network, we have advanced the implementation of Spectra Optia to 22 hospitals across the UK to help meet the needs of this underserved patient population. A £1.5 million investment by the National Health Service (NHS) will create capacity for an additional 10,000 RBCX procedures per year. This collaboration also ensures healthcare providers can effectively utilize this technology, through training, optimized treatment protocols, and routine clinical integration aiming to improve treatment outcomes.

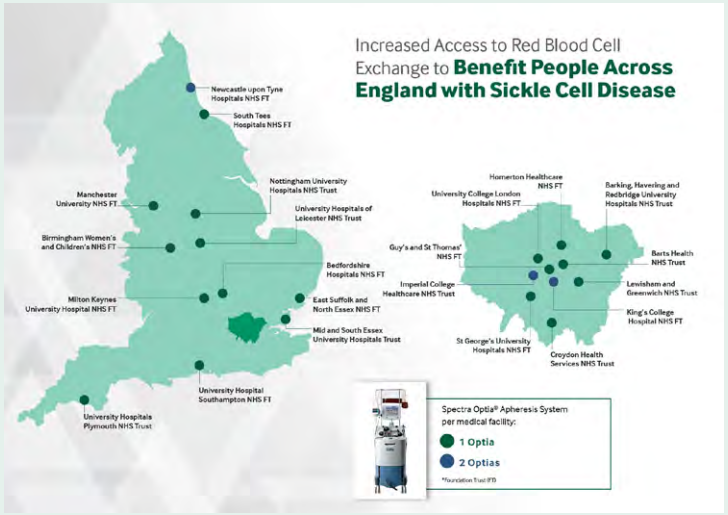
Beyond technology, we undertake actions to raise awareness about the unmet needs of SCD and advocate for needed policy changes to improve patient access and outcomes. Together with organizations like the Sickle Cell Society and the NHS, we support educational programs and research initiatives. Advocacy efforts are aimed at healthcare policy improvements to address improved access to treatment and health inequalities, investments in training and skill development, newborn screening, and encouraging strategic dialogue with relevant stakeholders.

In addition, we work with patient advocates to provide information about available treatment options. This empowers patients and their families to make informed health decisions through collaborative patient-provider relationships, which are crucial for effective disease management.

Terumo Blood and Cell Technologies is working to translate its success in the UK to other regions around the world through similar programs to advance access to timely, effective, and equitable care.



A patient receiving treatment with Spectra Optia



A map demonstrating Spectra Optia being delivered to 22 hospitals across the UK to increase access to care

Sustainability at the Terumo Group

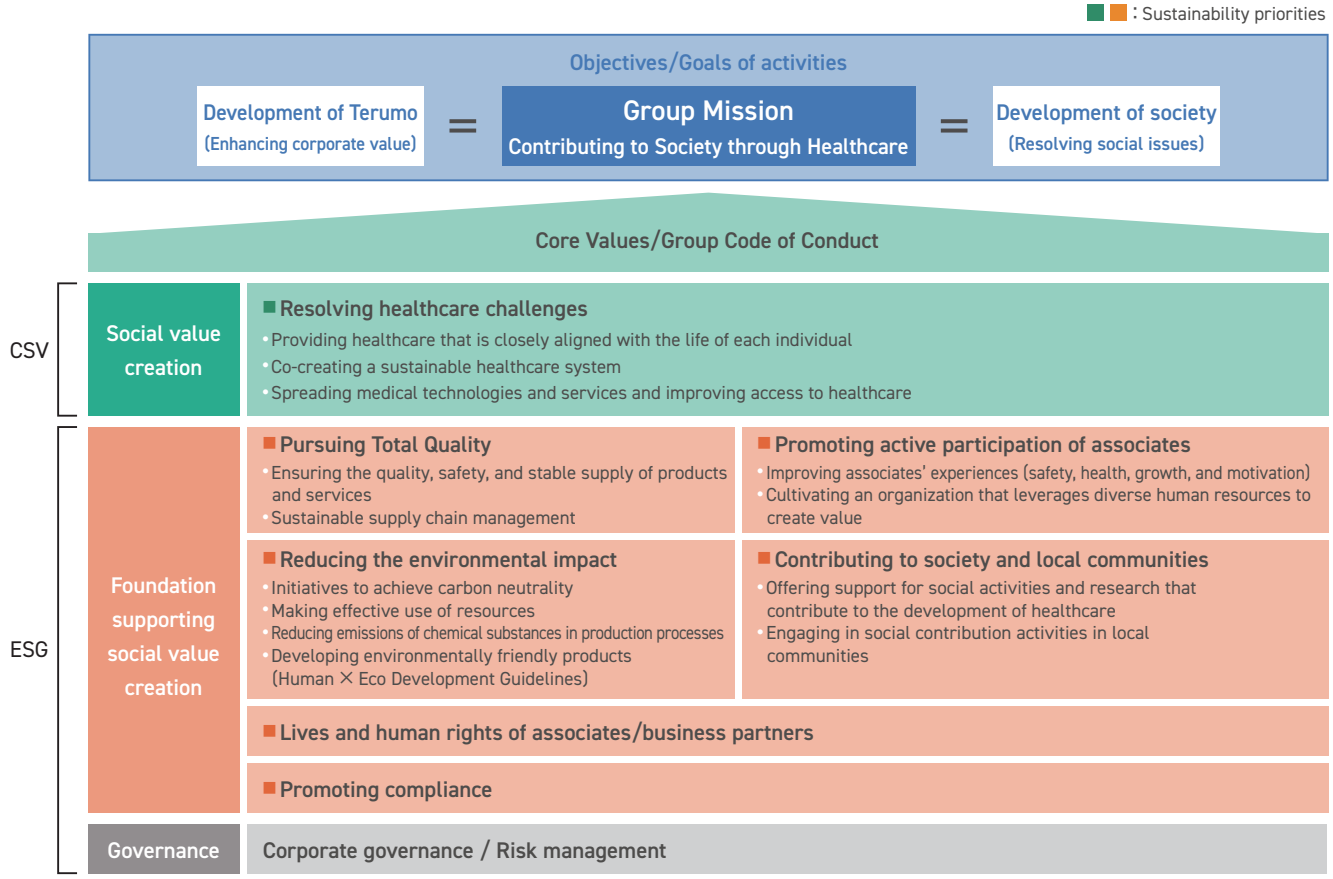
Terumo Group Sustainability Policy

Based on the Group Mission of Contributing to Society through Healthcare, Terumo believes that its social mission (corporate purpose) is to lead the advancement of healthcare and the enhancement of patients' QOL. To achieve this, Terumo will strive for the utmost quality in all activities, create solutions of value by utilizing new technologies, and spread those solutions globally.

Amid drastic changes in social and global environments, Terumo will also take leadership toward solving a variety of social issues, and to meet the expectations of its broad range of stakeholders.

Through these sustainability efforts, Terumo will contribute to the realization of a sustainable society, create new Terumo strengths and culture, and bring about sustainable corporate growth. With the Core Values and Group Code of Conduct as guides, we will meet the future challenges of healthcare and society together as Terumo Group associates.

Sustainability priorities



Sustainability priorities

Sustainability Priorities

Based on the Terumo Group's Sustainability Policy, we have identified seven sustainability priorities we will focus on to realize our Group Mission. These priorities are classified into the categories of "Social value creation" (CSV) and "Foundation supporting social value creation" (ESG). (Please refer to pp.17-19 for specific CSV/ESG themes and KPIs set out in our five-year growth strategy GS26 based on our sustainability priorities.)

Social value creation (CSV)

We have defined "Resolving healthcare challenges" as the most important sustainability priority for us and will focus on contributing to the advancement of healthcare and the enhancement of patients' quality of life. By doing so, we will create value for society and strive to realize a sustainable society as well as the group's sustainable growth.

Foundation supporting social value creation (ESG)

As a foundation to support the creation of social value, we have set six sustainability priorities including "Pursuing Total Quality," "Promoting active participation of associates," "Reducing the environmental impact," and "Lives and human rights of associates and business partners." While responding to various social demands, we will build a solid business foundation through our unique activities.

The Process to determine sustainability priorities

The Terumo Group determines priorities according to the following process.

STEP1 Identify potential issues

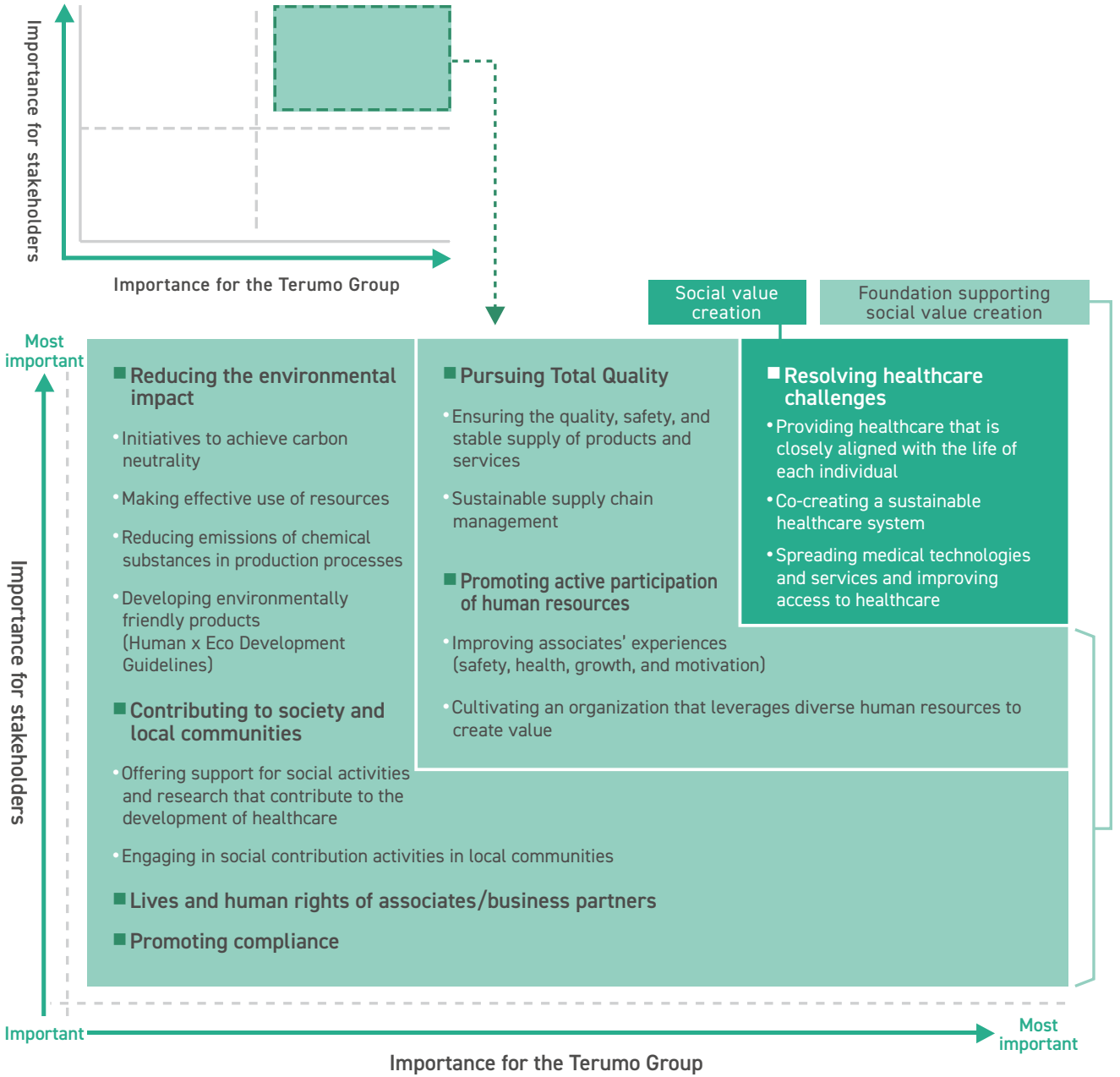
Referring to sustainability guidelines and standards such as those published by GRI and SASB, comprehensively identify which sustainability issues concern the Terumo Group.

STEP2 Prioritize

Evaluate how important these issues are for the Terumo Group, in terms of their importance to stakeholders and relevance to our Group Mission and other related policies. Select those that are highly important to both parties.

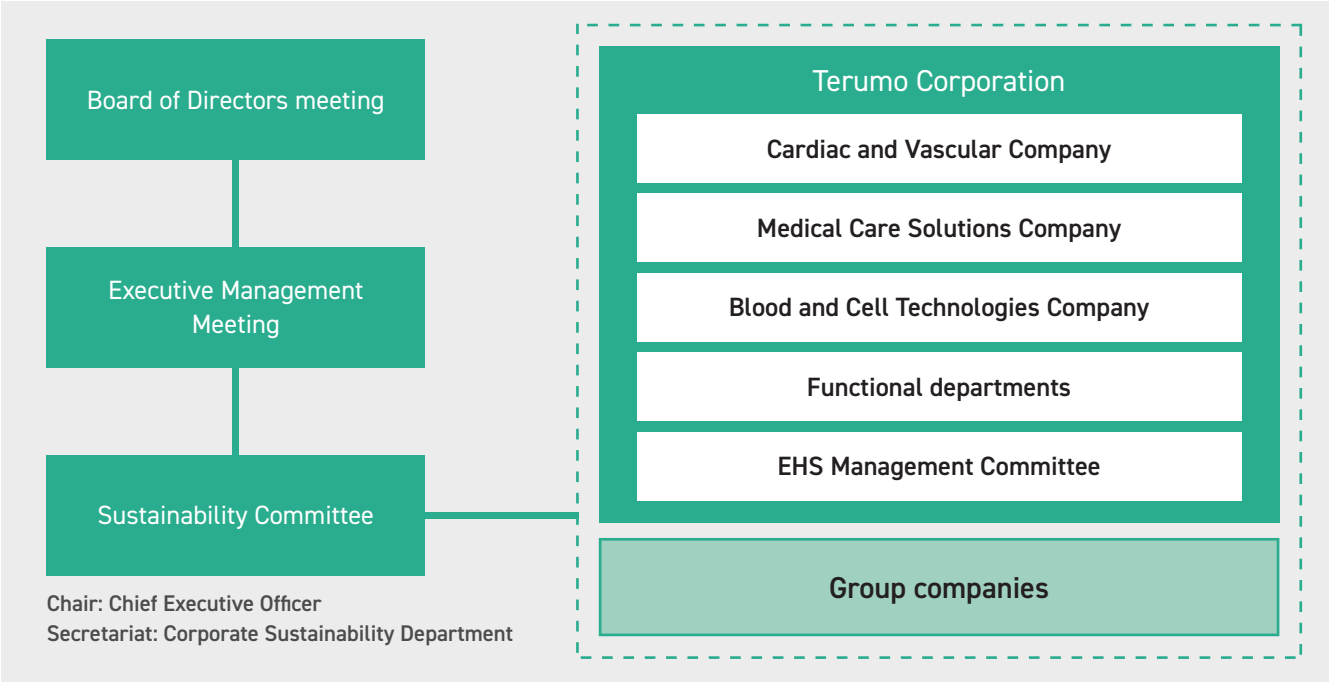
STEP3 Determine priorities

Taking into consideration the current status of initiatives within the Terumo Group, determine the sustainability priorities from among those that had been selected for their high level of importance. The Executive Management Meeting and the Board of Directors meeting then deliberates over the priorities that were identified to confirm that they are appropriate.



Sustainability management

Terumo established the Sustainability Committee in April 2023. The Sustainability Committee under the Executive Management Committee develops action policies and priorities related to sustainability, including CSV and ESG, finds ways to disseminate them throughout the Terumo Group, and promotes specific initiatives, by working together with relevant departments and the group companies. The Sustainability Committee also monitors the progress of the initiatives and KPIs for CSV and ESG and reports them regularly to the Executive Management Meeting and the Board of Directors meeting. Matters raised at the Executive Management Meeting and the Board of Directors meetings are fed back to the relevant departments or the Terumo Group companies to enhance the initiatives. Terumo also understands the societal expectations and demands of the Terumo Group through communication and dialogue with internal and external stakeholders and incorporates them into its initiatives.



As of November 1, 2024

Participation in initiatives

United Nations Global Compact

In 2012, Terumo became a signatory to the United Nations Global Compact. This action reflects Terumo's agreement with the Ten Principles of the compact, which relate to human rights, labor practices, the environment, and anti-corruption measures. Under the Group Mission of "Contributing to Society through Healthcare," the Terumo Group is striving to practice these principles throughout the course of its business operations.

WE SUPPORT
UN GLOBAL COMPACT

Science Based Targets initiative (SBTi)

Terumo's greenhouse gas (GHG) emissions reduction targets for fiscal 2030 have been approved by the Science Based Targets initiative (SBTi) as being aligned with the common goal to limit global temperature rise to 1.5°C above pre-industrial levels.

SCIENCE BASED TARGETS
DRIVING AMBITIOUS CORPORATE CLIMATE ACTION

External recognition

MSCI Nihonkabu ESG Select Leaders Index

Terumo has been selected as a constituent stock of the MSCI Nihonkabu ESG Select Leaders Index, a major index of Environmental, Social, and Governance (ESG) investment (as of June 2024).

* The INCLUSION OF TERUMO IN ANY MSCI INDEX, AND THE USE OF MSCI LOGOS, TRADEMARKS, SERVICE MARKS OR INDEX NAMES HEREIN, DO NOT CONSTITUTE A SPONSORSHIP, ENDORSEMENT OR PROMOTION OF TERUMO BY MSCI OR ANY OF ITS AFFILIATES. THE MSCI INDEXES ARE THE EXCLUSIVE PROPERTY OF MSCI. MSCI AND THE MSCI INDEX NAMES AND LOGOS ARE TRADEMARKS OR SERVICE MARKS OF MSCI OR ITS AFFILIATES.

2024 CONSTITUENT MSCI NIHONKABU ESG SELECT LEADERS INDEX

FTSE4Good Index Series/FTSE Blossom Japan Index/FTSE Blossom Japan Sector Relative Index

Terumo has been selected as a constituent stock of the FTSE4Good Index Series, the FTSE Blossom Japan Index, and the FTSE Blossom Japan Sector Relative Index created by FTSE Russell (as of June 2024).

FTSE4Good
FTSE Blossom Japan
FTSE Blossom Japan Sector Relative Index

ISS ESG Corporate Rating

Terumo has been rated "Prime" in "The ESG Corporate Rating" by ISS ESG, an ESG investment solution business unit of the world's leading proxy advisory firm, ISS, Institutional Shareholder Services Inc. of the U.S. (as of June 2024).

S&P/JPX Carbon Efficient Index

Terumo has been selected for inclusion in the S&P/JPX Carbon Efficient Index (as of June 2024).

S&P/JPX Carbon Efficient Index

SOMPO Sustainability Index

Terumo has been selected for inclusion in the SOMPO Sustainability Index (as of June 2024).

2024 Sompo Sustainability Index

Environment

34 EHS management

36 Development of environmentally friendly and safe products

38 Initiatives to address climate change

44 Effective utilization of resources and initiatives to realize a circular economy

46 Effective utilization of water resources

47 Proper control of chemical substances

48 Initiatives for biodiversity conservation

EHS management

Basic approach

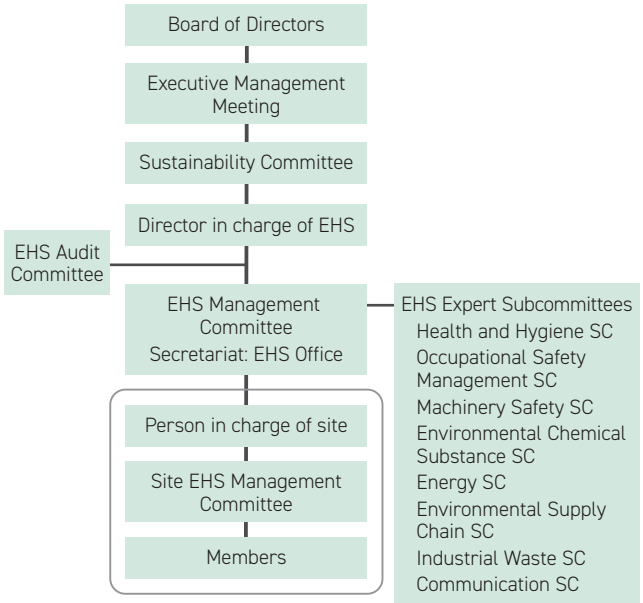
Ensuring occupational safety, promoting the health of employees, and reducing the environmental impact of business activities are important social responsibilities for companies and are crucial to sustainable growth. Acting in accordance with the Terumo Group Environment, Health and Safety (EHS) Policy, the Terumo Group advances initiatives for ensuring occupational safety and promoting the health of its employees throughout all of its business activities, strives to develop safe and comfortable work environments, and works to reduce the impact of its business activities on the environment. (For information on the initiatives to promote occupational safety and health, please refer to "Occupational Safety and Health" on pp. 68-69)

Terumo Group EHS Policy (Please visit the Regulations and Standards section of Terumo's corporate website.)
https://www.terumo.com/about/regulation

EHS management

Based on the Terumo Group EHS Policy, we employ an EHS management system that is compliant with international environmental (ISO 14001: 2015) and occupational health and safety (ISO 45001: 2018) standards. As a key part of Terumo's focus on sustainability in business, EHS policies, risks, opportunities, goals, and activity plans are discussed and related decisions are made by the EHS Management Committee, which is chaired by the director in charge of EHS, and then reflected in EHS activities at Terumo Group sites worldwide. EHS Expert Subcommittees, consisting of experts drawn from individual business sites, have been established under the EHS Management Committee, and these subcommittees propose strategies, policies, targets, and activity plans pertaining to their respective areas of responsibility. In addition, the EHS Audit Committee conducts internal audits of business sites to confirm the implementation status and effectiveness of their systems and their compliance with relevant laws. Ongoing improvements are pursued based on the results of these audits.

Organization for company-wide promotion of EHS management system



ISO 14001 (Environment) certification

Principal manufacturing sites in Japan, a certain number of manufacturing sites overseas, and the head office (EHS Office) have obtained third-party certifications of their compliance with the ISO 14001 standards. The ratio of certifications obtained is 44% on a manufacturing site basis. (For information on ISO 45001 certification, please refer to p. 69.)

Company name	Site
Terumo Corporation	Head office (EHS Office)
	Fujinomiya Factory
	Kofu Factory
	Ashitaka Factory
Terumo Yamaguchi Corporation	–
Terumo Medical Corp.	Elkton Factory
Terumo Europe NV	Haasrode Factory
	Genk Warehouse
Terumo Vietnam Co., Ltd.	Terumo Vietnam Factory
Terumo BCT, Inc.	Terumo BCT Lakewood Factory
Terumo Penpol Pvt. Ltd.	Blood bag factory
Terumo BCT Vietnam Co., Ltd.	Terumo BCT Vietnam Factory
Terumo BCT, Ltd.	Terumo BCT Larne Factory
Vascutek Ltd.	Vascutek factory

(As of April 30, 2024)

EHS risk management

EHS internal audits

The Terumo Group EHS Audit Committee conducts EHS internal audits to confirm the status of initiatives for reducing environmental, health, and safety risks and to assess EHS performance (progress toward the achievement of EHS targets). When nonconformities have been identified, corrective actions are taken and their effectiveness is checked to prevent recurrences. In fiscal 2023, such audits were conducted at 10 business sites.

Audit tasks

1. Check conformity with ISO 14001:2015 and ISO 45001:2018
2. Check compliance with EHS-related laws, regulations, agreements, etc.
3. Check compliance with the Terumo Group EHS Policy and with internal rules and standards
4. Check the operational status of EHS management systems and performance (effectiveness, key performance indicators)
5. Check the status of improvement regarding issues identified through audits, etc.

Audits of waste-treatment contractors

To confirm the appropriate processing of industrial waste generated by Terumo, we perform systematic audits of waste collection and disposal contractors. In fiscal 2023, we conducted audits at 52 contractors in Japan and determined that waste collection and disposal are being performed properly.

Training and education

To ensure a solid understanding of the Terumo Group EHS Policy and EHS activities, we conduct a basic EHS education program for all associates of Terumo once a year. We have also prepared education materials tailored to the needs of factories, R&D bases, and sales offices and use them in regularly conducted education and training programs. Apart from these systematic education initiatives, EHS information is distributed via the intranet and internal bulletin boards. Through these and other such initiatives, we are striving to increase EHS awareness among our associates.

Response training for environment-related emergencies and accidents

Individual business sites have established emergency response procedures to prevent accidents and disasters, and to lessen the severity of such incidents should they occur. They also conduct emergency response training and review the results on a regular basis. In fiscal 2023, there were no serious environment-related accidents or leaks.

Compliance with environmental laws and regulations

In fiscal 2023, there were no major violations, fines, or penalties related to environmental laws or regulations, including air and water pollution. (For more information about major violations, fines, or penalties related to environmental laws or regulations, including air and water pollution, please refer to "Environmental Data" on P. 106.)

Award program for recognizing outstanding EHS activities

At the Terumo Group, we present the "Terumo EHS Sustainability Award" annually (formerly known as the Terumo Human × Eco Award) to recognize initiatives that contribute to environmental, health, and safety (EHS). This award aims to promote EHS activities by evaluating and sharing excellent case studies throughout the Terumo Group.

In fiscal 2023, we recognized efforts to reduce environmental impact through initiatives to achieve carbon neutrality for Scope 1 and 2 emissions. These initiatives included energy conservation measures and transitioning to renewable energy sources. We also recognized the efforts to promote efficient resource utilization through waste reduction. Furthermore, for the second consecutive year, we awarded programs contributing to reducing Scope 3 emissions by reducing energy consumption through improved transportation efficiency. With regard to occupational safety activities, we recognized an initiative focused on preventing work-related injuries in production processes through ergonomic improvement programs.

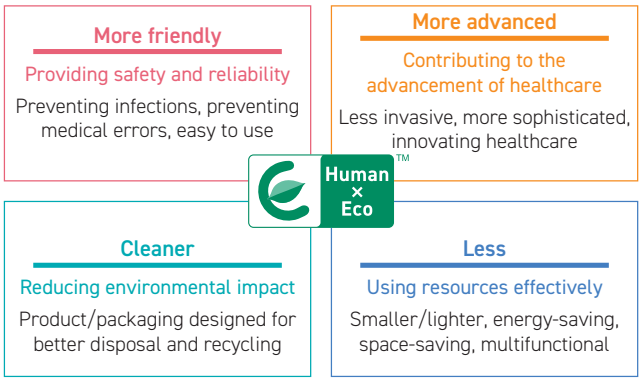
Development of environmentally friendly and safe products

Human × Eco Development Guidelines

Terumo has established and applied to product development its proprietary Human × Eco Development Guidelines, a set of guidelines for developing products that are friendly to both people and the environment.

These guidelines consist of four principles—more friendly (providing safety and reliability), more advanced (contributing to the advancement of healthcare), cleaner (reducing environmental impact), and less (using resources effectively)—and 24 directives based on these principles. Products that exhibit excellence with regard to these principles and directives display the "Human × Eco" logo, an internal certification mark, to make this excellence readily apparent to customers.

"Human × Eco" Development Guidelines



Examples of Human × Eco certified products

Introducer kit for radial approach—Minimally invasive, medically cost-efficient, and resource-conserving

Percutaneous coronary intervention (PCI) can be performed by inserting a catheter at either the wrist or the groin. The radial approach, in which a catheter is inserted through the radial artery in the wrist, entails fewer complications, such as post-procedure bleeding, and is less invasive than the femoral approach. Terumo has developed an innovative introducer kit that features a sheath with a thinner, more finely formed wall for a smaller outside diameter. A narrower sheath makes more treatment options available for patients with small arteries while also reducing costs and resource usage associated with post-procedure complications.



Introducer kit for radial approach

Guiding catheter for radial approach—Minimally invasive, medically cost-efficient, and resource-conserving

Used together with Terumo's introducer kit for the radial approach, this guiding catheter makes it possible to perform the radial approach for treating peripheral artery diseases. Compared with the transfemoral approach, the radial approach is less invasive, places less of a burden on medical professionals and patients, and is more medically cost-efficient. In addition, the packaging type used for this guiding catheter has been changed to realize a 45% reduction in package weight and a 61% reduction in package size. This change is anticipated to contribute to the environment by helping to conserve resources and space and reduce the amount of energy required for transportation.



Guiding catheter for radial approach

Drug-eluting stent—Minimally invasive, medically cost-efficient, and resource-conserving

Drug-eluting stents are medical devices that are embedded in patients' bodies to treat conditions such as angina pectoris and myocardial infarction resulting from contraction or blockage of the coronary artery of the heart. Terumo has proceeded to refine the delivery systems of its drug-eluting stents to improve ease of use and passage in order to facilitate smooth treatment of even complicated lesions. These refinements are expected to reduce the burden placed on healthcare professionals and patients while offering higher economic benefits.
In addition, the packaging type used for these drug-eluting stents has been changed to realize a 14% reduction in package size. This change is anticipated to provide environmental benefits by helping to conserve resources and space and improving transportation efficiency.



Drug-eluting stent

Intravascular ultrasound catheter—Shortened examination times and improved efficiency

Intravascular ultrasound catheters are used during intravascular ultrasounds, an examination that employs ultrasonic waves to visualize the interiors of blood vessels. By improving the image resolution, image acquisition, processing speeds, and ease of operation of our catheters, we have helped reduce the time required for preparations, examinations, and image interpretation in intravascular ultrasounds. We anticipate that the shorter procedure times will reduce the burden on patients and medical professionals, thereby contributing to the realization of safer and more efficient treatments.



Intravascular ultrasound catheter

Infusion pump—Resource conservation and improved usability

An infusion pump is a medical device that administers an intravenous solution (IV) etc. at a specified flow rate. By comparison with conventional devices, this product is around 40% lighter. This makes it easier to carry around, and it is also expected to make a positive contribution to environmental protection through resource conservation and enhanced delivery efficiency. Furthermore, the infusion pump includes a color LCD screen for improved visibility and a wireless communication feature that allows easy transfer of the pump's operational history data. These features are expected to improve the working efficiency of healthcare professionals.



Infusion pump

IV (Intravenous) solution bag—Conservation of resources and reduction of waste

We have developed an IV solution bag designed to be environmentally friendly. It is manufactured with less plastic, in a production process that consumes less energy and emits less CO_2 than previous processes. In addition, because the new IV solution bags weigh 23% less than prior bags, we expect them to generate less waste and reduce the overall impact on the environment.



IV solution bag

Vaccination syringe—Conservation of resources and reduction of waste, timely development to meet medical demand during the COVID-19 pandemic

In 2021, when vaccination against COVID-19 was underway in Japan, there was urgent demand for syringes that could be used for intramuscular injection. To prevent the wasting of precious vaccine doses, Terumo applied the technology from its low dead-volume syringes, initially designed for subcutaneous injections, to create a new syringe specifically for intramuscular injections. This new syringe features a longer embedded needle, measuring 16mm, compared to the 13mm needles found in existing models. This new product received manufacturing and sales approval as Japan's first syringe with an embedded needle for intramuscular injection with COVID-19 vaccine. It was on sale within three months of development beginning. The needle embedded in the syringe allows more efficient use of the vaccine agent while reducing the amount of plastic needed in manufacturing.



Syringe for vaccine

Closed infusion systems—Contributions to safer, more efficient infusion line management

Keeping infusion line mixers closed helps to prevent contamination by external airborne microbes. In addition, our infusion line connectors are designed to not retain any liquid and, therefore, can be used to deliver even very small amounts of drug solutions. Even the connection of syringes and infusion devices requires no special adapters, so drug solution delivery is simple, quick, and more secure from procedural errors. Easy inventory management contributes to greater safety and efficiency in managing infusion line stocks.



Closed infusion system

Safety IV catheter—Improved usability and medical cost efficiency

This Safety IV catheter is designed to improve the success rate of punctures by creating a sharper needle tip angle compared to conventional models. Additionally, it features a unique design that allows the healthcare professional who performed the puncture to visually confirm that the catheter has successfully accessed the blood vessel. These features are expected to increase the success rate of indwelling the catheter in the blood vessel, reducing the psychological burden on healthcare professionals and patients. Moreover, the improved success rate of indwelling the catheter reduces product waste generated by improper insertion into blood vessels, thereby contributing to improved medical cost efficiency. Furthermore, the modified shape of the product has resulted in a 12% reduction in product weight compared to conventional products.



Safety IV catheter

Products free of hazardous substances

Leading the industry toward mercury-free products

The Minamata Convention on Mercury took effect in August 2017. Under the convention, it has been illegal to manufacture and engage in trade involving products containing mercury since 2021. Terumo stopped producing mercury thermometers in 1984, more than 30 years ago. Since then, we have developed and launched products such as mercury-free digital thermometers and digital blood pressure monitors, which are safer for use and environmentally friendly. Through these efforts, we are committed to eliminating mercury from our products used in medical settings and at home.

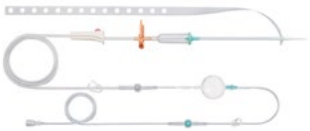


Digital thermometer

Digital blood pressure monitor

Promoting PVC-free, DEHP-free products

Terumo helps reduce the release of toxic gas from the incineration of polyvinyl chloride (PVC) by promoting the use of PVC-free packaging. We also use alternatives to Di (2-ethylhexyl) phthalate (DEHP) whenever possible due to concerns over its biological hazards.



Polybutadiene IV solution set



PVC-free IV solution bag



DEHP-free cardiovascular circuit

Initiatives to address climate change

Various international frameworks have been established in regard to climate change, such as the Paris Agreement and the United Nations Sustainable Development Goals, which were both adopted in 2015. Against this backdrop, companies are expected to set and work toward accomplishing greenhouse gas (GHG) emissions reduction targets based on scientific evidence.

Terumo recognizes that reducing the GHG emissions from its business activities is an important management task. To address this challenge, we are focusing on improving energy efficiency and implementing measures to combat climate change through a concerted effort across the Terumo Group. To further accelerate countermeasures against climate change, Terumo revised its reduction target for GHG emissions from its business activities (Scope 1 and 2) in fiscal 2021 and set a new target of achieving carbon neutrality* by fiscal 2040. Terumo's GHG emissions reduction targets for fiscal 2030 have been approved by the Science Based Targets initiative (SBTi) as being aligned with the common goal to limit global temperature rise to 1.5°C above pre-industrial levels. In addition, Terumo has set a target for renewable energy use to achieve its GHG emission reduction targets. Terumo will further promote the use of renewable energy such as solar power in addition to conventional energy-saving activities. Terumo will also work to reduce GHG emissions throughout the value chain such as reducing waste, making effective use of natural resources, developing environmentally friendly products, and advancing joint delivery with other companies.

* Carbon neutrality means that the amount of carbon dioxide emitted and the amount of carbon dioxide absorbed are in balance.

Terumo Group's GHG emissions reduction targets

Scope 1 and 2*

- Reduce absolute GHG emissions by 50.4% by FY2030 compared to FY2018
- Increase the renewable electricity use ratio to 50% by FY2030
- Achieve carbon neutrality by FY2040

Scope 3

- Reduce GHG emissions 60% per unit of revenue by FY2030 compared to FY2018

SCIENCE BASED TARGETS

DRIVING AMBITIOUS CORPORATE CLIMATE ACTION

* Scope: Reporting is based on the following GHG Protocol categories.

Scope 1: Direct GHG emissions by the company (e.g., fuel combustion)

Scope 2: Indirect GHG emissions from energy production such as purchased electricity (e.g., GHG emissions from electric companies)

Scope 3: Other indirect GHG emissions (Emissions from other companies in raw material production, transportation, disposal, and other activities related to the company's business operations)

Reduction of GHG emissions

Scope 1 and 2

The Terumo Group is reducing GHG emissions by improving energy efficiency through adopting high-efficiency equipment and operating facilities efficiently, using renewable energy, and switching to energy with low GHG emissions.

In fiscal 2023, we reduced GHG emissions by approximately 7,500 tons by implementing 181 energy efficiency improvement projects. These projects included upgrading utility facilities and production equipment, improving operational methods for these facilities and equipment, and minimizing unnecessary energy consumption. This reduction volume is equivalent to 3.6% of the Terumo Group's GHG emissions in the previous fiscal year. We are also promoting the transition to renewable energy for electricity, tailored to the specific conditions of each country and region. These measures include advancing the switch to renewable energy power options in Japan and Europe, purchasing non-fossil certificates in Asia, introducing solar power generation facilities for self-consumption, and utilizing corporate power purchase agreements globally. Through these efforts, we have reduced GHG emissions by approximately 82,000 tons, and the ratio of renewable energy to the total electricity used by the Terumo Group in fiscal 2023 was 37.5%. In the Americas, we have three factories that manufacture our products in Costa Rica, where the usage rate of electricity derived from renewable energy is high.

As a result of all these efforts, we reduced the Terumo Group's total GHG emissions by 26.8% in fiscal 2023 compared with the target base year of fiscal 2018, achieving a significant reduction.

To achieve carbon neutrality for the Terumo Group by fiscal 2040, we will continue to advance initiatives to reduce GHG emissions, such as improving energy efficiency and switching to renewable energy for electricity. To support these efforts, we have implemented an internal carbon pricing system. By assigning an internal price to CO_2 emissions reduction (avoided emissions) and incorporating it into our investment decisions, we aim to encourage investments to help us achieve our goal of carbon neutrality.

Initiatives to address climate change

Participation in the KEIDANREN Carbon Neutral Action Plan

Terumo participates in the activities of the Federation of Pharmaceutical Manufacturers' Association of Japan (FPMAJ) as a member of the Intravenous Solutions Society, an affiliated organization of the JPMA. KEIDANREN (Japan Business Federation) supports the Japanese government's "2050 Carbon Neutral Declaration" and has developed its "Carbon Neutral Action Plan" to achieve the government's goal. In line with KEIDANREN's action plan, FPMAJ has set a long-term vision to achieve net-zero CO_2 emissions by 2050. In addition, it has revised its phase II target (target for 2030) to achieve a 46% reduction in CO_2 emissions by 2030 from research centers, factories, offices, and company vehicles compared with fiscal 2013.

We are also participating in the KEIDANREN Action Plan and actively working to achieve its goal.

Scope 3

Terumo has its proprietary Human × Eco Development Guidelines, which serve as a framework for developing products that benefit both people and the environment. By following these guidelines, we aim to reduce resource use and enhance transportation efficiency by making products smaller and lighter and designing packaging with improved loading efficiency during product transportation. In 2019, we introduced the Supplier Guidelines and began collaborating with our suppliers on joint transportation of procured goods. This initiative also includes transitioning to eco-friendly transportation, specifically shifting from trucks to ships. In fiscal 2020, we launched a new shared transportation initiative within Japan for shipping products and worked on reducing CO_2 emissions associated with product deliveries. (For information about EHS initiatives in procurement, please refer to "EHS Initiatives in Procurement" on p. 54.)

As a result of these measures, the Terumo Group's Scope 3 GHG emissions per unit of revenue in fiscal 2023 were down 24.4% compared to fiscal 2018.

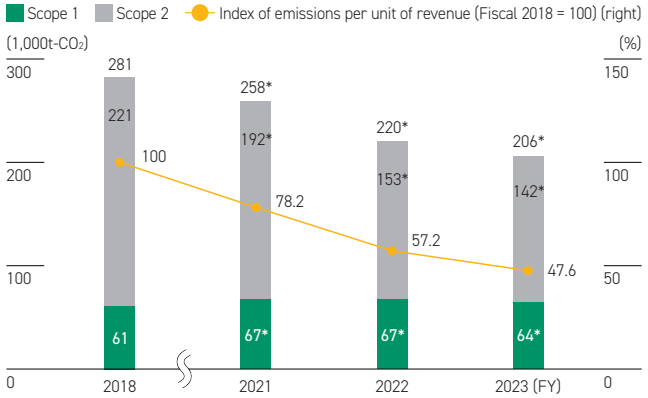
For more information about CO_2 emissions, energy consumption, and renewable energy use, please refer to "Environmental Data" on pp. 104-105.

Recognition by CDP

In 2023, the Terumo Group received an A-minus score for the second consecutive year in the Climate Change survey conducted by CDP, an international non-governmental organization that requires companies to disclose information on climate change, water security, and other environmental issues.

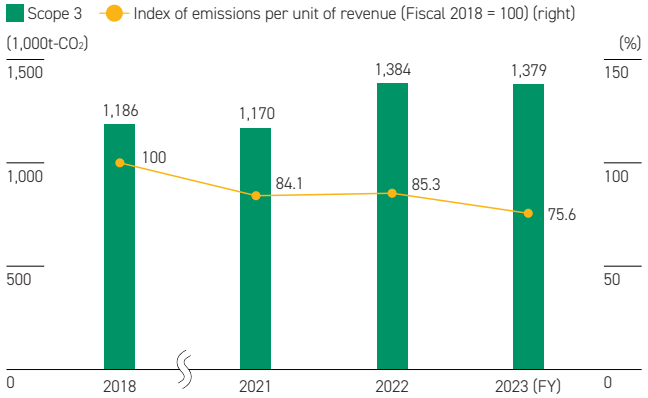
Initiatives to address climate change

CO_2 emissions (Scope 1 and 2)



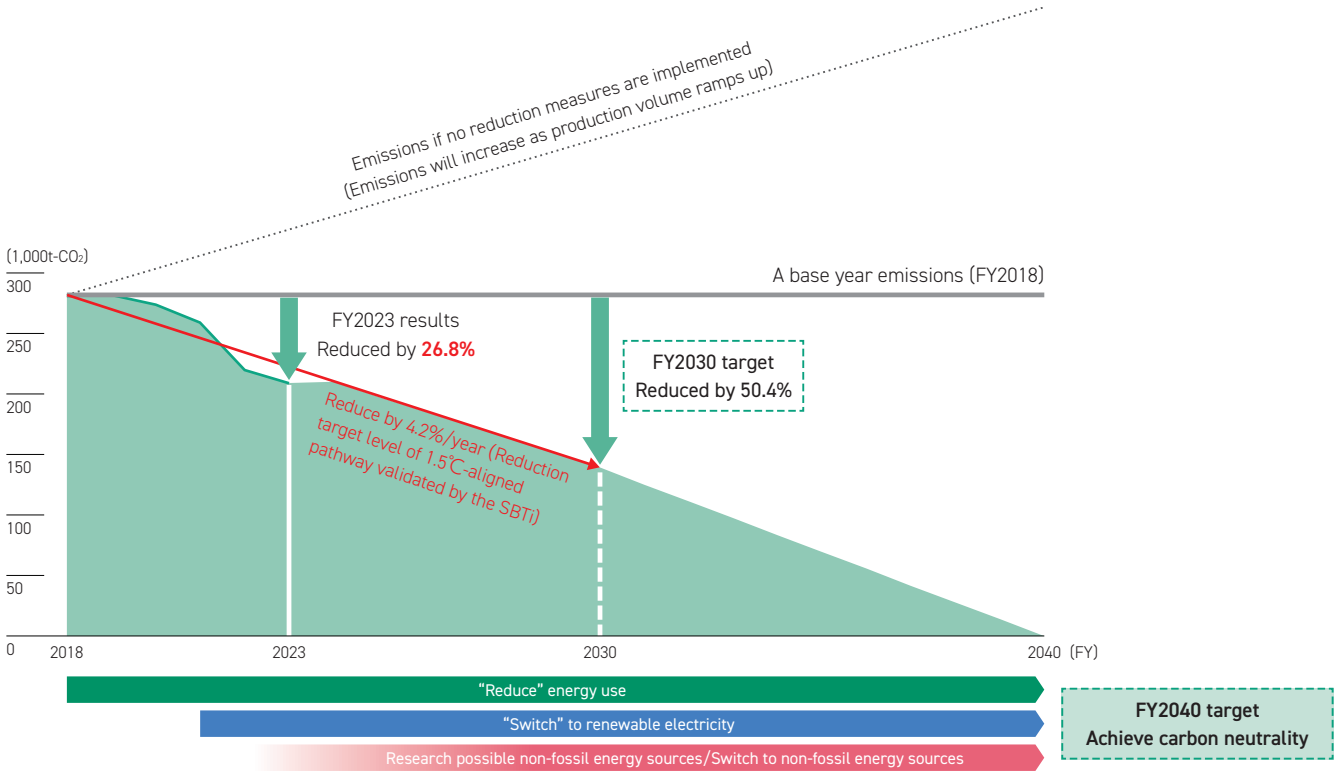
* Data assured by a third party
Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas
Note: CO_2 emissions are calculated by using the CO_2 emission factors for electricity for each fiscal year provided by power companies.

CO_2 emissions (Scope 3)



Scope: Terumo Group
Note: The figures above are calculated based on the Basic Guidelines on Accounting for Greenhouse Gas Emissions Throughout the Supply Chain (ver. 2.6) compiled by the Ministry of the Environment and the Ministry of Economy, Trade and Industry.

A roadmap to achieve carbon neutrality (Scope 1 and 2)



TOPICS

Utilization of renewable energy

Introduction of solar power generation equipment

Vietnam

In Vietnam, coal-fired power generation is the main source of electricity supply and with the recent increase in electricity usage, the impacts on the environment are starting to attract attention. At the factory of Terumo BCT Vietnam Co., Ltd. (in Dong Nai Province), which produces blood bags and other products, we advanced the introduction of a solar power generation facility on their premises by utilizing on-site power purchase agreement. In fiscal 2024 to date, we have installed solar panels with a total output of approximately 2 megawatts.

Europe

At Terumo Europe (in Leuven, Belgium), we have installed solar panels with a total output of approximately 1.6 megawatts to date in fiscal 2024.

Japan

We are also promoting the installation of solar panels at our sites in Japan. At the factory of Terumo Yamaguchi Corporation (in Yamaguchi City, Yamaguchi Prefecture), we have installed solar panels with a total output of approximately 0.3 megawatts on the premises to date in fiscal 2024 through an on-site power purchase agreement.

A list of sites where solar power generation facilities have been installed to date

To date, the Terumo Group business sites listed below have already installed solar power generation facilities. In fiscal 2024, we are also continuing to prepare for the introduction of solar power generation facilities at other business sites. Moving forward, we will strive to reduce our environmental impact through the use of renewable energy.

- Fujinomiya Factory (Fujinomiya, Shizuoka)
- Terumo Yamaguchi Corporation (Yamaguchi, Yamaguchi)
- Terumo BCT, Inc. (Colorado, USA)
- Terumo Europe NV (Leuven, Belgium)
- Terumo Medical Products (Hangzhou) Co., Ltd. (Zhejiang, China)
- Terumo Vietnam Co., Ltd. (Hanoi, Vietnam)
- Terumo BCT Vietnam Co., Ltd. (Dong Nai Province, Vietnam)





Newly installed solar panels
(Left) Terumo BCT Vietnam Co., Ltd. (Middle) Terumo Europe NV (Right) Terumo Yamaguchi Corporation

Measures to reduce Scope 1 and 2 emissions

Introduction of new air conditioning equipment that reduces environmental impact and risks at Terumo (Philippines) Corporation

Terumo (Philippines) Corporation updated the design of its air conditioning facility and replaced it with a new one, taking into account the factory's overall energy balance. The new air conditioning facility will contribute to improving energy efficiency and reducing CO_2 emissions, leading to a 2% decrease in the total energy consumption of Terumo Philippines.

In addition, the upgraded air conditioning facility helps combat global warming and minimize environmental risks by using a non-CFC refrigerant with a lower global warming potential.

Measures to reduce Scope 3 emissions

Reduction of CO_2 emissions from transportation by switching to returnable containers

Terumo has changed the packaging of certain TIS business products transported from Japan to Europe from disposable to returnable containers. This change, achieved through collaboration with related sites, departments within Terumo, and logistics companies, contributes to a reduction of approximately 50% in CO_2 emissions from transportation while maintaining product quality. This initiative also reduces waste from shipping cooling package materials by switching to returnable containers, which helped lower transportation costs. We will continue to work on improving transportation efficiency.

Responding to the risks and opportunities resulting from climate change (Information disclosure based on the TCFD recommendations)

In March 2022, Terumo publicly declared its support for the Task Force on Climate-related Financial Disclosures (TCFD) established by the Financial Stability Board (FSB), and for its recommendations. Below, Terumo discloses the impacts of climate change on our business activities and our measures to address them under the TCFD framework.

Governance	・The director in charge of EHS (Environment, Health and Safety), who is a member of the Board of Directors of Terumo Corporation, has responsibility for oversight relating to environmental matters, including climate change. ・The EHS Management Committee, which is chaired by the director in charge of EHS, is the company's highest decision-making body in regard to matters relating to climate change. The Committee identifies climate change related risks and opportunities, formulates and revises related policies, strategies, and targets, monitors the achievement status of targets, and reports to the Executive Management Meeting. The EHS Management Committee meets three times a year, and has established an Energy Subcommittee (Energy SC) under it as an EHS Expert Subcommittee. The Energy SC conducts progress management in regard to energy-related targets, and submits periodic reports to the EHS Management Committee. ・The Sustainability Committee, of which the Director in charge of EHS is a member, also monitors the efforts and progress towards carbon neutrality as one of the ESG themes and KPIs of GS26 and reports regularly to the Executive Management Committee and the Board of Directors.
Strategy	・Under the Group Mission of "Contributing to Society through Healthcare," the Terumo Group recognizes that ensuring an uninterrupted supply of medical devices and pharmaceuticals to safeguard people's lives and health is its most important task. We also believe that, by providing new treatments, we can help to make healthcare provision more efficient and facilitate the reduction of GHG emissions deriving from medical settings. ・Regarding climate change scenarios, we are focusing on two scenarios: the scenario that assumes the highest level of physical risks, with average global temperatures rising by 4.0°C compared to the situation prior to the Industrial Revolution (Representative Concentration Pathways (RCP) 8.5), and the scenario that assumes the highest level of transitional risk, with the rise in average global temperature kept down to within 1.5°C (RCP1.9). For these two scenarios, we have collated the potential opportunities and risks that might affect our business, as shown in the table on the right.
Risk management	・The EHS Management Committee identifies climate change related risks and opportunities, evaluates the potential impact on the company's business operations, directs related departments to implement management in a way that will reduce risk and maximize opportunities, and manages progress status. ・The scope of the risks covered by the Terumo Group's risk management includes climate change-related risks noted by the EHS Management Committee. The climate-related risks are monitored based on the risk management plan under the risk management system established by the Risk Management Committee.
Indicators and targets	Terumo has set its GHG emissions reduction targets which are aligned with the common goal to limit global temperature rise to 1.5°C above pre-industrial levels. Terumo's targets have been approved as science-based by the Science Based Targets initiative (SBTi). Terumo Group's GHG emissions reduction targets Scope 1 and 2 ・Reduce absolute GHG emissions by 50.4% by FY2030 compared to FY2018* ・Increase the renewable electricity use ratio to 50% by FY2030* ・Achieve carbon neutrality by FY2040 Scope 3 ・Reduce GHG emissions 60% per unit of revenue by FY2030 compared to FY2018* *Targets validated by SBTi

Risks affecting our business activities

Risks	Risk content
Physical risks	・Damage to buildings, facilities, or inventory in the event of a natural disaster occurring, and lost opportunities resulting from the disruption of supply of products due to temporary cessation of operations
	・Increased energy costs and reduced labor productivity due to steady temperature rise or water shortages, and lost opportunities due to temporary disruption of operations
	・Sudden, rapid increase in demand for specific products due to the impact of natural disasters on the healthcare system (which constitutes important social infrastructure), and negative impact on revenue resulting from an extended deterioration or stagnation in the functioning of the healthcare system
Transition risks	・Increased energy costs and raw material costs in the event of the introduction or raising of carbon tax
	・Replacement of equipment and accompanying increase in capital expenditure costs, resulting from the tightening up of environmental regulations such as those governing GHG emissions
	・Increased costs in the event of an increase in demand for GHG emissions reduction or demand for the supply of environmentally friendly products from customers or business partners, and loss of opportunities in the event that it is difficult to respond effectively to such demands

Opportunities relating to our business activities

Opportunities	Opportunity content
Physical opportunities	・Provision of products in response to changes in long-term disease patterns as a result of climate change, and provision (stable supply) of products that contribute toward strengthening the resilience of the healthcare system
Transition opportunities	・Reduced costs due to enhancement of energy efficiency in production and in the supply chain
	・Provision of products that contribute toward enhanced efficiency in medical settings or toward reduction of GHG emissions

Initiatives to address climate change

Based on an analysis of the potential impact on Terumo's business of the aforementioned risks and opportunities in both the 4.0°C scenario and the 1.5°C scenario, it is anticipated that the following risks could have a comparatively high impact.

4.0°C scenario

- Damage to buildings, facilities, or inventory in the event of a natural disaster occurring, and lost opportunities resulting from the disruption of supply of products due to temporary cessation of operations

1.5°C scenario

- Damage to buildings, facilities, or inventory in the event of a natural disaster occurring, and lost opportunities resulting from the disruption of supply of products due to temporary cessation of operations
- Increased energy costs and raw material costs in the event of the introduction or raising of carbon tax

Regarding the response to risks relating to business continuity, such as natural disasters, etc., the Group Business Continuity Management (BCM) Policy clearly stipulates the Terumo Group's shared basic approach to business continuity and the related systems and response measures. The risk management representatives at individual production sites, functional departments at the head office involved with raw materials procurement, distribution, etc., individual companies, and overseas subsidiaries liaise with one another and draw up business continuity plans (BCPs) to prevent our operations from being disrupted even under extreme circumstances, and to ensure that operations can be quickly restored and resumed should they be disrupted. If a serious risk emerges that could affect business continuity, the Countermeasures Headquarters, led by the Chief Executive Officer of Terumo Corporation, will be established to swiftly initiate response activities. If it becomes apparent that the Terumo Group's supply chain or operations will be temporarily interrupted, we will strive to restore normal supply chain and operational functions as quickly as possible.

With regard to a possible increase in energy costs or raw materials costs, we are continuing to implement measures to adopt production equipment with high energy efficiency, and to develop products that can be manufactured with less raw materials and less energy.

Effective utilization of resources and initiatives to realize a circular economy

Waste reduction and recycling

As part of its efforts to use resources more efficiently, Terumo sets targets for recycling and for reducing final disposal waste. From a safety perspective, it is difficult to reuse waste (i.e., practice material recycling) internally. We do, however, strive to reduce the amount of plastic and metal waste generated in manufacturing processes and from business activities in offices. In addition, we segregate various types of waste from such processes and activities, and, with the cooperation of a recycling company, turn it into plastic products, refuse plastic fuel (RPF), and organic fertilizer.

In fiscal 2023, the recycling rate for Terumo Group business sites in Japan and manufacturing and R&D sites overseas was 89.3%. Final waste disposal accounted for 0.10% of total waste at Terumo Group business sites in Japan, accomplishing our target for the year.

Terumo will continue to pursue higher levels of resource efficiency going forward through means such as ongoing waste reduction efforts and extensive sorting of waste.

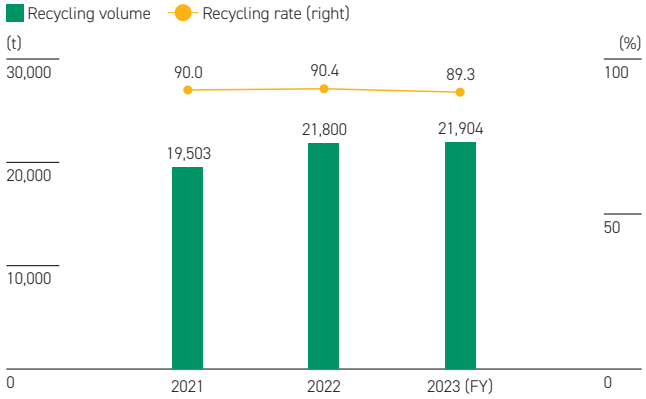
Medium-term targets (FY2023—FY2026)

- Waste recycling rate for the Terumo Group (Terumo Group business sites in Japan and manufacturing and R&D sites overseas): 89% or higher
- Final waste disposal amount of all Terumo Group business sites in Japan: 0.3% or less of total waste generated

Medium- to long-term target (FY2030)

- Waste recycling rate for the Terumo Group (Terumo Group business sites in Japan and manufacturing and R&D sites overseas): 90% or higher

Recycling volume and rate



Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Final waste disposal



Scope: Terumo Group business sites in Japan

Initiatives to realize the circular economy

Terumo is implementing initiatives to help realize the circular economy, in response to the issues of resource depletion and climate change. To drive the development of new products that are both user-friendly and environmentally friendly, we have formulated our own unique set of standards—the Human × Eco Development Guidelines (see p. 36 for more details). Based on the guidelines, we are proceeding with efforts to control the amount of waste generated in production processes, choose materials and components that have a small environmental impact, and make both products and packaging smaller and more lightweight.

Ensuring that plastic and other by-products that are produced during the manufacturing process are properly sorted and transferred to recycling firms to create new resources, we are implementing material recycling that recycles waste into new plastic products such as stationery and pallets. In fiscal 2023, we began to sell our first products that are partly made from recycled plastic.

We offer leasing services with maintenance for medical electronic devices such as infusion pumps. We also collect and recycle the devices once the lease contracts have ended.



Pallet made from recycled plastic



Products partly made using recycled plastic



Medical electronic equipment offered with a maintenance lease

Effective utilization of resources and initiatives to realize a circular economy

Initiatives to collect and recycle small rechargeable batteries

Terumo works through the Japan Portable Rechargeable Battery Recycling Center (JBRC) to collect and recycle used rechargeable batteries from Terumo products. This is in compliance with Japan's Act on the Promotion of Effective Utilization of Resources. To promote the proper recycling of small rechargeable batteries, we display a recycling logo on our products and inform customers through product instruction booklets that batteries should be recycled. In addition, for products covered by our maintenance services, we regularly inspect and replace small rechargeable batteries and recycle batteries that are no longer usable. (For more information about performance in relation to the collecting and recycling of small rechargeable batteries, please refer to "Environmental Data" on p. 106.)

Reduction of containers and packaging and promotion of recycling

To effectively use resources and improve ease of use for customers, Terumo is working to reduce its use of containers and packaging materials. These efforts include the development of smaller, lighter, and slimmer containers and packages and the adoption of new containers and package designs.

In Japan, recycling of containers and packaging waste is promoted through the Containers and Packaging Recycling Law, which requires product sellers to recycle containers and packaging discarded as household waste. Terumo fulfills its recycling obligation by outsourcing the recycling of containers and packaging to the Japan Containers and Packaging Recycling Association. In fiscal 2023, Terumo Group business sites in Japan outsourced a total of 293 tons of materials for recycling, which includes 19 tons of paper and 274 tons of plastic packaging materials.

Effective utilization of water resources

Reduction of water use

Terumo uses large quantities of water in its manufacturing processes and for producing infusion solutions. Using the Aqueduct water risk assessment tool developed by the World Resources Institute (WRI), we monitor the risks and opportunities associated with our water usage periodically, examining the status of water resources and the level of water stress, etc., in the countries and regions where each of Terumo's production and R&D sites is located. The survey results indicate that, as of the end of fiscal 2023, among the Terumo Group business sites in Japan and manufacturing and R&D sites overseas, the sites in North America, Europe, China, India, the Philippines, and Vietnam are located in regions with high levels of water stress. Water usage by these sites accounts for around 13% of the Terumo Group's total water consumption.

With reference to SDG Goal 6, which aims to "Ensure the availability and sustainable management of water and sanitation for all," Terumo has set water-related targets and is actively working to reduce water use (water withdrawal) and enhance water recycling. We are implementing several specific measures to reduce water loss in our manufacturing processes. These measures include the installation of flow meters to accurately track water usage for different purposes and systems that effectively visualize our overall water consumption. In addition, we are implementing water-saving equipment, recycling used water for cooling, and other efforts. As a result of these initiatives, we achieved an 11.6% reduction in water consumption per unit of revenue in fiscal 2023 compared to the previous year and a 38.5% reduction compared to fiscal 2018. The Terumo Group is committed to the efficient use of water resources and will continue to pursue these efforts.

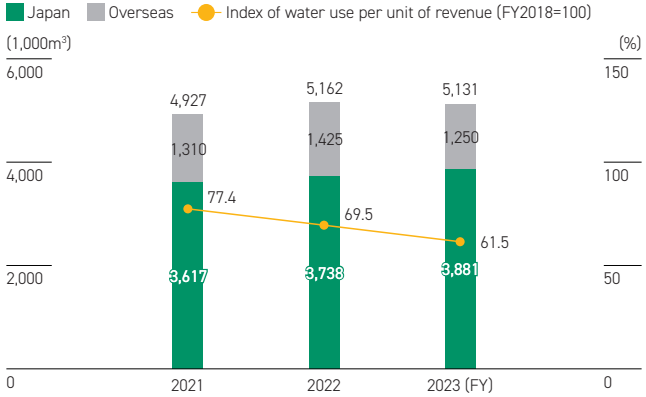
Medium-term target (FY2023—FY2026)

- Overall water use (water withdrawal) per unit of revenue for the Terumo Group (Terumo Group business sites in Japan and manufacturing and R&D sites overseas): Reduce by more than 20% compared to fiscal 2018

Medium- to long-term target (FY2030)

- Overall water use (water withdrawal) per unit of revenue for the Terumo Group (Terumo Group business sites in Japan and manufacturing and R&D sites overseas): Reduce by more than 20% compared to fiscal 2018

Water use (water withdrawal) volume



Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Recognition by CDP

In 2023, the Terumo Group received an A-minus score for the fourth consecutive year in the Water Security survey conducted by CDP, an international non-governmental organization that requires companies to disclose information on climate change, water security, and other environmental issues.

Proper control of chemical substances

Terumo manages chemical substances and tracks their use, emissions, and disposal in accordance with the Terumo Group EHS Policy in order to mitigate health risks and reduce environmental impacts associated with these substances. Chemical substance risk assessments are carried out at worksites that use such substances and proper chemical substance control is practiced based on information on hazardous chemical substances derived from the Globally Harmonized System of Classification and Labelling of Chemicals. Voluntary goals have been established with regard to substances that pose a particular risk to people's health and precautions are taken to prevent emissions of these substances.

Voluntary action to reduce chemical substance emissions

Reduction of Dichloromethane emissions

Terumo is working to reduce its emissions of dichloromethane based on its own voluntary targets. At business sites that handle large amounts of dichloromethane, we have installed a recycling system to reduce emissions of this air pollutant as much as possible. As an added measure, we monitor dichloromethane concentrations at the exhaust ports and boundaries of sites.

Reduction of Ethylene Oxide emissions

Ethylene oxide is widely used to sterilize medical devices. At Terumo, we are working to reduce ethylene oxide emissions to the outside environment. To this end, we have installed exhaust gas treatment systems to limit emissions and regularly check the concentration of emissions at outlets. In addition, we have voluntarily set a target for atmospheric concentrations at the boundaries of sites, and we perform periodic monitoring.

Proper disposal of Polychlorinated Biphenyls

At Terumo's business sites in Japan, the disposal of all equipment (transformers, capacitors, etc.) containing high levels of polychlorinated biphenyls (PCBs) has been completed by the Japan Environmental Storage & Safety Corporation (JESCO). Equipment containing low concentrations of PCBs is also being systematically disposed of by private waste disposal management companies.

Compliance with environmental regulations for products

The regulated substances and environmental pollutants contained in products are clearly identified at the product design and procurement stages. We use our Human × Eco Development Guidelines as a tool to raise designer awareness.

Terumo seeks to comply with the Restriction of Hazardous Substances Directive (RoHS*1), the Registration, Evaluation, Authorization and Restriction of Chemicals (REACH*2), and other environmental regulations pertaining to products. For this reason, Terumo is stepping up management of these substances by monitoring the regulated substances contained in procured items.

*1 Directive of the European Union that restricts the use of certain hazardous substances included in electrical and electronic equipment

*2 Regulation of the European Union regarding the registration, evaluation, authorization, and restriction of chemicals

Initiatives for biodiversity conservation

Terumo understands that our lives and health and even the practice of medicine itself depend on the existence of diverse living organisms and ecosystems. As a company whose business draws benefits from nature, Terumo seeks to preserve biodiversity through environmental education and reforestation activities and works to support the development of a society in which humans coexist with nature.

Protecting Forests

Mt. Fuji Reforestation Project

Terumo has two factories in the city of Fujinomiya in Shizuoka, Japan. Both take in groundwater from springs at the foot of Mt. Fuji for use in the production of medical devices, pharmaceuticals, and other products. Recognizing that our business depends on the use of natural resources, we launched the Terumo Mt. Fuji Reforestation Project in fiscal 2003 with the aim of restoring the natural forests in this area. This project involves the reforestation of parts of Mt. Fuji's forests where many trees have been destroyed by typhoons. Repopulating these areas with native tree species will help them become more resistant to future natural disasters and ensure that they can continue to serve as a source of groundwater. In fiscal 2011, three parties—Shizuoka Prefecture, a local forest owner, and Terumo—entered into an agreement called the Shizuoka Mirai-no-Mori (Future Forest) Supporter Pact. Under this agreement, we plant trees and maintain forested areas to create the Terumo Megumi-no-Mori reserve within the Fumoto district of Fujinomiya. Moreover, we are engaged in year-round reforestation activities based on the concepts of resources, living organisms, interaction, and health through this agreement.

In fiscal 2023, we engaged in activities with 58 participants, including associates and their families. We learned about the importance of biodiversity and forests while working on forest maintenance necessary for nurturing saplings, such as reinforcing deer protection nets. Additionally, we maintained benches and tables made from thinned wood.



Tree planting activity

Results of activities under Shizuoka Mirai-no-Mori Supporter Pact (FY2011—FY2023)

- Total number of participants: 2,448
- Activity details:
  - Planting of 2,765 trees (sawtooth oak, konara oak, maple, cherry, etc.)
  - Production of benches and tables using thinned wood, creation of walking paths, forest walking events, etc.

ECO Challenge

We hold the ECO Challenge in which volunteer Terumo associates in Japan conduct a variety of voluntary environmental preservation activities at home and at work. In fiscal 2023, about 4,650 people took part in the ECO Challenge, undertaking seven energy-saving and resource-conservation activities that will contribute toward reducing CO_2 emissions, as well as a carbon neutrality education program. Points were calculated based on the results of participating associates, and Terumo translated these points into a monetary value for donations to the Children's Forest Program (The Philippines) arranged by the Organization for Industrial, Spiritual and Cultural Advancement — International, Japan (OISCA Japan).

Initiatives at overseas business sites

We are organizing events to raise awareness about recycling and conducting tree planting activities at our business sites overseas, as well as at our sites in Japan, to contribute to biodiversity conservation. In fiscal 2023, Terumo (Philippines) Corporation conducted tree planting activities in the Caliraya-Lumot Watershed Forest Reserve in Laguna. In addition, Terumo BCT Poland established a pollinator garden, and many other locations engaged in activities such as cleaning up nearby areas and nature reserves, as well as hosting internal biodiversity awareness events. These initiatives aim to reduce environmental impact through forest conservation and environmental education.

Endorsement of Declaration of Biodiversity by KEIDANREN and Action Policy

Terumo has declared its support of the Declaration of Biodiversity by KEIDANREN (Japan Business Federation) and the Action Policy released by KEIDANREN and the KEIDANREN Committee on Nature Conservation. This declaration and policy will guide our activities going forward.

Society

50 Quality and safety of products and services

53 Procurement

55 Human resources

70 Human rights

71 Contribution to society and local communities

Quality and safety of products and services

Basic approach

At the Terumo Group, we strive to enhance product quality and achieve continuous improvement in quality systems and processes to promise safety and reliability to medical settings. High product quality is one of the hallmarks of the Terumo Group, and we work to improve quality in every process from product design to manufacturing, distribution, storage, and post-marketing, as well as in the product life cycle from the initiation to the cessation of a product's sale. We do this by identifying and acting on even the smallest matters that could improve safety and reliability, by concentrating on improving the quality and speed of individual processes, and by pursuing the 3Gs principle that places great importance on *Gemba* (field/floor), *Genbutsu* (actual product), and *Genjitsu* (reality). In addition, we seek to ensure that our products are used in a safe and appropriate manner by providing training opportunities for healthcare professionals, practicing proper information disclosure, and actively communicating with customers.

Quality management

Quality management governance structure

At the Terumo Group, we have developed a quality management governance structure headed by the Chief Quality Officer (CQO). As the head of group-wide quality divisions, the CQO is responsible for overseeing efforts to strengthen the group's quality governance and improve the quality of products. With the CQO exercising oversight, we have established a system of quality assurance. In addition, we promote compliance with Japanese and worldwide regulations, and provide product quality improvement guidance to production sites. Furthermore, global meetings are convened regularly by the CQO, and these meetings are attended by associates responsible for quality at individual production sites. These meetings provide opportunities to share and disseminate the group's quality vision, policy, and objectives build consensus with regard to quality issues, formulate improvement measures, and exchange information on recent trends in the regulations and standards of various countries. We also strive to prevent quality issues by implementing a plan-do-check-act (PDCA) cycle that entails gathering quality-related information from across the group, analyzing quality risk, conducting assessments, pursuing improvements, and sharing quality information.

We developed a Global Quality Policy and are promoting the Policy to continuously manufacture high-quality, safe, and reliable products at all production sites of the Terumo Group. The Policy details the ten practices (procedures and items) pertaining to the quality management system that every associate across the group should adhere to. Furthermore, we are working on the sharing of QMS improvement tools created based on quality data and information analysis of external and internal quality trends, as well as the development of preventive activities tailored to the specific characteristics of each production site, to prevent the recurrence of similar quality problems and achieve a high level of manufacturing and quality management. We also define "Kin-Shitsu" (homogeneous) as the product quality the Terumo Group should aim for, and have established KPIs for quality at each of our production sites to realize "Kin-Shitsu" products. In our mid- to long-term growth strategy, the Terumo Group aims to gain patient trust and customer satisfaction by continuously supplying "KinShitsu" products to the global market.

To supply products to the global market, it is essential for us to continuously maintain a quality system that adapts and conforms to the requirements of each country's regulations and standards. With this in mind, we are building a system that enables efficient and effective company-wide cooperation and swift response to comply with regulations in Japan and overseas by systematizing the roles of quality departments and of each production site of the Terumo Group. By doing so, we aim to comply with Japanese domestic laws and regulations when we sell products manufactured at each production site to the Japanese market and comply with new regulations outside of Japan as soon as they come into effect to sell products to the global market.

Meanwhile, global regulatory requirements are becoming more stringent in the pharmaceutical industry with regard to data integrity (DI) in relation to evidence of the quality, safety, and efficacy of pharmaceuticals. The Terumo Group has therefore been implementing measures to ensure data integrity in the manufacturing of pharmaceuticals. We are also working to implement and build data integrity into the process for the production of medical devices similar to that required for pharmaceuticals.

At Terumo, we have initiated a company-wide project to implement a "quality assurance system to maintain product homogeneity" to counter threats such as cyberattacks. We have established a Product Security Incident Response Team (PSIRT) system for this project. Under the PSIRT system, we are working to incorporate measures into product design and realize commercialization, respond to incidents as they occur, and collect relevant information on vulnerabilities to assess their impact and develop appropriate countermeasures.

Quality management system compliant with international regulations and standards

Since establishing a quality management system in response to European Medical Device Directives in 1995, we have been striving to blend our quality management system that conforms to international standards into an existing quality assurance system based on the pharmaceutical Good Manufacturing Practice (GMP) standard. Following the acquisition of manufacturing and sales approval for regenerative medicine products in Japan, we put in place the related quality assurance systems in fiscal 2016. Today, we continue efforts to ensure that our quality management system is compliant with global requirements. As part of these efforts, all medical device production sites have acquired certification under ISO 13485, the international quality assurance standard for medical devices.

We also keep up to date and ensure conformity with developments regarding Japan's PMD Act (the Act on Securing Quality, Efficacy and Safety of Pharmaceuticals, Medical Devices, Regenerative and Cellular Therapy Products, Gene Therapy Products, and Cosmetics) and regulatory trends and requirements for medical devices and pharmaceutical products outside of Japan, including U.S. Food and Drug Administration (FDA) regulations, which have been strengthened in recent years; the Medical Device Single Audit Program,* which has been enacted in response to global harmonization trends; and emerging country regulations, which are rapidly being tightened.

In Europe, on May 25, 2017, the institution of the Medical Device Regulation (MDR) made regulatory requirements in this region much stricter. In response to this change, a company-wide project team was formed to coordinate efforts to achieve compliance in

relevant divisions. Terumo was thereby able to receive third-party certification indicating its conformity with the MDR in May 2020. We are currently switching to products that conform to the MDR as needed. In addition, as with medical devices, we worked to make our products conform to the In Vitro Diagnostic Regulations (IVDR), a statutory requirement. Through these efforts, Terumo obtained external certification for IVDR in June 2022.

In the United Kingdom, conformity with the UK Medical Device Regulations (UK MDR) 2002 was required following the country's withdrawal from the European Union. Accordingly, Terumo obtained external certification indicating its conformity with the United Kingdom Conformity Assessed (UKCA) in April 2023.

In Japan, the Terumo Group has achieved compliance with the revised version of Japan's PMD Act, which came into effect on August 1, 2021, and with the Japanese Guideline for Good Distribution Practice (GDP) for Medicinal Products, which was issued on December 28, 2018.

In the U.S., PART 820—QUALITY MANAGEMENT SYSTEM REGULATION (QMSR) was issued in February 2024. Terumo manufacturing sites which release products to the U.S. have already started to update each QMS to comply with the QMSR by its enforcement date of February 2, 2026.

Furthermore, continuous training on our quality management system has been instituted at all relevant divisions to share information on the regulations and standards of countries where Terumo operates and to improve quality awareness.

* The Medical Device Single Audit Program is a program through which audits are conducted all at once (collectively) based on common standards pertaining to the relevant medical device regulations in each country. Participating countries include the U.S., Canada, Brazil, Australia, and Japan.

Quality Policy

The Terumo Group company executives have established the Quality Policy in accordance with their individual levels of responsibility. This policy guides efforts to develop, operate, and maintain the effectiveness of quality management systems. Each division also sets quality objectives based on the Quality Policy. The policies devised by senior management are incorporated into the objectives of individual divisions and associates. The customer perspective, which appears at the top of Terumo's Quality Policy, forms the basis of the group's quality assurance.

Quality Policy

In order to deliver safety and reliability to all medical fields, we are committed to

- Pursue Kin-Shitsu quality products and services that are valuable to our customers,
- Identify and promptly respond to changes in laws and regulations as well as market trends in each country,
- Continuously monitor and improve our quality management system.

Improving effectiveness of quality management system through internal and external audits

Terumo conducts internal audits to objectively evaluate whether its quality management system is being appropriately implemented and followed. The audits are conducted by associates who have been trained and have received internal certification authorizing them to perform internal audits. In addition, we undergo several external audits conducted by government authorities, notified bodies, and other organizations each year to verify our compliance with Japan's PMD Act, regulations of countries where we sell our products, and the requirements of corporate customers. We continuously improve our quality management system based on the results of these internal and external audits.

Appropriate collection and disclosure of information on safety, quality, and efficacy

Terumo has established frameworks for collecting information on safety, quality, and efficacy from customers and reporting this information to the relevant government authorities based on the laws and regulations of each country where we operate. We also analyze information from customers and share the findings with relevant divisions for use in improving quality and in developing new products.

Medical representatives (MRs)

- Medical representatives (MRs), who are responsible for providing information to medical institutions, encourage customers to properly use medical devices and pharmaceuticals. MRs also collect accurate information from medical institutions and swiftly provide information to institutions to ensure the safety, quality and efficacy of our products.

Terumo Call Center

- As Terumo handles a wide range of products—from those designed for medical institutions to those for home medical care—, the Terumo Call Center consists of experts in every required field to ensure that all inquiries are addressed promptly and appropriately. The Terumo Call Center in Japan receives around 170,000 telephone and email inquiries per year from ordinary consumers, medical institutions, and distributors. We respond to emergency calls, such as those pertaining to peritoneal dialysis or diabetes-related products, 24 hours a day, 365 days a year.
- To improve the quality of service at our call center, its staff are trained regularly on product knowledge and communication skills and are tested twice a year to ensure that they are properly equipped to respond to inquiries and provide satisfaction to customers. We also renewed call response systems and introduced artificial intelligence-powered voice recognition and document summarization systems. With the system, we are working to improve the quality of responses and reduce the time required for responses and record keeping.

Post-Market Surveillance and Vigilance Department

- The Post-Market Surveillance and Vigilance Department collects and evaluates information on the safety, quality, efficacy, and proper use of post-market products, and issues reports on these matters to government authorities in accordance with relevant laws and regulations.
- We are committed to prompt and detailed communication to ensure the proper use of our products, including the provision of necessary information through Information on Precautions, etc., our corporate website, and participation in industry organizations. Also, MRs visit medical institutions to provide information. Furthermore, we use the accumulated information to develop, refine, and improve products and support medical safety training at medical institutions (T-PAS*).
- We conduct vigilance training via e-learning for all associates in Japan to give them a more in-depth understanding of Good Vigilance Practice (GVP).
- Terumo is also moving forward with the development of safety management systems and the reinforcement of monitoring of information collection activities overseas.

* For information on T-PAS, please refer to "Support for training at medical institutions to improve medical safety" at the bottom right of this page.

Training of healthcare professionals

Terumo believes that medical devices can be effective only if they are used correctly. Accordingly, we have long endeavored to enhance the quality and safety of medical care by actively creating training opportunities for healthcare professionals to learn how to use medical devices properly and how to apply treatment procedures. The information collected from the medical field through these activities is utilized in the development of new products and in the refinement and improvement of existing products.

Terumo Medical Pranex

Terumo Medical Pranex was established in Shonan Center, Terumo's R&D base in Kanagawa Prefecture, as a facility dedicated to developing and disseminating healthcare technologies. It is a vast facility with a total area of 14,000m^2, consisting of Pranex West, which opened in 2002, and Pranex East, which was added in 2007. Terumo Medical Pranex faithfully reproduces a hospital environment such as medical wards, operating rooms, and catheterization laboratories, and it also has an exhibition room that introduces Terumo's history and technology. In this way, this facility allows visitors to better understand Terumo from various points of view.

Initially launched as a training center to help healthcare professionals learn how to use Terumo products properly, Terumo Medical Pranex has continuously expanded its facilities and equipment to make it more beneficial to everyone involved in healthcare. We offer a wide variety of programs, from training in treatment techniques for physicians to multidisciplinary simulation trainings. We also focus on the development of original simulation models and programs for training leaders in the medical field, and we provide them to overseas associations. Sincerely addressing the needs of the medical field, Terumo Medical Pranex has hosted over 200,000 visitors since its opening in 2002.

We aim to have visitors gain an in-depth understanding of Terumo through their experience at Terumo Medical Pranex. In addition, we strive to offer visitors a space where they can experience our contribution to society through healthcare. This is achieved by providing training for healthcare professionals in Japan and overseas based on our extensive experience and knowledge accumulated over many years.



Training being performed at Terumo Medical Pranex

Education and Training
https://www.terumo.com/about/education-and-training

Support for training at medical institutions to improve medical safety

To prevent accidents during the use of syringes, IV solution sets, and other medical devices, Terumo conducts safety training based on requests by medical institutions. These training sessions, known as T-PAS,* emphasize critical points in the use of individual devices among those described in Information on Precautions, etc., and enable healthcare professionals to learn through hands-on training scenarios. The value of this program is illustrated by the feedback of healthcare professionals who have participated, which indicates that T-PAS training provides a tangible sense of the situations that can lead to accidents and demonstrates why the understanding of device use must be based on more than just assumptions or casual advice from others. In addition, Terumo has designed and offers a practical training program boasting high levels of learning retention in order to promote proper product use. This program includes DVDs documenting medical accidents as well as hands-on activities recreating device failures.

* T-PAS stands for Terumo Proactive Action for Safety and is based on Terumo's own assessments of accident prevention needs.

Procurement

Basic approach

Terumo has established the Terumo Group Procurement Policy in fiscal 2019, which outlines the basic approach of Terumo's procurement activities based on the Terumo Group Code of Conduct. The Terumo Group Procurement Policy comprises six items: Quality and Safety; Stable Procurement; Promotion of Compliance; Fair Procurement; Consideration for Human Rights and the Environment; and Mutual Prosperity based on Reliability with Suppliers. Terumo asks all suppliers who do business with Terumo to conduct their business activities following the "Supplier Guidelines" established in line with the Terumo Group Procurement Policy.

The Terumo Group Procurement Policy and the Supplier Guidelines
https://www.terumo.com/about/procurement

Supply chain management

Promotion system

At Terumo, we recognize that collaborating with our suppliers worldwide and fulfilling our social responsibility through our supply chain is an important part of procurement. The Supplier Guidelines, consisting of seven chapters, form the basis for coordination with suppliers. Based on the Guidelines, Terumo Corporation and its group companies in Japan, the U.S., Europe, and Asia are promoting business with the suppliers. Specifically, we are working to include the first two chapters, "1. Quality, Safety" and "2. Stable Supply," in our contracts with suppliers. We also ask suppliers to familiarize themselves with the other five chapters, "3. Promotion of Compliance," "4. Fair Dealings," "5. Consideration for Human Rights for Labor," "6. Consideration for the Environment," and "7. Management Systems," and we request that direct material suppliers in particular sign an acknowledgment in relation to these chapters. As of the end of fiscal 2023, we have obtained signed acknowledgments from the top 80% of direct material suppliers worldwide (1,670 companies) that are considered high-risk in terms of direct material purchasing amount. We have also been continuing our efforts to require new suppliers to sign an acknowledgment as a condition of doing business with us.

Besides getting suppliers to sign an acknowledgment in relation to the Supplier Guidelines, we are also implementing, in stages, a Self-Assessment Questionnaire (SAQ) aimed at clarifying the current state of suppliers' ethical business practices, human rights, environmental initiatives, and management systems. A survey has been conducted targeting approximately 150 suppliers*1 with manufacturing sites located in countries that are deemed to have high potential risk of human rights, corruption, or environmental issues based on external assessment indicators.*2 As of the end of fiscal 2023, completed questionnaires were returned by 149 companies and we conducted the side investigation on the remaining one company. Based on these results, we have not identified any critical deviations from the requirements specified in the Supplier Guidelines or any concerns regarding the potential for such deviations. For those suppliers whose management systems in regard to human rights, labor, and environmental legislation were deemed not to be fully adequate, although there are no apparent concerns regarding critical deviations, we requested them to make improvements based on the relevant international standards, local laws, and Terumo's Supplier Guidelines. We also provided feedback on items where it was recommended that the suppliers in question implement self-directed improvements where necessary. In addition, we have made it mandatory to implement the SAQ from manufacturing sites in Asia, including Japan, for new direct material suppliers, and we are gradually rolling it out globally.

Currently, in order to more efficiently understand and manage the status of our entire group's supply chain, we are considering the introduction of a system that can automatically determine various risks, conduct investigations, and provide improvement guidance. In the future, we will establish a monitoring system to prevent major incidents and set up a system that can manage all direct material suppliers, including low-risk suppliers.

In the procurement of materials, we manage suppliers at our production sites based on the Quality Management System. We also conduct regular audits of suppliers that could directly affect the quality of our products in line with the risks associated with those suppliers. Through these efforts, we strive to ensure the quality and safety of our products.

*1 We are reviewing the number of target companies based on the status of transactions and other factors.
*2 The following indicators are used as reference when assessing risk by country.
Human rights risks: Global Rights Index of the International Trade Union Confederations (ITUC)
Corruption risks: Corruption Perceptions Index of Transparency International
Environmental and governance risks: Equator Principles

Evaluation items and main contents of the self-assessment questionnaire

Evaluation items	Main contents	Number of questions
Ethics	Anti-corruption measures	2
Respect for human rights	Prohibition of child labor, forced labor, discrimination, and harassment, labor management	12
Environmental protection	Greenhouse gas reduction, effective use of resources, waste management, hazardous substance management	8
Health and safety	Activities to prevent work-related accidents, workplace health management, evacuation drills	11
Management system	Compliance with laws and regulations, BCP, document management	5
Conflict minerals*	Status of avoiding conflict minerals*	2*
Total		40

* Scope: tin, tantalum, tungsten, gold, and cobalt
(For the content of the questions, please refer to "Measures for addressing Conflict Minerals" on P. 54.)

Procurement systems for ensuring stable supply of products

Terumo has formulated a Business Continuity Management (BCM) policy for procurement, and is proceeding with steps to secure a stable supply of products. Under the basic philosophy of maintaining a stable supply of our products to meet healthcare needs continuously, we are building a supply chain that will ensure the reliable delivery of our products to medical institutions and patients by promoting stockpiling of parts and materials and purchasing from multiple suppliers. By doing so, we will respond to global issues that may disrupt the supply chain, such as natural disasters, pandemics, and geopolitical risks.

Procurement

EHS* initiatives related to procurement

Terumo strives to mitigate EHS-related risks in the supply chain by requesting the suppliers to sign acknowledgments of Supplier Guidelines and complete questionnaires. In addition, in fiscal 2023, we conducted interviews with the top CO_2-emitting suppliers to effectively calculate their emissions. We will continue our efforts to reduce emissions while communicating with our suppliers. With regard to raw materials transportation, we are making efforts to cut procurement-related CO_2 emissions and reduce the burden on the environment through measures such as consolidation of truck deliveries (by means of joint delivery) and reducing the number of journeys made.

* Environment, Health and Safety

Measures for addressing Conflict Minerals

One of the items contained in the Supplier Guidelines is "5. Consideration for Human Rights for Labor." To ensure that Terumo does not become complicit in human rights violations or environmental destruction, the guidelines stipulate that requests be made to suppliers not to procure or use raw materials, components, or products containing illegally mined tin, tantalum, tungsten, or gold. In addition, as needed, we ask that suppliers inform us of whether or not said materials contain any of the aforementioned conflict minerals.

Procurement-related compliance

When doing business with suppliers, Terumo considers it vitally important to comply with relevant laws and regulations, and to conduct transparent transactions based on fair and equitable relationships. To ensure thorough implementation of purchasing-related compliance, Terumo Corporation in Japan has established its procurement policy and the related bylaws to ensure compliance in procurement. In addition, we undertake fair dealings with suppliers by signing agreements regarding exclusion of antisocial forces (i.e. organized crime groups), and obtaining suppliers' signatures in acknowledgment of Terumo's Supplier Guidelines before selecting suppliers, establishing rules for third-party checks on subcontracting transactions. We also work together with our group companies to ensure that appropriate regulations and processes are in place for the Terumo Group as a whole.

Supplier diversity

The Terumo Group believes that the group and the communities in which it operates benefit from procurement practices that capitalize on the unique skills, knowledge, creativity, and talent offered by a diverse supplier base. The Terumo Group Procurement Policy states that all suppliers will be equally and fairly considered for future business opportunities, and that no suppliers will be favored or refused the right to transact business with the group for illegitimate reasons. Ultimately, Terumo seeks the most capable suppliers in terms of quality, service, cost, value, and technology.

Terumo Americas Holding Inc. (TAH) is working to create opportunities for diverse suppliers by making efforts to identify businesses owned by minorities, women, LGBT individuals, veterans, service-disabled veterans, and people with disabilities, as well as business located in historically disadvantaged areas or HUBZones, and other small businesses.

The Terumo Group is dedicated to partnering with suppliers that enhance its organization's value by offering diverse solutions as it continues to uphold the principles of its Group Mission—"Contributing to Society through Healthcare."

Human resources

Basic approach

The Terumo Group refers to all of its employees as "associates" to reflect the fact that they are viewed as valued colleagues. The growth of Terumo comes through the diverse associates around the globe who have joined Terumo to work, learn, and grow vigorously in a way that suits each of them. With the rapid pace of change in the environment in which we operate our business and in which our associates work, it is becoming ever more vitally important to synchronize our people strategy with our management strategy. By implementing our global people strategy and supporting our associates to perform at their best, we are driving the development of global management for the company. We will realize the enhancement of corporate value by strengthening associates' identification with our Group Mission of "Contributing to Society through Healthcare," and fostering a shared sense of Terumo's purpose.

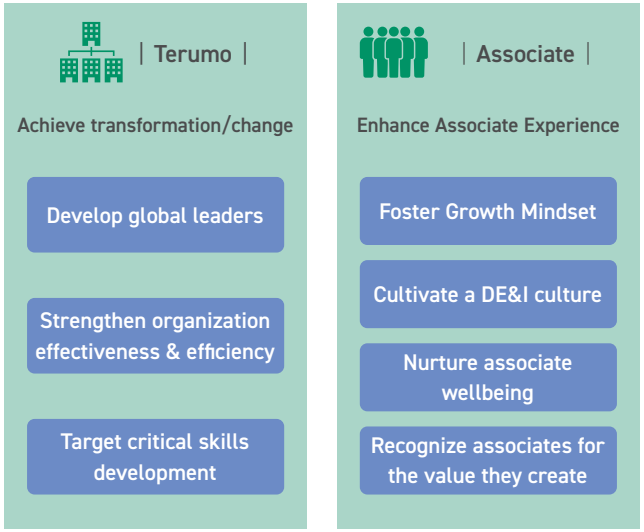
People strategy

Basic approach

As healthcare and society as a whole is changing rapidly, we recognize that the development of our talents is imperative to the implementation of Terumo Group growth strategies. To that end, we are implementing the people strategy to enable our associates to continue growing with the company.

Specifically, we are focusing on leveraging and developing diverse leaders who will support our global business and strategic workforce planning to build new capabilities for the organization as a whole with an eye on future management strategies. In addition, we are building an environment in which associates are able to fully exercise their ability through encouraging each associate to adopt a "Growth Mindset" to continue to take on new challenges and learn, also working to ingrain a culture of diversity, equity, and inclusion in the organization. Furthermore, we define the attraction and value of working at the Terumo Group as "Advancing healthcare with heart" and have begun to share this concept internally and externally. We are also focusing on promoting effective collaboration beyond the boundaries of specific businesses, functions, and regions to realize a better Associate Experience.

To support the group-wide implementation of these strategies, we collaborate with HR members of the group companies in Japan and overseas to share the issues and practices at each company under the Chief Human Resources Officer (CHRO). In addition, we have HR teams comprising expert members of each area from various regions and organizations to design and implement common HR programs.

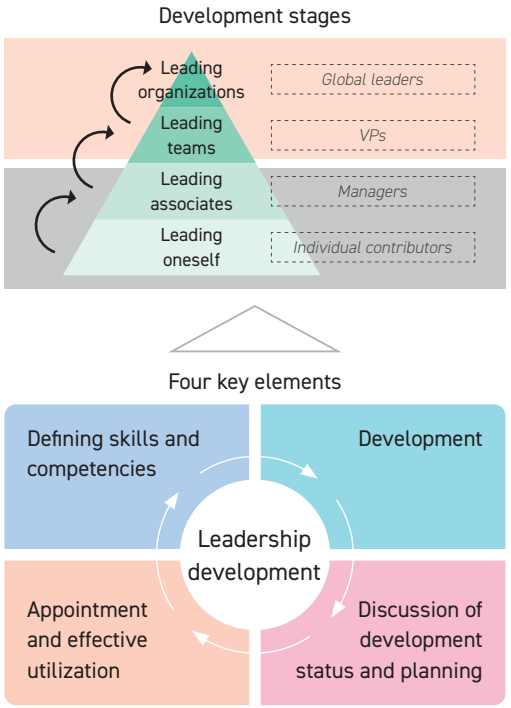


Development of global leaders

Basic approach

With operations in more than 160 countries and regions worldwide, the Terumo Group is promoting the development of talents capable of excelling on the global stage. As a common global development framework, we have designed measures with four consistent elements to create a continuous pipeline connecting each stage of leadership development.

Development stages and four key elements



Global leadership program

We offer global leadership programs tailored to different development stages. In fiscal 2019, we defined the skills and competencies required for future leaders to tackle Terumo Group's business challenges and launched a global leadership development program. This one-year training program brings together selected associates from around the world who are candidates for future management positions at Terumo Group to collaborate and take on the challenges of creating new value for Terumo. In addition, we have expanded the scope of this group-wide leadership program. Starting in fiscal 2021, we included high-potential associates with two to seven years of professional experience, and from fiscal 2023, managers as well.

Succession planning

Profile of Terumo Group's key talent is shared among senior management for discussions on the development, deployment, and effective utilization of those talents across the group to expand the pipeline of global leaders and strengthen the organization. We are also undertaking succession planning of business leaders such as potential successors of CEO positions at the subsidiary entities that can lead sustainable business growth incorporating external objective assessment based on a common global framework.

Terumo ONE Connect

Assignments from Japan to overseas group companies or between overseas group companies across regions and organizations also play an important role in creating opportunities for the development of the associates. Starting in fiscal 2024, we have piloted the introduction of "Terumo ONE Connect," a global online platform that uses AI to match associates' skills and experiences with career opportunities. Through this platform, we will further expand global job postings and opportunities for participation in global projects, promoting the success of our diverse talents.

Talent development (Terumo Corporation)

Talent development/Training program

We believe the growth of our business is realized through the growth of our individual associates, and we manage our human resources policies with the fundamental intent of supporting the ongoing growth of diverse talents. Talent development starts with practical skills acquired through on-the-job training (OJT) and a variety of training programs designed to supplement OJT. We believe that the most effective learning comes from individual motivation and the feeling of the necessity to learn; associates with this motivation can nominate themselves to participate in various voluntary and selective training programs.

Main content of the talent development/Training program (Terumo Corporation)

Level-based training	Training for new associates, follow-up training for second and third-year associates, training for associates appointed to new positions (mid-level associates and managers), career design training, and communication training
Support for self-development	Business *Dojo*, management school support, online business training, English conversation classes, internal recruitment of project members, and lectures for associates
Development of management leaders	Individual training for executive officer candidates, development training for next generation leaders, program for supporting associates to study for MBAs (for associates in their second year with the company up to 39 years of age), acquisition support for MBAs (for associates who have been with the company for at least two years), fast-track development program for next generation associates, and global talent development (including overseas training)
Development of R&D talent	・Advanced Terumo Medical Academy (ATOM) ・Management of Technology (MOT) and Biomedical, and R&D-related cross-industry exchange and training, etc.
Development of *Monozukuri* associates	"*Ikuseijuku*" a training program to help associates learn the principles of *Gemba* (field/floor), *Genbutsu* (actual product), and *Genjitsu* (reality)

Level-based training

Terumo supports the ongoing growth of its associates through training designed to help them acquire the skills necessary at various levels—including new associates, associates who have been with the company for two to three years, mid-level associates, and managers in various roles. To accompany the adoption of a new HR policy in 2022, we have renewed the training program for managers so that it reflects the new policy. We are also conducting career design seminars for associates from diverse backgrounds on an ongoing basis to encourage them to further drive their own career development.

Support for self-development

A diverse range of learning opportunities are provided for all associates with a passion for growth, whether they are new to the organization or veterans. The available programs cover a wide range of subjects such as basic business skills and English, to ensure that associates can find a program that suits their interests and needs. Associates are expected to put their own hand up to the program they wish to enroll in.

Development of management leaders

We implement selective development programs targeting different levels, including emerging talents in their first five years of employment, mid-level employees, managers, and potential future leaders. The purpose is to systematically cultivate candidates for management and leadership positions within the company. In addition to company-led selection, we also encourage self-nomination, which helps in discovering new potential leaders.

Our program design encompasses various aspects such as business perspectives, management assessments, business literacy, liberal arts, and more, to support the growth of individuals who possess the ambition to take on future leadership roles. Furthermore, to foster management talent for the future of our company, we have established a support policy for those associates who wish to obtain qualifications such as an MBA both domestically and overseas. This policy allows for a leave of absence for the necessary period of study, and the utilization of previously expired paid leave. When approved by the company, individuals can borrow funds from the company without interest to cover tuition fees and living expenses. Additionally, under certain conditions, the company also provides partial support for enrollment fees and tuition fees.

We place emphasis not only on acquiring knowledge and skills but also on the experience of engaging with diverse colleagues from around the world and striving for excellence within different cultural contexts.

Development of R&D talent

We conduct research and development on an ongoing basis with the aim of contributing to the advancement of healthcare through innovation created by merging the knowledge and technologies in specialized fields that associates have acquired at educational institutions. Moreover, associates are given access to the Advanced Terumo Medical Academy (ATOM) program after joining the company so that they can quickly acquire the medical insight required as Terumo engineers. In this program, associates study basic knowledge of medicine via Terumo's original e-learning program; receive lectures from doctors, nurses, pharmacists, and other medical professionals active in clinical settings; and take part in a training curriculum. In addition, we utilize online communication tools to promote networking among engineers and facilitate inhouse development, and perform medical device surveys through means that go beyond the standard connections between business sites. We have also been implementing a wide range of related initiatives for many years now, including incorporating training on the Biodesign Program, a medical device development approach originating from the United States, providing education on new development approaches, and arranging observation tours of medical settings.

All training programs are carefully planned based on the concept of instructional design to set the necessary goals for associates engaged in research and development and to ensure that the learning content necessary to achieve the goals is acquired effectively and efficiently while stimulating trainees' interest. Terumo is well aware of the importance of flexible thinking, broad insight, and interpersonal networks. For this reason, we actively support those associates seeking to undergo external training through short- or medium-term programs of their own accord. External training provides opportunities to acquire insight and technologies not available within the company through instruction from external instructors and also helps associates form interpersonal networks. The types of external training available to associates include the Management of Technology program, basic medical curriculum, and other curricula as well as inter-industry personnel exchanges.

Development of *Monozukuri* associates

We are working to improve the training environment and develop the trainers to enhance the manufacturing *monozukuri* (product creation) capabilities at its production sites. As one of our efforts, we provide intensive training for new associates assigned to production, engineering, or product development positions every year to pass on to next generation associates the skills and experience of long-cultivated veterans and the spirit of *monozukuri* and the skills required for modern production. Associates who work at production sites create training curricula in line with *Gemba* (field/floor), *Genbutsu* (actual product), and *Genjitsu* (reality) to continuously enhance the training content to make it valuable as opportunities to learn the common skills to be deployed at factories, the *Gemba* (field/floor) for *monozukuri*. Based on the curricula, associates, including Terumo Expert System (TES) associates — veteran associates rehired after retirement age—call upon their years of *Gemba* experience to act as trainers to train specific content and support next generation associates in acquiring skills.

The new HR policy (Terumo Corporation)

To further enhance the capabilities of our associates, we introduced a job-based human resources (HR) policy for managerial positions in April 2022, and for non-managerial positions in April 2024.

To become a company that can provide solutions to new medical issues on a global scale, we must create an environment where associates who lead and support our strategies can fully demonstrate their diverse abilities, and each associate must also achieve personal growth. Based on this idea, the new HR policy upholds three concepts: self-owned career development, fitting the right talent in the right position, and providing support for growth. Associates are encouraged to design their own career paths without the company's direction and take the initiative to challenge themselves with new opportunities through friendly competition. Additionally, the most suitable associate will be appointed to positions designed based on our business strategy, regardless of age. The company will support associates' growth strategically and more robustly than before.

Through these three concepts, we will continue to strive for growth both at the individual level for our associates and for the company as a whole.

Performance feedback and career-planning meetings

Supervisors conduct biannual meetings with associates to provide feedback on performance evaluations, highlight areas for improvement, and outline expected future actions to foster awareness and growth.

In addition, annual career interviews provide an opportunity for associates to deeply reflect on their future careers, including career plans and specific work objectives, and to engage in serious discussions with their supervisors. Information from these interviews is managed as data and used as foundational information for personnel transfers and other career support provided to each individual.

One-on-one meeting

In fiscal 2022, Terumo introduced one-on-one meetings in addition to performance feedback and career planning sessions. These monthly meetings, lasting approximately 30 minutes to an hour, enhance communication between supervisors and associates. During these sessions, associates share their work experiences, while supervisors address current challenges and concerns related to career development. Furthermore, the meetings regularly and frequently review work objectives and expected roles, and identify any issues. This approach aims to foster and support the growth of associates.

"Career Challenge" in-house job posting program

Since 1997, Terumo has implemented an internal job posting system where associates can apply for positions in various departments and roles, winning jobs through their own efforts. This system provides motivated associates with opportunities to challenge themselves, gain experience, and grow, regardless of age or gender.

In fiscal 2022, the program was renamed "Career Challenge," and its content was significantly revamped. This included opening managerial positions for application and removing the previous requirement for years of experience in the current role. We aim to promote "career autonomy," encouraging each associate to proactively think about their career, challenge themselves with career advancement opportunities based on their own will and abilities, and engage in friendly competition. By doing so, we provide more active opportunities for associates to achieve career growth.

Target critical skills development

Basic approach

At Terumo Group, we are engaged in strategic workforce planning to identify the capabilities (roles, skills, competencies) necessary to achieve our medium- to long-term plans, and to create and implement recruitment and development plans accordingly. Since fiscal 2021, we have been identifying and specifying the capabilities and key skills that need to be strengthened across the group, and each business, function, and region also formulates and reviews strategic workforce plans annually.

Definition of digital talent

We are working on development and acquisition of digital talent as a key capability that needs to be strengthened across the group. Since fiscal 2022, we have defined the roles of digital talent across the group, to identify and monitor the number and location of these talents. Using the data collected through this process, we are sharing digital talent issues with global business leaders and working to strengthen digital talent communities, provide knowledge and skills training at each group company, and improve our recruitment processes.

Development of digital talent (Terumo Corporation)

Since 2020, we have launched the "Terumo DX College" to enhance the digital literacy of associates and support motivated associates in acquiring digital knowledge (from 2022). Additionally, starting in 2023, we have been conducting specialized and practical training courses to improve the skills of experts who aim to solve business and operational challenges with digital skills, based on the needs of the entire company or individual businesses. We are not only creating new value but also working to further develop Terumo's existing strengths and create an environment that connects to new strengths.

Growth Mindset

Basic approach

The Terumo Group places great importance on the growth of each of its associates. In order for Terumo to continue to be a company able to take on new medical issues and provide more innovative solutions in the rapidly changing medical world, it is important to foster an organizational culture where associates are constantly taking on new challenges and growing. We have therefore introduced "Growth Mindset" to the entire Terumo Group. Growth Mindset is a concept that our abilities are not fixed with qualities we are born with, but rather, we can improve these abilities through efforts and experiences. Creating change in each associate's awareness and behavior will bring evolution to the company. To promote Growth Mindset, the top management team and business leaders are taking the lead in creating an environment in which associates can incorporate the three key habits of Growth Mindset (experiment, value progress, and learn from others) into their daily work.

Measures to implement Growth Mindset (Terumo Corporation)

All associates have completed an e-learning course assessing their level of Growth Mindset. Additionally, through workshops, we discussed tips for implementing Growth Mindset at the organizational level and enhancing team building. Furthermore, we are organizing internal events to share best practice cases where Growth Mindset leads to a positive impact on business. Moving forward, we will continue to implement ongoing efforts to leverage a Growth Mindset in our business practices.

Diversity, equity, and inclusion (DE&I)

Basic approach

Terumo Group operates in more than 160 countries and regions worldwide, with approximately 77%* of its revenue coming from overseas. We have 30,000 associates working at Terumo Group, and 75%* of them are based outside of Japan. It is essential for Terumo's sustainable growth that our diverse associates respect and value each other's differences and realize their full potential.

In March 2022, we established a global "DE&I Philosophy" to further cultivate a culture of diversity, equity, and inclusion (DE&I) within Terumo Group. In addition, we defined a "DE&I Guiding Principle" as standards for our behavior and decisions related to DE&I. The DE&I Philosophy and the DE&I Guiding Principle are aligned with Terumo's Core Values and the Terumo Group Code of Conduct, clearly stating our commitment to fostering a globally diverse, equitable, and inclusive culture and embedding it in our daily business activities. The five-year growth strategy "GS26", which started in April 2022, aims to promote the active participation of diverse talents to achieve global management. Moving forward, we will continue to create new value through the practice of DE&I, contributing to the advancement of healthcare and the enhancement of patients' quality of life.

* Calculated based on revenue for the fiscal year ended March 31, 2024, and the number of Terumo Group associates as of March 31, 2024.

DE&I Philosophy and Guiding Principle
https://www.terumo.com/about/regulation/diversity-equity-inclusion

The concept of the expression
The overlapping colors of the DE&I letters in this logo symbolize our associates. This design demonstrates our commitment to respecting individual differences and providing resources tailored to each associate, empowering everyone to fully realize their potential, supporting "TERUMO," and fostering continuous growth. (The logo is for internal use only)

Promotion measures

In 2021, we established the Global DE&I Council, composed of associates with diverse backgrounds in terms of gender, nationality, job roles, and positions. Through active discussions within the council, we formulated the common DE&I Philosophy and Guiding Principle for the Terumo Group. Furthermore, in 2023, we revamped the four focus areas to promote DE&I, tailoring our initiatives to the characteristics of each region. Additionally, the status of DE&I promotion plans and initiatives, including women's empowerment, is regularly reported and discussed at the board of directors' meetings, where we also receive advice based on various insights from external directors.

The four focus areas and its major initiatives

1. Goal setting and HR process: DE&I goals/KPIs set and managed by executive officers
2. Inclusive leadership: Advancing the implementation of inclusive leadership training
3. A sense of belonging and togetherness: Promoting collaboration between Associate Resource Groups across businesses and geographies
4. Awareness and communication: Strengthen both internal and external communication regarding DE&I

TOPICS

Initiatives to promote communication "Terumo DE&I Week"

At Terumo Group, we hold "Terumo DE&I Week" every March to promote a better understanding of DE&I, foster mutual respect among associates, and create an inclusive work environment where associates are empowered to bring their authentic selves to work. During this period, we hold DE&I-related events, including video messages from the management team and panel discussions, at Terumo and our global group companies.



Online seminars by Anne Chow (formerly CEO of AT&T) (Simultaneous participation at 10 locations globally)

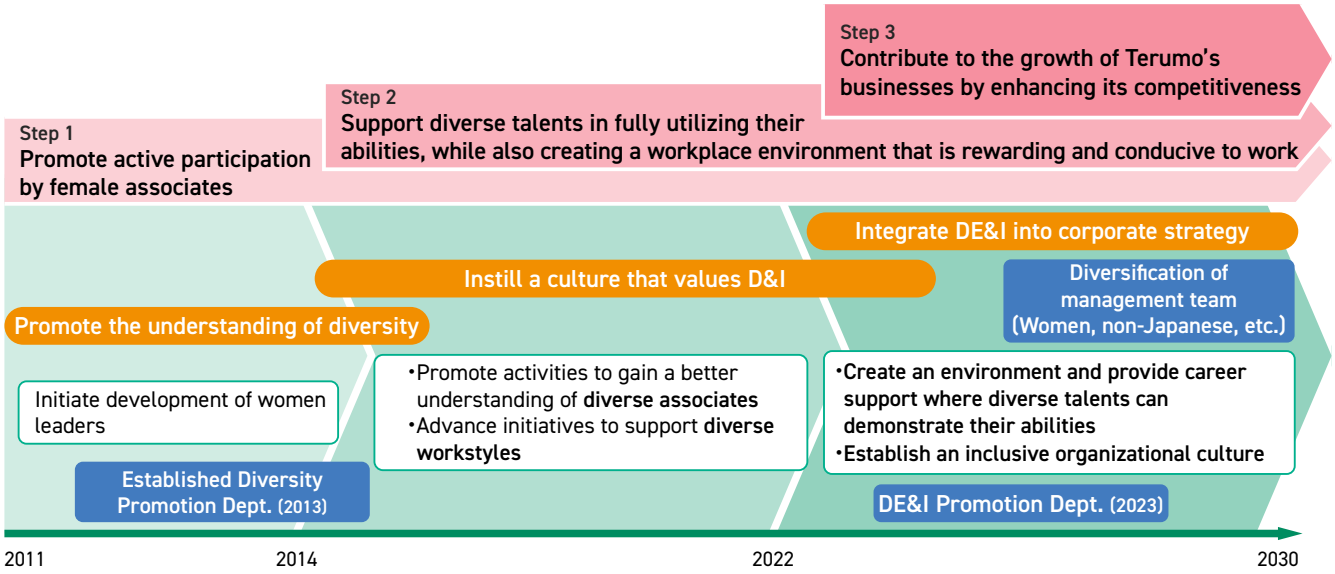
DE&I promotion (Terumo Corporation)

Terumo Corporation has been implementing initiatives to foster an inclusive corporate culture by promoting the understanding of DE&I.

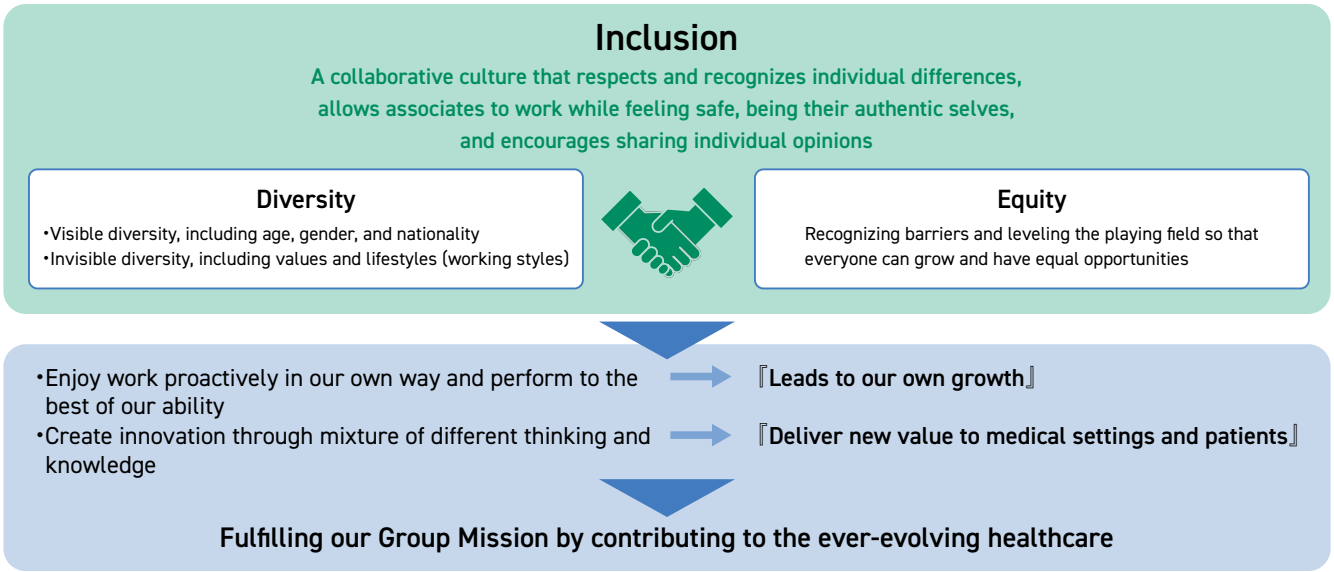
Major initiatives implemented so far

- Posted the targets and plans for DE&I initiatives on the company's intranet site
- Held lectures and workshops by independent directors and external lecturers for top management, heads of departments, factories, and sales managers
- Posted commitments declared by executives to promote diversity within their departments on the company's intranet
- Held diversity management training session for managers (with content including management approaches that can effectively draw out the skills of diverse associates, including women and non-Japanese individuals, and how to interact with subordinates from diverse backgrounds)
- Conducted level-based trainings on the skills needed to be able to effectively manage diverse talents and work styles, on unconscious bias, and on methods for appropriate performance evaluation
- Implemented e-learning for all Terumo associates, including seconded personnel (e-learning topics include basic knowledge about DE&I, unconscious bias, psychological safety, etc.)
- Disseminated information about DE&I through Terumo's social media accounts

Initiatives to promote DE&I at Terumo



Terumo's vision for DE&I



Promotion of active participation by female associates

At Terumo, in order to continue growing in a diverse global society, the top management team is committed to promoting women's empowerment as part of achieving DE&I.

The ratio of female managers in the Terumo Group globally is 31.3%, compared with 10.4% in Japan (as of March 31, 2024). To ensure continued value creation in the future, it is critical to have a diverse pool of decision makers, including women in management positions. To achieve this goal, we have set a target of 13% women in managerial positions in Japan by the end of fiscal 2026. We are working toward this goal by creating an environment led by the top management team that enables women to maximize their potential. We are also making it mandatory to include female candidates in succession plans for key management positions and systematically dispatch them to women's leadership programs at external training institutions to develop women leaders and candidates. In mid-career hiring, we are promoting recruitment of female talent as candidates for future management positions, as well as for specialist positions such as lawyers, and for managers and manager candidates. In addition to these efforts, we are actively supporting the creation of a network where associates can share issues and information about career and life events with other associates.

Number and ratio of female managers (Terumo Corporation)

	FY2021	FY2022	FY2023
Number	73	90	100
Ratio (%)	8.4	9.6	10.4

TOPICS

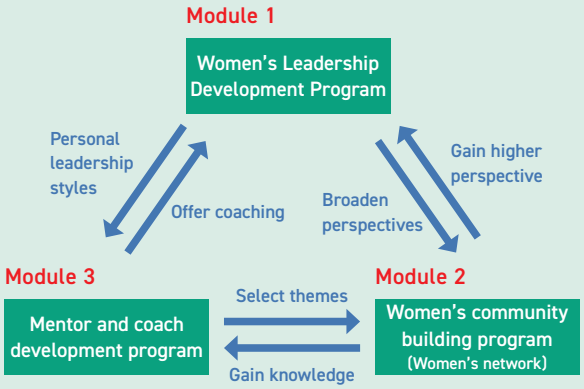
Women's talent development program

Module 1: Women's Leadership Development Program (for female associates)
While replacing members every year, we will develop women leaders by enabling them to develop their own personal leadership styles that make their work rewarding.

Module 2: Women's community building program (consisting of two parts: webinars and networking)
Part 1: Panel discussion with unique women leaders (internal and external) as speakers, for all associates
Part 2: Building a network of female associates

Module 3: Mentor and coach development program (Target: associates in managerial positions)
Participants receive mentoring and coaching by professional coaches and learn through practice to become inclusive leaders themselves, as well as mentors for female associates participating in Module 1.

Overview of women's talent development program (FY2024–FY2026)



Major initiatives implemented so far

- Introduced DE&I-related criteria as one of the individual's qualities to be evaluated for executive officer appointments
- Included female candidates in the succession plan for key executive positions as a requirement
- Made it mandatory to set the development plan for subordinates as one's own objectives
- Implemented initiatives for improving diversity management skills in managers that have responsibility for developing women leaders
- Developed women leaders and candidates for executive positions by sending female associates to women's leadership programs offered by external training institutions
- Developed a system to ensure that absence from work due to life events does not affect subsequent career development, promotions, and appointments.
- Established a consultation desk for balancing work and private life
- Built a network for identifying issues and exchanging opinions on career and life events
- Introduced a babysitter subsidy policy and overseas transfer spousal leave policy
- Enhanced the program to subsidize the cost of a return trip home for associates on solo assignments in Japan
- Introduced prenatal preparatory classes for parents-to-be

Promotion of active participation by International Associates

At Terumo, we are engaged in recruiting overseas talents regardless of nationality and promoting the recruitment of global talents by accepting overseas university students and international students in Japan as interns.

As our business is becoming more globalized, we are also working to create an environment where every associate—regardless of nationality or language—can work more comfortably. As part of this effort, we use the term International Associates ("IA") to refer to associates who are not native to Japanese culture or language, and we are conducting cross-cultural communication training for managers who have IA under their supervision. We have also established an Associate Resource Group (ARG) for IA to create an environment where IA can work in Japan easily and can freely seek advice. In addition to these efforts, we have also established internal infrastructure, such as providing internal announcements via e-mail and office bulletin boards in English.

Support for contributions by senior associates

At Terumo Corporation, we have introduced TES, or the Terumo Expert System, in fiscal 1998 as a way to rehire retirees with outstanding skills and expertise. Many associates have been brought back through TES and continue to make the most of the expertise they developed over many years. These Terumo Experts work not only in highly specialized areas but also in a wide variety of other areas where they contribute to the company by drawing on their wealth of experience to provide guidance and advice to younger associates.

In April 2023, we made changes to the TES to introduce a compensation structure that is based on roles and performance. We also introduced flexible work arrangements that allow diverse work styles such as allowing side jobs and 3-4 work days per week.

Furthermore, we have introduced a career advisor program to offer additional support for the contributions of senior associates. Through this program, advisors with management experience within the Terumo Group meet individually with all rehired associates to identify any issues they might face early on and offer various advice.

Employment of individuals with disabilities

Terumo promotes the employment of individuals with disabilities to enable them to lead rewarding lives as independent members of society by providing job opportunities that match each individual's skills and aptitudes. In fiscal 2018, we introduced a new program in which associates with certifiable disabilities can receive 12 days of special paid leave a year. This program aims to provide them with peace of mind when taking days off for hospital visits, hospitalization, or simply resting when in poor health, supporting the development of workplace environments where associates with disabilities feel more comfortable working and can better exercise their talents. We will continue to promote initiatives that enable each associate with disabilities to maximize their abilities and make efforts to expand employment.

Inclusion of sexual and gender minorities

To create a workplace environment wherein associates with different backgrounds respect each other and can work to the fullest of their ability, Terumo is engaged in various initiatives from the perspective of sexual and gender minorities, such as members of the LGBT community.

In January 2017, we clearly outlined the prohibition of harassment based on sexual orientation or gender identity in Terumo's work regulations. Additionally, in the revised "Terumo Group Code of Conduct" of April 2019, we also included a statement to create and maintain a workplace where individuals are not unfairly treated based on their sexual orientation or gender identity.

Topics pertaining to the prevention of harassment based on sexual orientation and gender identity were incorporated into the harassment training provided to all associates. We are also striving to enhance associates' understanding of LGBT issues through measures such as the installation of unisex restrooms, and the holding of LGBT sensitivity training sessions by external lecturers.

Wellbeing

Basic approach

For our associates to fully utilize their abilities and thrive in the workplace, it is essential that they maintain both physical and mental health. Additionally, their experience at Terumo should be enriching, and they should feel a sense of purpose and job satisfaction. At the Terumo Group, we refer to this state of being as "wellbeing." To enhance wellbeing, we are implementing various initiatives across the entire group, in every region, country, and company.

Promotion of associate health improvement

Terumo recognizes that healthy associates are crucial to sustainable growth. As a company tasked with contributing to the development of healthcare, we are committed to ensuring that our associates remain healthy and providing them with an environment that allows them to feel energized in their work.

Message from senior management

Hikaru Samejima
Chief Executive Officer

Since its establishment in 1921, Terumo has been addressing various medical challenges together with its associates (employees) under the Group Mission of "Contributing to Society through Healthcare." To continue contributing to the ever-evolving medical settings, it is essential to further strengthen the capabilities of our associates, and at the core of this is "health."

At Terumo, we believe that our associates are the driving force behind sustainable growth, and we are promoting health management across the entire company. In a global environment where diverse talents thrive and work styles and individual careers are becoming increasingly diverse, we believe that each associate being physically and mentally healthy, working energetically in their own way, and feeling the value of working at the Terumo Group leads to increased corporate vitality and engagement. As a company involved in healthcare, we will continue to address various challenges from both management and associate perspectives, promote health management, and aim for evolution to bring further innovation to healthcare together with our associates.

Promotion of global wellbeing program

At Terumo Group, we are advancing global wellbeing program with the aim of ensuring that all associates work healthily and actively, and feel the value of working at Terumo Group. By learning from initiatives promoted by other group companies in each region and promoting them together, we are working with a sense of unity. In 2020, we prepared a shared global common tagline, "Your Health, Your Happiness, Our Priority," and an internal logo, and designated five shared themes that Terumo considers important. This tagline embodies the shared desire of associates and the entire Terumo Group to protect the health of all associates.

Shared themes	Concrete initiatives
Exercise	Financial support for exercise; in-office gyms; walking, running, and other sports events; etc.
Healthy diet	Provision of healthy meals, nutrition seminars, etc.
Mental health	External consultation venues, stress relief and mindfulness programs, sleep workshops, support for addressing financial concerns, etc.
Prevent & care illness	Health examinations, vaccinations, treatment support, leave for treatment purposes, etc.
Family care	Wellbeing support for associates' families

Terumo Patient's Day

At the root of our associates' motivation to work with a sense of purpose is our Group Mission: "Contributing to Society through Healthcare." Since 2013, we have been hosting an in-house event called "Terumo Patient's Day" around the world, where we listen to patients' voices. This event provides opportunities for associates to reconnect with our mission, share the belief that all our work benefits patients and healthcare, and find motivation. During Terumo Patient's Day, associates hear moving accounts of patients' experiences in their struggle to overcome diseases. This enables associates to directly reflect on the connection between their everyday work and healthcare.

Engagement survey

At Terumo, we believe that fostering engagement—helping our associates feel fulfilled and experience growth in their daily work—leads to better performance and, ultimately, greater corporate value. With this in mind, we conduct a biennial survey to assess our associates' engagement levels. (Note: Some entities conduct their own engagement surveys on a more frequent basis.)

The survey consists of 14 questions on common topics relevant to all global entities, such as inclusion, work-life balance, and growth opportunities. In the first quarter of fiscal 2024, the survey had a global response rate of 69% and 84% in Japan (Terumo Corporation).

The main trends in the results showed that globally, scores were high (positive) for questions like "I feel as if I belong at Terumo" and "My manager recognizes my team's progress towards our goals." Scores were lower for statements such as "I feel safe to fail when trying new approaches at work" and "It is easy to connect with other Terumo associates (across departments and Terumo entities) who possess specific skills or expertise, allowing us to meet, collaborate, or learn from each other." Globally we plan to continue to foster a culture of learning and growth from failure as part of our group-wide initiative, Growth Mindset (see p. 58). Additionally, we will enhance collaboration across the Terumo Group through our online platform, Terumo ONE Connect (see p. 56), which aims to facilitate networking among associates.

In Japan (Terumo Corporation), in addition to the 14 common global questions, we conducted a survey with questions unique to Japan. These questions aim to visualize the state of the organization by examining various factors that are believed to affect engagement and wellbeing. The main trends in these results showed high scores for the statements "I am proud of the efforts our company is making to contribute to the world" and "Our company adheres to ethical management decisions and actions." These scores on CSR and corporate ethics are consistently high each year, which we believe is a strength of Terumo Corporation. However, the score for "I am actively investing in myself to improve my skills and career prospects" was lower. Moving forward, we will work to create an environment where all associates can actively pursue their own growth.

We will continue to listen closely to our associates and stay connected with what happens in *Gemba*. We will use our associates' feedback to take concrete actions to improve engagement.

Workstyle reform

Terumo considers the success of every associate as the driving force behind the company's sustainable growth. To ensure that each associate can maximize their potential, we are promoting work style reforms. Focusing on work outcomes and aiming to improve productivity, we are working to enable flexible work styles that fit the nature of the work and our associates' lifestyles.

Policies to facilitate flexible workstyles (Terumo Corporation)

Policy	Description
Staggered working hours	Adjustment of start and end of work day by up to two hours available according to daily work and schedule
Flexible working hours	Flexibility for each associate to set their own start and end times and working hours within the total number of hours set for each month
inter-work interval	A policy to prevent overwork that requires associates to take an interval of at least eight hours between the end of one workday and starting the next
Work-at-home Policy	Available to all associates working on remote assignments (no limit on frequency of use)
Satellite offices	Satellite offices established, mainly in the Tokyo metropolitan area, to support location-free work styles
Paid half-day Leave	Paid leave for taking a half day off in the morning or afternoon available
Hourly paid Leave	Paid leave available in hourly units
Refreshment Leave	Five days of refreshment leave (special paid leave) for associates who have been working for 10 or 20 years or who have retired and transitioned to the Terumo Expert System

Proper working hour management

At Terumo, we are focused on improving work efficiency by thoroughly managing daily working hours and creating a work environment where associates can fully concentrate during work hours and enjoy complete rest during their breaks.

Major initiatives implemented to enhance working efficiency and ensure appropriate working hours

- Use new technology to reduce production process manpower requirements
- Save labor through the adoption of automation technologies such as robotic process automation (RPA)
- Adjust operations and making them more efficient
- Establish a minimum of one "no overtime" day per week
- Send alerts when hours worked outside normal working hours reach a specified level
- Provide associates in managerial positions with periodic notifications and training
- Establish company holidays
- Promote the taking of paid vacation days

Ratio of paid vacation days taken (Terumo Corporation)

	FY2021	FY2022	FY2023
Ratio (%)	67.1	71.1	73.2

Support balancing work and family life

Terumo is fostering a workplace environment that enables associates to realize their maximum potential by supporting flexible work styles that accommodate childbirth, child-rearing, nursing care, and other life events.

Childcare and nursing care support policies (Terumo Corporation)

	Policy	Description
Childbirth	**Maternity leave**	・Up to six weeks' leave can be taken before childbirth, and up to eight weeks' leave after childbirth
	Parental leave for spouses	・Two days' leave can be taken within one month of the spouse giving birth
Childcare	**Long-term childcare leave**	・Leave available to be taken until the child reaches the age of 14 months (until the child reaches the age of three if there are special circumstances such as being unable to enter a nursery school) ・Up to 30 days of expired paid leave can be used at the beginning of leave ・Postnatal paternity leaves available to male associates within eight weeks of spouse giving birth, which allows them to work while on childcare leave
	Shortened working hours	・Working hours can be shortened by up to two hours per day until the child finishes elementary school (approximately age 12)
	Staggered working hours	・The start and end time of regular working days can be moved forward or backward by up to two hours until the child finishes elementary school (approximately age 12)
	Exemption from working outside normal working hours	・Until the child reaches the age of three: The associate concerned can submit an application to the company to be exempted from working outside normal working hours, and to be exempted from late-night working ・Between the child's third birthday and starting elementary school (approximately age seven): The associate concerned can be exempted from working more than 24 hours a month or 150 hours a year outside normal working hours, and to be exempted from late-night working
	Work at home	・Available to remote workers with no limit on the frequency of use
	Authorization to use company vehicles to drop off or pick up children at childcare facilities	・Associates can use company vehicles to drop off or pick up children at childcare facilities when on their way to perform business activities or when on the way home
Nursing care	**Long-term nursing care leave**	・Leave can be taken up to three times for a cumulative total of up to three years for each family member requiring nursing care ・Up to 30 days of expired paid leave can be used at the beginning of leave
	Shortened working hours	・Working hours can be shortened by up to two hours per day for a cumulative total of up to three years
	Staggered working hours	・The start and end time of daily working hours can be moved forward or backward by up to two hours for a cumulative total of up to three years
	Work at home	・Available to remote workers with no limit on the frequency of use
	Authorization to use company vehicles to drop off or pick up relatives at care facilities	・Associates can use company vehicles to drop off or pick up relatives at care facilities when on their way to perform business activities or when on the way home

Support for helping associates return to work after childbirth and childcare leave

In fiscal 2013, we began holding career-resumption seminars for female associates currently on childbirth or childcare leave, and for their supervisors. At these seminars, we invite female associates that have experience with adjusting to changes in the balance between work and child-rearing to offer their insights regarding this adjustment. These associates also outline key developments at the company that have taken place while the returning associates have been on leave and the preparations and attitude needed for a smooth return to work.

For supervisors, the seminars provide explanations of various policies that help associates balance work and family responsibilities, the necessity of individual meetings before and after returning from childcare leave, and the evaluation and promotion systems. This helps supervisors develop management skills that enable their team members to excel in diverse working styles and support their careers from a long-term perspective.

Career support for women working while raising children

It is important for companies to understand the underlying concerns of women who work while raising children. Based on this understanding, we create opportunities for women balancing work and parenting to exchange opinions on challenges and information related to their careers and life events. This includes building networks where they can discuss and share experiences, as well as organizing workshops tailored to specific job roles to help them reflect on their career paths.

We also share the firsthand feedback gathered from these activities with our top management team. By doing so, we aim to make the leaders aware of the realities of work-life balance and foster further insights and understandings. Additionally, the feedback obtained from associate surveys and consultation channels has led to the implementation of support systems such as babysitting assistance, spouse overseas transfer leave, and the expansion of home visit travel cost for associates living away from their families.

Encouraging male associates to take childcare leave

In fiscal 2023, the number of male associates taking childcare leave at Terumo has increased to 118, resulting in a take-up rate of 76.6%. Associates who have actually taken childcare leave have commented that they have been able to provide physical and mental support to their spouses, and that it has deepened family ties and unity. It is important for each associate taking male childcare leave to have the understanding and support of his supervisor and workplace in order to create an environment in which an associate can take leave for the required period of time. For this reason, we post the experiences of those who have taken male childcare leave on the intranet, and also hold roundtable discussions with other associates and their supervisors to identify issues and to develop improvements. We are promoting mutual understanding through participation in study sessions on childcare not only by the associates concerned but also by the entire workplace.

Number and ratio of male associates taking childcare leave (Terumo Corporation)

	FY2021	FY2022	FY2023
Number	84	104	118
Ratio (%)	54.9	68.8	76.6

Selected as a "Next Nadeshiko: Company Supporting Dual-careers and Co-parenting"

Terumo Corporation has been selected by the Ministry of Economy, Trade and Industry and the Tokyo Stock Exchange as one of the "Next Nadeshiko Companies Supporting Dual-careers and Co-parenting*1" for its outstanding efforts in supporting dual-careers and co-parenting.

*1 "Next Nadeshiko Companies Supporting Dual-careers and Co-parenting" is a program to select companies making particularly outstanding efforts in supporting a work-life balance that enables both parents to work and raise children together. This program was newly established in 2023 to operate alongside the "Nadeshiko Brands*2" selected by the Ministry of Economy, Trade and Industry (METI) and the Tokyo Stock Exchange (TSE).

*2 Nadeshiko Brands: a program to select listed companies making outstanding efforts to promote women's empowerment in the workplace.

Acquisition of Kurumin Certification under Japan's Act on Advancement of Measures to Support Raising Next-Generation Children

In September 2024, Terumo Corporation received "Kurumin Certification*" as a "company actively engaged in childcare support."

* Established under the Act on Advancement of Measures to Support Raising Next-Generation Children, Kurumin certification program enables companies that have established a General Employers Action Plan and have met certain standards to apply to the Ministry of Health, Labour and Welfare for certification as a company that supports the raising of children.

Participation in "IkuBoss* Alliance"

In June 2018, Terumo Corporation joined the "IkuBoss Alliance," a business network operated by the nonprofit organization Fathering Japan. Through our participation in the IkuBoss Alliance, we aim to increase the number of "IkuBoss" supervisors in the company who specialize in creating workplace environments that are empowering and comfortable for all and in helping their teams fully exercise their skills.

* One who supports the work-life balance, careers, and lives of their subordinates and staff and seeks to create results for the organization while achieving a good work-life balance themselves.

Support for balancing work with nursing care

In preparation for the challenges of nursing care, which every associate may eventually face, Terumo has instituted a policy to support associates balancing work and nursing care responsibilities. We also provide information and consultation venues to assist associates in achieving such balance and have taken steps to promote their awareness of these support options.

Item	Details
Nursing care columns	Introduction and explanation of wide-ranging information in support of nursing care by a specialized lecturer through the intranet
Nursing care seminars	Nursing care seminars by specialized lecturers held for associates nationwide
Individual nursing care consultation events	Regular individual consultation events held by a specialized lecturer (family members may attend)
Nursing care handbooks	Preparation and distribution of handbooks under the guidance of a specialized lecturer to encourage associates to discuss nursing care with family members while they are still healthy

Rehiring of former associates through the career-return policy

Terumo has opened a pathway to rehire associates who have left because of marriage, childcare or nursing care responsibilities, or the relocation of their spouse. The Career-Return Policy expands the range of employment choices for associates who wish to resume their careers at Terumo in Japan. By helping associates resume their careers, we aim to leverage their diverse experiences and the values they have gained from them for Terumo.

Leave policy when accompanying a spouse on overseas transfers

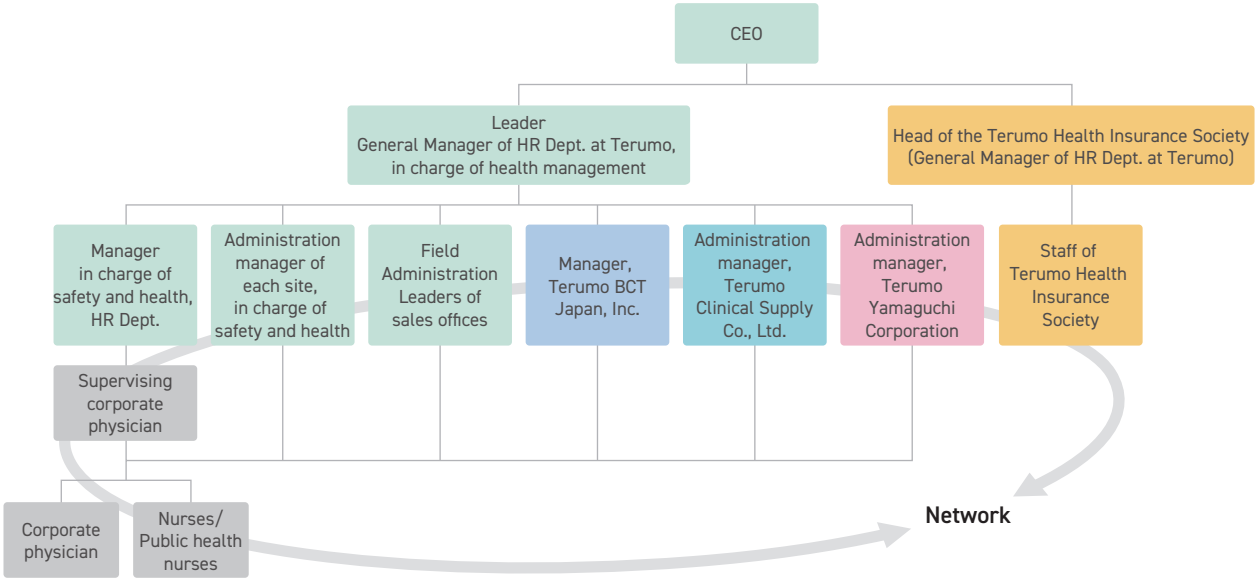
Spousal transfer leave, which allows associates to take a leave of absence for a certain period of time to accompany their spouse on an overseas transfer, was introduced in October 2023. As a result, we have been able to provide new options that support the continuity of careers for associates who face challenges in maintaining employment due to accompanying their spouses on overseas transfers.

The "Kenko Keiei" System (Health and productivity management system)

To promote "Kenko Keiei," we have formed a team, with members drawn from across Terumo Group companies in Japan, to work with the Terumo Health Insurance Society to undertake "collaboration of health"* initiatives. In addition, led by a supervising corporate physician, corporate physicians, nurses, public health nurses, and other corporate health staff deployed to individual business locations share information on "Kenko Keiei" directions for the group companies in Japan and on common initiatives and best practices in order to facilitate the standardization of initiative levels.

* Initiatives undertaken through collaboration between company management and the Terumo Health Insurance Society

Terumo "Kenko Keiei" Promotion Team



Basic approach and major initiatives

At Terumo, we will analyze past diagnostic results and medical expense data to set policies and formulate annual action plans to be implemented at all group companies in Japan. Initiatives based on policies and plans are advanced, and their results are quantitatively and qualitatively verified on an annual basis. In addition, internal "Kenko Keiei" surveys are conducted to incorporate associate input and needs into a "Kenko Keiei" plan-do-check-act (PDCA) cycle. For example, the company, its health insurance society, and industrial health staff collaborate to provide associates with health checkup opportunities, hold seminars and health-oriented events, and offer financial assistance to promote prevention, early detection, and early treatment. In addition, health guidance is provided to individual associates and their families.

Efforts on prevention, early detection, and treatment support

Prevention	Early detection	Health and treatment support
Exercise and diet	Health checkups	Health support
Company-sponsored gym memberships	Periodic health checkups	Specific health guidance
Walking campaign	Lifestyle-related disease checkups (cancer screening)	Health consultations
Diet campaign	Women's health checkups	Medical expense support and others
Financial support for vaccines	Dental checkups	Oral care
Influenza	Financial support for comprehensive neurological exams	Metabolic syndrome and diabetes prevention
Cervical cancer	Financial support for comprehensive medical exams	Workplace support for associates diagnosed with cancer
Refreshing activities	Follow-up exams	Smoking cessation
Lodging subsidies for travel	Financial support for breast cancer MRIs	
Pre-arranged rest and relaxation facilities		

1. Reduction of ratio of smokers and ratio of associates diagnosed with metabolic syndrome

We are working to prevent the onset of lifestyle-related diseases. To that end, we aim to reduce the ratio of smokers to less than 20%

and the ratio of associates diagnosed with metabolic syndrome to less than 22%.
[Major Initiatives]
- Discouraging smoking: Prohibition on smoking at work, holding seminars on quitting smoking, distribution of tools to assist in quitting smoking, online smoking cessation program, financial support for receiving outpatient smoking cessation assistance or purchasing aids for quitting smoking, and prohibition on smoking on the premises of Terumo Corporation in Japan
- Prevention of metabolic syndrome: Special health guidance, and holding of special walking and dieting events

[Initiative Results]
- Discouraging smoking: The ratio of smokers was 21.8% in fiscal 2023. We will continue to implement activities in this area with the aim of reducing the ratio of smokers to less than 20%.
- Prevention of metabolic syndrome: By implementing measures that enable associates to improve their lifestyle habits while having fun, for example by providing diet programs based on the recording of data that make use of Terumo products, and through periodic events, we are able to strengthen the motivation of associates while enabling them to receive more effective advice from public health nurses.

2. Early diagnosis and treatment of cancer to enable associates to return to the workplace

We are focusing on examinations to diagnose and treat cancer early and on creating workplaces that enable associates who have been treated for cancer to return to work when they are ready and continue to work while they are being treated.
[Major Initiatives]
- Full compensation of fees by the Terumo Health Insurance Society for checkups for lifestyle-related diseases (cancer screening), making it easier to receive such checkups by enabling associates to have them during working hours together with regular checkups required by law, encouraging associates to have secondary examinations when the initial examinations indicate that more detailed examination is needed, and a policy to help associates to continue to work while undergoing cancer treatment

[Initiative Results]
- In fiscal 2023, all associates underwent regular checkups required by law and more than 90% received secondary examinations when warranted.

3. Women's health

In response to the increase in female associates, we implement "Kenko Keiei" practices that meet needs specific to women.
[Major Initiatives]
- Various seminars ("Balancing careers with women's health issues", "The importance of breast and cervical cancer screening", etc.), financial support for receiving cervical cancer vaccines, and financial support for undergoing MRI breast cancer examinations*

* Having a high rate of lesion detection, MRI examinations are said to be effective for early detection of breast cancer in women with unusually dense breast tissue and in women considered at high risk for breast cancer due to family history or other factors.

4. Encouragement of self-help

Based on the belief that self-help initiatives are the most important element of managing associate health, we are disseminating information to encourage self-help efforts.
[Major Initiatives]
- Dedicated "Kenko Keiei" intranet site offering information on Terumo's "Kenko Keiei," messages from senior management, health improvement support, initiatives at business sites, and healthcare practices of associates
- Financial support for dental examinations and oral care to help raise awareness of dental diseases, which can contribute to lifestyle-related diseases
- Stretching workshops for improving sleep quality and preventing lower back pain and other training opportunities for addressing presenteeism issues

Major initiatives and achievements (FY2023)

Prevention	・Walking campaign participants: 2,689 (held in the spring of 2023) /2,726 (held in the autumn of 2023) ・Stress check take-up rate: 83% (identified as high stress: 12%)
Early detection	・Periodic health checkup rate: 100% ・Secondary examination rate: 92%
Health and treatment support	Specific health guidance rate: 54.2% (FY2022)

For more information about these initiatives, please refer to "Human resources and labor data" on p. 103.

Workplace support for associates diagnosed with cancer

In recent years, with the advances and improvements in diagnostic techniques and treatment methods, there has been an increase in the number of cases where associates are able to continue working while undergoing treatment for cancer, instead of needing to take a long period off work. In January 2017, we established a workplace support policy for associates who have been diagnosed with cancer, to provide flexible support so that they can balance treatment and work responsibilities, and enable them to take advantage of opportunities for treatment with peace of mind.

Types of support

Use of expired paid leave	Expired paid leave may be used a day at a time
Unpaid leave	Associates may take as many days as needed, but no more than 30 consecutive days.
Unpaid working hour reductions	Working hours may be reduced by up to 2 hours per day
Staggered working hours	Adjustment of daily starting and finishing times by up to 2 hours.

Membership in KENKO Kigyo Kai

Terumo is a member of the KENKO Kigyo Kai, an organization of companies committed to the idea that employee health should be a top management priority. Under the leadership of their senior management, members of this organization embark on an ongoing process of taking steps to promote the health of their employees, reviewing measures and their results, sharing this information, and making improvements. Terumo embraces this approach to business management and contributes to efforts to promote its wider adoption.

External recognition

In recognition of the effectiveness of its "Kenko Keiei" initiatives, Terumo was selected for inclusion in the Health & Productivity Stock Selection eight times between fiscal 2014 and fiscal 2023. Terumo has also been included in the Excellent Enterprise of Health and Productivity Management—White 500 selection since fiscal 2016. Furthermore, Terumo received the Cancer Prevention Partner

Award (Cancer Screening Category) in fiscal 2019 through the Ministry of Health, Labour and Welfare's Action Plan for Companies Promoting Cancer Prevention in recognition of its efforts to promote cancer screenings.

Major "Kenko Keiei" selections, certifications, and awards

- Health & Productivity Stock Selection (eight times between fiscal 2014 and fiscal 2023)
- Excellent Enterprise of Health and Productivity Management (six times between fiscal 2016 and fiscal 2023)
- Tokyo Sports Promotion Company (nine consecutive years since fiscal 2015 to fiscal 2023)
- Sports Yell Company (seven consecutive years since fiscal 2017 to fiscal 2023)
- Cancer Prevention Partner Award (Encouragement of Cancer Treatment While Working Category) (fiscal 2017) and Cancer Prevention Partner Award (Cancer Screening Category) (fiscal 2019), Action Plan for Companies Promoting Cancer Prevention, Ministry of Health, Labour and Welfare
- Award of Excellence, Awards for Companies Supporting Cancer Patients in Receiving Cancer Treatment While Working, Tokyo Metropolitan Government (fiscal 2017)
- Yamaguchi Prefecture Governor's Award for Excellent Enterprises in Health and Productivity Management, Terumo Yamaguchi Corp. (fiscal 2017)
- Sukoyaka Yamanashi 21 health Promotion Award, Terumo Corporation's Kofu Factory (fiscal 2018)

Management–worker dialogue

Terumo recognizes that a healthy management–worker relationship based on trust and mutual understanding is extremely important for it to grow and develop together with its associates. In Japan, all non-managerial associates are members of the workers' union (Terumo utilizes a union shop system). Input from the workers' union is treated as valuable feedback, and we resolve issues by taking actions that are acceptable to both management and associates. In Japan, we arrange forums for discussion with senior management as well as regular management–worker conferences, held once a month in principle. By facilitating reciprocal communication through such forums, the relationship between management and the workers' union has been developed into one in which both sides work as partners to bring about mutual growth and development.

In addition, we hold timely discussions regarding work-style reforms, "Kenko Keiei" (health and productivity management), and other company-wide measures to support the endeavors of associates through a united management–worker effort. We also work to enable a free and vigorous exchange of views throughout the company through surveys and feedback via the workers' union.

Employee shareholding association

An employee shareholding association policy has been adopted for associates at Terumo Corporation and at its domestic subsidiaries. In encouraging associates to hold Terumo's shares, we are aiming to cultivate a stronger sense of associate participation in management. At the same time, the company provides associates with additional bonus payments based on how much they have invested in company stock, which helps associates to build up their financial assets.

Recognition (Praise and approval)

Basic approach

As part of our wellbeing initiatives, the Terumo Group believes that recognizing the value created by our associates is crucial. With this in mind, we aim to enhance external recognition and evaluation of the company. In addition, we are strengthening internal recognition efforts through a group-wide award program, unique award programs introduced by each business and function, and mutual recognition among team members.

Terumo Global Awards

The Terumo Global Awards is an annual award program open to all Terumo Group companies. This program is designed to recognize associates that have made large contributions to either the Terumo Group or society through business success or excellence in community outreach.

Terumo Fellows

Associates named as Terumo Fellows possess superior expertise and practical experience in the fields of technology, research, clinical development, and regulatory affairs and have made conspicuous contributions to medical settings throughout the World. A total of nine Fellows have been created since the program was established in 2016, and as of April 2024, four Fellows are currently serving.

Initiatives to promote recognition (Terumo Corporation)

Internal awards programs

Terumo has developed various internal award programs with the aim of heightening the motivation of its associates.

***Gemba-no Hokori* Awards**

Terumo recognizes associates that work diligently in lesser acknowledged endeavors through the "*Gemba-no Hokori*" Awards (literally, the "Honor the Front Line" awards), which are presented each year.

Occupational safety and health

Basic approach

Ensuring occupational safety, promoting the health of employees, and reducing the environmental impact of business activities are important social responsibilities for companies and are crucial to sustainable growth. Acting in accordance with the Terumo Group Environment, Health and Safety (EHS) Policy, the Terumo Group advances initiatives for ensuring occupational safety and promoting the health of its employees throughout all of its business activities, strives to develop safe and comfortable work environments, and works to reduce the impact of its business activities on the environment.

Terumo Group EHS Policy (Please visit the Regulations and Standards section of Terumo's corporate website.)
https://www.terumo.com/about/regulation

EHS management system

Based on the Terumo Group EHS Policy, we employ an EHS management system that is compliant with international environmental (ISO 14001: 2015) and occupational health and safety (ISO 45001: 2018) standards. (For more information about the EHS management system, please refer to "EHS Management" on p. 34.)

ISO 45001 (Occupational health and safety) certifications

Principal manufacturing sites in Japan, a certain number of manufacturing sites overseas, and the head office (EHS Office) have obtained third-party certifications of their compliance with the ISO 45001 international standards. The ratio of certifications obtained is 37% on a manufacturing site basis.

Company name	Site
Terumo Corporation	Head office (EHS Office)
	Fujinomiya Factory
	Kofu Factory
	Ashitaka Factory
Terumo Yamaguchi Corporation	–
Terumo Medical Corp.	Elkton Factory
Terumo Europe NV	Haasrode Factory
	Genk Warehouse
Terumo Vietnam Co., Ltd.	Terumo Vietnam Factory
Terumo BCT, Inc.	Terumo BCT Lakewood Factory
Terumo Penpol Pvt. Ltd.	Blood bag factory
Terumo BCT Vietnam Co., Ltd.	Terumo BCT Vietnam Factory

(As of April 30, 2024)

Initiatives to prevent work-related accidents

In Japan, we have clarified the roles and responsibilities to promote occupational health and safety at the company. Our Occupational Health and Safety Management Committee plays a central role in promoting the company's occupational health and safety. At our factories, in particular, subcommittees are established to address topics such as work safety, disaster response, occupational health, and traffic safety; facilities are inspected and problems remedied to prevent occupational accidents; and 5S (sort, set in order, shine, standardize, sustain) programs are conducted. Results of improvement measures are shared with the official meetings, which then discuss further actions to take. EHS internal audits performed regularly also identify any potential occupational health and safety risks. Should areas requiring improvement be discovered, corrective measures will be implemented. In addition, individual business sites have established procedures to prevent and lessen the severity of any EHS accidents should they occur. They also regularly conduct emergency response training and review results, and are working to cultivate human talent with specialist expertise and skills in the area of labor safety. In fiscal 2023, 6,638 associates received basic EHS training (e-learning), including occupational health and safety content.

In addition to these measures, we have designated one day each year as safety pledge day (Safety Day) for all associates, including managers. On Safety Day, safety measures are implemented in an intensive manner at each workplace, with managers meeting together to discuss how to build a corporate culture that has safety as its foundation, and with the implementation of equipment inspections and traffic safety drills at each site. We also present awards for good examples of safety-related initiatives to foster a culture of safety at each business site.

We will continue to make efforts to achieve "zero work-related accidents." (For more information about the number of work-related accidents resulting in lost work days, please refer to "Human resources and labor data" on p. 103.)



Workshop for senior management on Safety Day

Human rights

Human rights initiatives

Basic approach

Since its founding in 1921, Terumo has carried out its corporate activities while respecting the human rights of patients, healthcare professionals, associates, and other stakeholders, in line with the Group Mission of "Contributing to Society through Healthcare." In 2012, Terumo became a signatory to the United Nations Global Compact, reflecting Terumo's agreement with the principles of the Compact, which seeks to encourage business enterprises to undertake initiatives that embody respect for human rights.

Our Core Values, constitute shared values linking Terumo associates throughout the world, include respect for others, acting with integrity, and empathy for patients. Awareness of the importance of respect for human rights is a common value for all associates. The Terumo Group Code of Conduct, our code of conduct for associates also states the importance of respect for human rights as every associate's guide to day-to-day business activities. The Terumo Group Human Rights Policy was formulated to clarify the Terumo Group's position on and responsibility toward human rights, and to express the group's commitment to living up to the expectations of society with regard to human rights.

Terumo Group Human Rights Policy

The Terumo Group Human Rights Policy expresses Terumo's support and respect for international human rights codes such as the International Bill of Human Rights and the International Labour Organization's Declaration on Fundamental Principles and Rights at Work, as well as for the Ten Principles of the UN Global Compact. As a company that provides products and services that are closely related to people's lives and health, the Terumo Group Human Rights Policy defines priority themes related to human rights such as creating safe and worker-friendly environments, complying with fair labor practices, ensuring the quality and safety of products and services, and complying with ethical standards in research and development, in line with the UN Guiding Principles on Business and Human Rights (UNGPs).

When purchasing materials and services from outside sources, besides respecting human rights in accordance with the Terumo Group Procurement Policy and Supplier Guidelines, we also ask our suppliers to respect human rights.

Terumo Group Human Rights Policy
(Please visit the Regulations and Standards section of Terumo's corporate website.)
https://www.terumo.com/about/regulation

The Terumo Group Procurement Policy and the Supplier Guidelines
https://www.terumo.com/about/procurement

Promotion system and major initiatives

To support the implementation of human rights due diligence (i.e., assessing, preventing, and reducing the adverse impacts on human rights that our business activities may have in society) in line with the Terumo Group Human Rights Policy, a working group was established comprising members from the corporate sustainability, human resources, legal and compliance, and procurement departments. This working group mainly undertakes the following initiatives and reports the progress on these initiatives to the executive officer in charge of sustainability.

Major initiatives

Category	Subjects
Compliance with labor-related laws, and prevention of harassment[*1]	・Conducting surveys administered to Terumo Group business sites in Japan and manufacturing sites overseas to verify the state of compliance and of measures implemented
Ensuring the quality and safety of products and services[*2]	・Verifying compliance and the response to laws and regulations
Initiatives targeting suppliers[*3]	・Asking suppliers to sign an acknowledgment of the items stipulated in the Supplier Guidelines, including "Consideration of Human Rights for Labor" ・Conducting the self-assessment questionnaire (SAQ), including questions about the implementation of measures relating to human rights and labor concerning the manufacturing facilities of raw materials suppliers located in regions with high country risk
Compliance with ethical standards in research and development[*4]	・Verifying the status of reviews conducted by the Terumo Research Ethical Committee ・Verifying compliance and the response to laws and regulations relating to clinical trials
Bribery prevention and anti-corruption[*5]	・Building compliance activity plans, including bribery prevention and anti-corruption, dealing with healthcare professionals in an ethical manner, and verifying the state of progress in plan implementation of each region and business

*1 For more information about harassment prevention initiatives, please refer to "Prevention of harassment" on p. 97.
*2 For more information about initiatives relating to ensuring the quality and safety of products and services, please refer to "Quality and safety of products and services" on pp. 50–52.
*3 For more information about initiatives targeting suppliers, please refer to "Procurement" on pp. 53–54.
*4 For more information about the main initiatives relating to compliance with ethical standards in research and development, please refer to "R&D ethics" on p. 99.
*5 For more information about the main initiatives relating to bribery prevention and anticorruption, please refer to "Anti-corruption" on p. 98.

Whistle-blowing system

Based on the Group Compliance Violations Reporting and Anti-Retaliation Policy, the Terumo Group has established and operates the Terumo Integrity Helpline, a group-wide whistleblowing system. Associates at all Terumo Group business sites can make reports or receive a consultation concerning violations of laws and regulations, the company's internal policies and regulations, the Terumo Group Code of Conduct, and other serious misconduct. Reporting via the Helpline can be conducted anonymously. Reports can be submitted through the Helpline not only by Terumo Group associates, but also by the directors, officers, and employees of business partners that do business with any Terumo Group company. A link to the Helpline has been posted on the Terumo website.

(For more information about the whistle-blowing system, please refer to "Whistle-blowing system," on p. 97.)

Contribution to society and local communities

Basic approach

While contributing to patients and healthcare professionals through its core business, the Terumo Group also engages in social contribution activities as a good corporate citizen based on its Group Mission of "Contributing to Society through Healthcare." We aim to help achieve a sustainable society by gaining a deeper understanding of the society, culture, and environment of each country and region and by pursuing activities that meet the expectations and demands of communities, mainly in our work to support the spread and development of healthcare.

Supporting the spread and development of healthcare

Addressing blood donation shortages—From the Heart

Blood is an essential medicine, crucial for treating trauma victims, patients with cancer and blood diseases, organ transplant recipients, and more. The demand for blood is constant in hospitals and emergency care facilities worldwide. Terumo Blood and Cell Technologies leads a unique blood donation awareness program, From the Heart, to combat blood shortages and raise awareness about the importance of a safe, accessible, and sustainable blood supply. In 2023 alone, we organized 430 blood drives with 3,230 associates participating as donors. The program extends beyond just our company, and we partner with local organizations, as well as other Terumo Group companies.



An associate participating in a blood drive held in collaboration with other local organizations

Supporting the Leukemia & Lymphoma Society

At Terumo Blood and Cell Technologies, our largest charitable partnership is our decade-long relationship with the Rocky Mountain Chapter of the Leukemia & Lymphoma Society (LLS), an organization that works alongside survivors and fighters of rare blood cancers and supports research efforts to find a cure.

Partnering with the LLS on its Light The Night fundraising is a real and tangible way that we carry out our mission of Contributing to Society through Healthcare. Over the years, our Light The Night campaign has become integral to our associate culture as we come together to support LLS. We have raised nearly $2 million USD to support patient care, advocacy, and innovative research to find a cure for blood cancer.

Every year, we hold multiple fundraising activities for our associates and their families and friends to get together, have fun, support patients and survivors, and participate in the fight to find a cure. The campaign culminates with our associates forming the largest team at the Light The Night community walk in Denver's Washington Park to honor survivors and remember those we have lost.

Supporting The Action Center of Jefferson County

An estimated one in three Coloradans faces food insecurity. Many also face housing instability and hardship in finding employment and healthcare services. This problem has only been propelled by inflation and the increasing cost of life.

Every year, Terumo Blood and Cell Technologies has the opportunity to support The Action Center in its mission to provide an immediate and compassionate response to those experiencing hardship in our community.

Our work with The Action Center continues all year long, but every November, we have a tradition of supporting its Thanksgiving food distribution event in a variety of different ways — including funding, fundraising activities, food drives, and gathering our associates and their families and friends to volunteer to pack boxes, sort food, load cars, and help facilitate food distribution. Our associates also help pack backpacks of supplies with non-perishable food, gloves, and other necessities to help those experiencing homelessness during the winter months.

Comprehensive partnership agreement with the Japanese Red Cross Society

In June 2024, Terumo signed a comprehensive partnership agreement with the Japanese Red Cross Society. This agreement aims to promote social contribution activities through close mutual cooperation and collaboration between Terumo and the Japanese Red Cross Society to promote regional healthcare and social development and address social and healthcare issues. Through this comprehensive partnership agreement, we will continue to work together to promote social development and address these issues.

Specific initiatives based on the comprehensive partnership agreement

1. Donations aimed at supporting disaster response, including disaster prevention and mitigation

Natural disasters have become more frequent in recent years, resulting in more significant damage and a broader impact. When a disaster strikes, medical institutions in the affected areas often suffer damage, making it challenging to provide necessary medical care. To address this issue, the Japanese Red Cross Society is training medical support teams to safeguard the lives and health of disaster-affected individuals. They are also developing personnel capable of conducting various relief activities tailored to the specific needs of disaster-affected regions. Terumo supports this initiative and will continue to donate to aid the Japanese Red Cross Society's disaster prevention and mitigation efforts.

2. Support to blood donation

In case of an emergency requiring blood donations, Terumo will provide information about blood donation to all associates and consider the time associates spend away from work for blood donation as working hours. In addition, as part of our efforts to promote blood donation and awareness among younger generations, we will hold lectures on blood donation and provide opportunities for new associates to experience blood donation during the onboarding training.

3. Other initiatives agreed upon by both parties to promote regional healthcare and social development and address issues

Terumo and the Japanese Red Cross Society will collaborate to implement new initiatives in areas other than disaster support and blood donation promotion to achieve the goals of this agreement and promote social contribution activities.

Promoting safe and reliable percutaneous coronary intervention (PCI) in Kenya through a public-private partnership project

In recent years, the high incidence of deaths caused by non-communicable diseases, particularly cardiovascular diseases, has become a significant concern in Kenya. Terumo has utilized its expertise in training for PCI to develop a project proposal aimed at promoting safe and secure Japanese-style PCI in Kenya. This proposal was submitted to the National Center for Global Health and Medicine of Japan (NCGM) and adopted as one of the Projects for Global Growth of Medical Technologies for fiscal 2023.* In this project, we partnered with Japanese physicians to provide PCI training to Kenyan physicians through various curriculums, including on-site training sessions in Japan and Kenya, and online training. We also focused on establishing a system that enables PCI training to be conducted independently in Kenya.

Building on our experiences from the first year, we submitted a proposal for the fiscal 2024 project to the NCGM, which included a review of the target trainees and training content, and it was adopted. We will continue to address healthcare challenges in Africa by promoting safe and secure PCI.

* Fiscal 2023 Projects for Global Growth in Medical Technologies are primarily led by the National Center for Global Health and Medicine in Japan, which is commissioned by the Ministry of Health, Labour and Welfare.

Main activities conducted in the project (FY2023)

- Training in Japan
  - Invited Kenyan physicians to Japan and conducted hands-on training at Terumo Medical Pranex
  - Observed PCI procedures in Japanese hospitals
- Training in Kenya
  - Performed PCI procedures by Kenyan physicians under the supervision of a Japanese physician
  - Conducted hands-on training for young physicians
- Online training
  - Conducted PCI case study discussions between Japanese and Kenyan physicians, accompanied by lectures from a Japanese physician



PCI training for Kenyan physicians

Sponsorship for Nursing Day and Nursing Week activities

Terumo provided sponsorship for Nursing Day and Nursing Week activities implemented throughout Japan by the Japanese Nursing Association (JNA) and the Ministry of Health, Labour and Welfare (MHLW) from May 12 until May 18, 2024. Nursing Day and Nursing Week are being held to promote nursing as an attractive career to the younger generation, as well as their parents and teachers, with the aim of securing the nursing workforce in an aging society with a declining birth rate. Terumo has continued to provide sponsorship to this initiative since its inception and this year marked 34 consecutive years of support. Nursing Day and Nursing Week were instituted in 1990 by what was then the Ministry of Health and Welfare. Nursing Day is celebrated every year on May 12, which was the birthday of Florence Nightingale, the founder of modern nursing. The period of one week from Sunday to Saturday that includes May 12 is designated as Nursing Week.

Terumo supports the objectives of Nursing Day and Nursing Week activities and will contribute to society through healthcare by endorsing this initiative.



TERUMO LIFE SCIENCE FOUNDATION—Contributing to improvements in medicine and in the health of all people through the advancement of life science technologies

The TERUMO LIFE SCIENCE FOUNDATION was established through contributions by Terumo Corporation in 1987 with the aim of contributing to improvements in medicine and in the health of all people through the advancement of life science technologies. The foundation focuses its activities on three areas: subsidies for domestic and overseas research and development programs for creating technologies in the field of life science, awards for promising researchers who have made outstanding achievements in the field where medicine and engineering collaborate and integrate, and educational activities to share the appeal of life science with younger generations. Targets of subsidies include research and development projects for creating new value in medical settings in Japan and for improving healthcare and public hygiene in developing countries. In addition, subsidies are provided to fund social contribution activities and workshops for enhancing medicine and healthcare levels. In fiscal 2023, subsidies totaling around ¥350 million were provided to 181 projects.

Awards for researchers include the Tai Morishita Memorial Award in the hope that it will encourage more talented people to enter the field where medicine and engineering collaborate and integrate. (There were no eligible recipients for the award in fiscal 2023.) Educational activities include the operation of the Life Sciences DOKIDOKI Laboratory website, which is mainly intended for junior high and high school students. The site provides young users—leaders of the future—with the basic knowledge required to understand life sciences as well as information from the front lines of life science fields presented in an easy-to-understand format. In addition, a symposium was held in September 2023 to raise awareness of the importance of the collaboration and integration between medicine and engineering among junior high and high school students and their parents. The TERUMO LIFE SCIENCE FOUNDATION will continue such initiatives to contribute to advancements in healthcare and the improvement of people's health.

TERUMO LIFE SCIENCE FOUNDATION
https://www.terumozaidan.or.jp/english/

Governance

75 Corporate governance

84 Dialogue between the Chairman of the Board and an Independent Director

87 Leadership team

90 Dialogue with shareholders and investors

91 Risk management

96 Compliance

Corporate governance

Basic stance on corporate governance

Terumo's Group Mission is "Contributing to Society through Healthcare." Guided by its mission, Terumo provides valuable products and services to achieve sustainable growth, maximize long-term corporate value, and meet the expectations of its worldwide stakeholders, including its customers, shareholders, associates, business partners, and communities. To guide it in the accomplishment of its Group Mission, Terumo has articulated the Core Values, which represent the values and beliefs on which all Terumo associates worldwide should base their actions, as follows:

Respect – Appreciative of others

Integrity – Guided by our mission

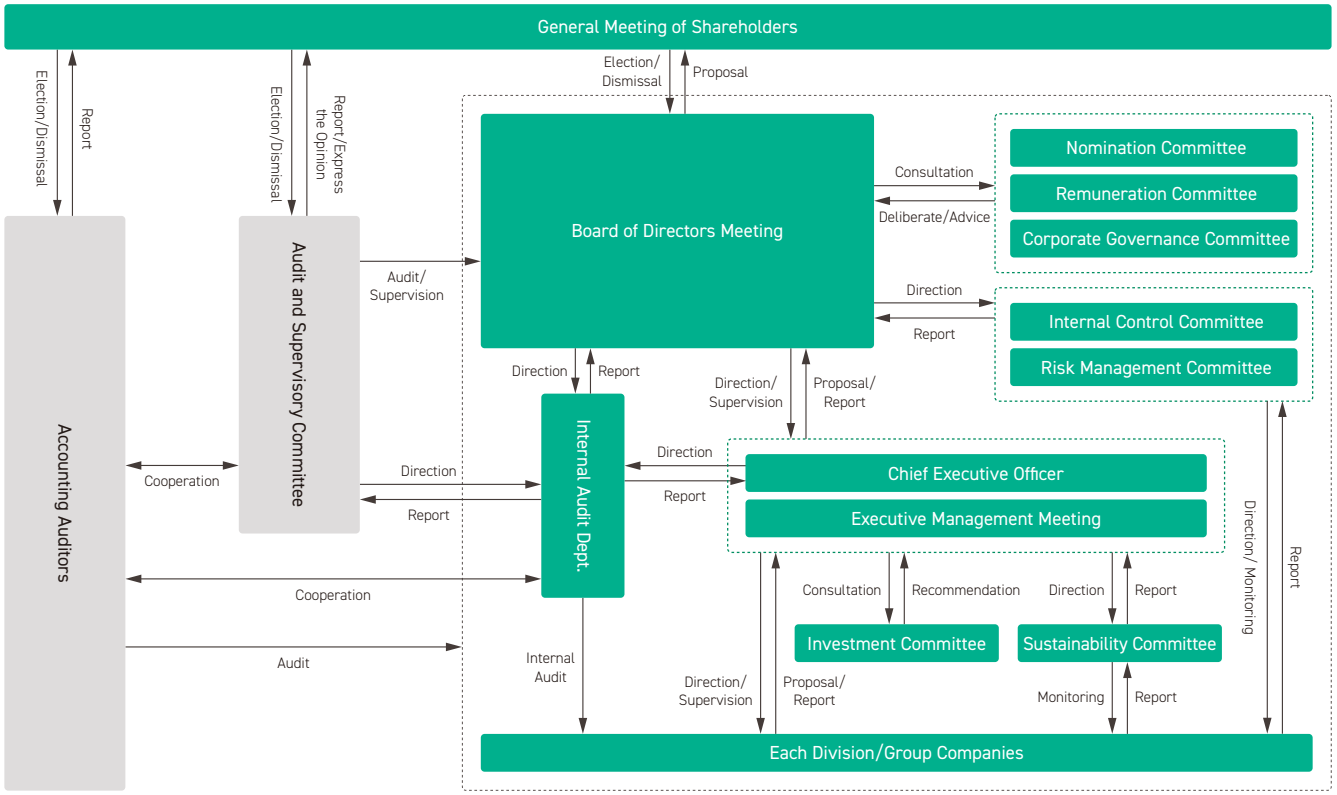
Care – Empathetic to patients

Quality – Committed to excellence

Creativity – Striving for innovation

Based on its Group Mission and Core Values, Terumo has established the Terumo Corporate Governance Guidelines, which are intended to promote timely decision making while helping maintain transparency and objectivity in management. Terumo continuously strives to earn the understanding and trust of its internal and external stakeholders by exercising accountability toward its stakeholders and promoting dialog and other means of communication with its shareholders. Informed by Japan's Corporate Governance Code, Terumo has developed a global platform for its activities as a good corporate citizen. Terumo strives diligently to foster a corporate culture of "a highly motivating and challenging workplace with open and candid communication," because Terumo believes a culture of this nature is essential to effective corporate governance.

Corporate governance structure



- Audit and Supervisory Committee members are directors and have voting rights in meetings of the Board of Directors. The majority of the Audit and Supervisory Committee is comprised of independent directors.
- The Audit and Supervisory Committee audits and supervises the directors and the Board of Directors.

As of November 1, 2024

Corporate governance structure

Organizational design

Terumo adopted the organizational design of a Company with Audit and Supervisory Committee, as described in the Companies Act of Japan, to achieve the following goals, further strengthen its corporate governance framework, and enhance its medium- to long-term corporate value.

1. Strengthen audit and supervisory functions
The members of the Audit and Supervisory Committee shall have voting rights in meetings of the Board of Directors.

2. Enhance transparency and objectivity in management
By increasing the proportion of independent directors on the Board, transparency and objectivity in decision making will be enhanced at the Board level by reflecting the opinions of the independent directors, which represent the perspective of shareholders and other stakeholders.

3. Expedite decision-making process
By promoting the appropriate delegation of the Board's authority to directors, Group Executive Officers, and/or Executive Officers, Terumo will further expedite its decision-making process and business development through a shift toward a monitoring-based approach for the Board.

In addition, the company has established the Nomination Committee, Remuneration Committee, Corporate Governance Committee, Internal Control Committee, and Risk Management Committee as discretionary bodies that serve to enhance the transparency and objectivity of management.

Board of Directors

Roles

- The Board shall strive for optimal decision-making regarding basic management policies with the goal of maximizing corporate value.
- To expedite decision-making processes, the Board may delegate certain duties or responsibilities, which are executed based on basic management policies decided by the Board to directors, Group Executive Officers, and/or Executive Officers. The Board shall monitor the execution of any such duties or responsibilities so delegated.
- The Board shall oversee the nomination process of the Chief Executive Officer's successor as one of its important obligations for maintaining and improving corporate governance and sound management.

Members

- The Board shall consist of no more than 15 persons, excluding the Audit and Supervisory Committee members.
- Terumo shall strive to have independent directors account for at least one-third of the Board membership.
- Considering that, from the standpoint of corporate governance, the execution of business operations, and supervisory oversight should be separated, the chairman shall serve as the chair, in principle; provided, however, that if no chairman has been appointed, the Nomination Committee shall propose a candidate for chair, considering the actual situation of possible candidates based on the above standpoint and the Board of Directors shall appoint such candidate as the chair for the Board of Directors meeting.

Audit and Supervisory Committee

Roles

- The Audit and Supervisory Committee shall audit and supervise the execution of duties by directors and executive officers to ensure the appropriate, reasonable, and efficient operation of the Terumo Group. To fulfill its audit and supervisory duties, the Audit and Supervisory Committee may provide direct instructions to internal control departments that play an important role in internal control activities.

Members

- The Audit and Supervisory Committee shall consist of no more than five (5) directors. Terumo shall have independent directors represent a majority of Committee membership.
- The members of the Audit and Supervisory Committee shall elect one of the Committee members to serve as the chair of the Committee.

Support systems for independent directors

Terumo actively appoints independent directors to improve the diversity of the Board of Directors and to ensure highly effective discussions. Support systems are being enhanced to enable independent directors to better incorporate their talents and experience into the oversight of management.

- To assist the independent directors in quickly gaining the understanding of the company necessary to fulfill their duties as directors, at the time of their appointment we provide opportunities to receive explanations on the company, its businesses, and its medium- to long-term management plans from the Chief Executive Officer and business representatives.
- Once appointed, independent directors may take part in an annual training program designed to enable them to continue acquiring the legal and industry knowledge required of directors. In addition, independent directors are given the opportunity to visit and observe workplaces and factories in Japan and overseas in order to develop a better understanding of the company and its business.
- Explanations of the items on the agenda for discussion at meetings of the Board of Directors are provided to independent directors prior to the meetings to enable them to gain a better understanding of these items and to facilitate more substantial discussions at Board meetings (in principle, explanations will be provided by a representative from a division proposing each item two days prior to the Board meeting).
- All independent directors are provided with tablets to enable the safe and timely sharing of materials pertaining to the Board of Directors meetings as well as other internal information.

Committees

	Role/Structure	Chairperson
Nomination Committee	・The Nomination Committee shall, as an advisory body to the Board of Directors, deliberate on the following matters. The deliberations of the Committee shall be reported to the Board of Directors as appropriate. - Matters concerning successors to the positions of the Chief Executive Officer and Chairman of Terumo Corporation, which is one of the most important corporate governance duties of the Board of Directors - Matters concerning the appointment and dismissal of directors and Group Executive Officers ・The Committee shall be comprised of members of the Board selected by the Board. Independent directors shall account for a majority of Committee members, and internal directors who serve as the Committee members shall be the Chairman of the Board and the Chief Executive Officer.	Independent director
Remuneration Committee	・The Remuneration Committee shall, as an advisory body to the Board of Directors, deliberate on the matters listed below and provide advice to the Board with the goals of maintaining and improving the Terumo Group's business integrity and corporate governance practices. The deliberations of the Committee shall be reported to the Board of Directors as appropriate. - Matters concerning the remuneration for directors, Group Executive Officers, and Executive Officers (Policy for determining remuneration amount or calculation method thereof) - Other matters which the Board of Directors requests the Committee to consider, or matters the Committee deems necessary to carry out the purposes of the Committee ・The Committee shall be comprised of members of the Board selected by the Board. Independent directors shall account for the majority of Committee members, and at least one of the internal directors who serve as the Committee members shall be a representative director.	Independent director
Corporate Governance Committee	・The Corporate Governance Committee shall, as an advisory body to the Board of Directors, discuss the matters listed below and provide advice to the Board with the goals of maintaining and improving the Terumo Group's business integrity and corporate governance practices. The deliberations of the Committee shall be reported to the Board of Directors as appropriate. - Basic matters concerning Corporate Governance - Important matters concerning the establishment, design, and operation of the corporate governance system - Other important matters which are highly relevant to corporate governance such as an improvement of the corporate system in the fields of the environment and society and efforts to enhance sustainability - Other matters that the Board of Directors requests the Committee to consider, or matters the Committee deems necessary to carry out the purposes of the Committee ・The Committee shall be comprised of members of the Board selected by the Board. Independent directors shall account for the majority of Committee members, and at least one of the internal directors who serve as the Committee members shall be a representative director.	Independent director
Internal Control Committee	・Positioned under the Board of Directors, the Internal Control Committee shall design and operate the Terumo Group's internal control systems in accordance with the company's "Internal Control System Design Basic Policy." ・The Committee shall be comprised of directors who also serve as a Group Executive Officer or Executive Officer, the Chief Legal Officer, the general managers of the Internal Audit Department and the Internal Control Department, and persons designated by the Chairperson (general managers of the Internal Control Departments and related departments, executive officers responsible for such departments, and external experts/intellectuals, etc.).	Chief Executive Officer
Risk Management Committee	・Positioned under the Board of Directors, the Risk Management Committee shall design and operate the Terumo Group's risk management system based on risk identification, assessment, analysis, and prioritization across the entire organization. ・The Committee shall be comprised of directors who also serve as a Group Executive Officer or Executive Officer, the Chief Legal Officer, the general managers of the Internal Audit Department and the Internal Control Department, and persons designated by the Chairperson (general managers of the Internal Control Departments and related departments, executive officers responsible for such departments, and external experts/intellectuals, etc.).	Chief Executive Officer

Membership of the Board of Directors, Audit and Supervisory Committee, and other Committees, and number of meetings (As of July 1, 2024)

		Board of Directors	Audit and Supervisory Committee	Nomination Committee	Remuneration Committee	Corporate Governance Committee
Board of Directors	**Toshiaki Takagi**	◎		○	○	○
	Hikaru Samejima	○		○	○	○
	Toshihiko Osada	○				
	Kazunori Hirose	○				
	Norimasa Kunimoto	○				
	Hidenori Nishi*	○		◎	○	○
	Keiya Ozawa*	○		○	◎	○
	Mari Kogiso*	○		○	○	◎
Directors (Audit and Supervisory Committee)	**Takanori Shibazaki**	○	○			
	Masaichi Nakamura*	○	◎	○	○	○
	Soichiro Uno*	○	○	○	○	○
Number of meetings held in FY2023		12	14	10	4	6

◎: Chairperson ○: Member * Independent director

Selection of directors

Policy

In selecting candidates for directors, with the aim of creating an ideal Board of Directors, Terumo considers the diversity of the composition of the Board in order to give the Board relative base strength with broad experience and skills (industry experience, management capability, etc.), which are necessary for the Board to engage in good discussions and decision making. Candidates for internal directors shall be selected according to the internal regulations, which stipulate the eligibility criteria, including "a candidate shall have the management judgment capacities and management oversight capacities from stakeholders' standpoint."

Internal regulations for the appointment of independent directors stipulate that independent directors shall be selected from persons with extensive experience in management, international business, the practice of medicine, or other specific areas of expertise and that these individuals must be able to contribute to improving Terumo's corporate governance and management and be able to offer their opinions without reserve. The regulations also require the consideration of the diversity of independent directors, including, to the extent possible, their backgrounds, expertise, gender, and other characteristics as appropriate. With regard to independent directors who serve as Audit and Supervisory Committee members, the regulations stipulate that independent directors should ideally be selected from persons who play leading roles in the fields of law or accounting, with at least one candidate coming from each field.

Procedure

The Nomination Committee shall discuss and propose potential candidates for directors and the appropriateness of each director's reappointment, and present the results of these discussions to the Board of Directors. This process is intended to eliminate arbitrariness and to ensure the sound selection of candidates. If any situation arises which causes a serious concern about the performance of a director's duties, the Nomination Committee may immediately propose to the Board of Directors that necessary measures be taken even during one's term of office.

Independent directors shall be subject to the requirements of the Director Independence Standards. The Nomination Committee shall discuss and present the Director Independence Standards for review and approval by resolution of the Board of Directors.

Each director shall concurrently hold officer positions (director, auditor, etc.) with no more than three other listed companies as a condition to serving as a director of Terumo Corporation.

The reasons for selection and the positions concurrently held by each candidate for director shall be disclosed in the Corporate Governance Report, Reference Materials for the General Meeting of Shareholders, or other documents as appropriate.

Board of Directors skill matrix

		Internal directors						Independent directors					
		Takagi	Samejima	Osada	Hirose	Kunimoto	Shibazaki	Nishi	Ozawa	Kogiso	Nakamura	Uno	
Director experience value	Healthcare industry experience	●	●	●	●	●	●		●				
	Financial experience/knowledge		●							●	●		
	Sales marketing experience		●	●		●		●		●			
	Technology/development/regulatory affairs	●		●	●				●				
	Business responsibility experience	●	●	●		●	●	●		●			
	Experience as CEO of a listed company		●					●					
	Government/industry response	●					●	●	●	●			
	Risk Management	●	●	●	●	●	●	●	●	●	●	●	
	New business development experience		●	●				●		●			
	Experience outside Japan*1		●	●	●	●	●	●	●	●		●	
	Environment, Safety and Quality	●	●	●	●	●				●			
Director experience	Status of posts at other companies							●		●	●	●	
	Timing of appointment as director	06/2010	06/2024	06/2024	06/2022	06/2023	06/2021	06/2020	06/2021	06/2024	06/2019	06/2019	Average: 3.4 years*2
Diversity	Age (at the time of the recent annual general meeting of shareholders)	66	60	57	60	60	62	73	71	57	67	61	Average: 63 years old*3
	Sex	Male	Male	Male	Male	Male	Male	Male	Male	Female	Male	Male	

●Has experience *1 Has experience working in a post outside Japan *2 Number of years in position up to July 2024 *3 Average age of 61 for internal directors/Average age of 66 for independent directors

Reasons for appointing independent directors and attendance at meetings

Name	Reasons for appointment	Attendance at FY2023 meetings	
Hidenori Nishi	Mr. Nishi has the extensive experience as a manager, and many years of experience in overseas and marketing business. He has been appointed as an independent director to utilize the insight he has cultivated from these experiences in the supervision of management at Terumo Corporation.	Board of Directors: 12/12 (100%) Remuneration Committee: 4/4 (100%)	Nomination Committee: 10/10 (100%) Corporate Governance Committee: 6/6 (100%)
Keiya Ozawa	Mr. Ozawa has expert knowledge which includes a track record of research in gene therapy, cell therapy and hematology, has served as Director of IMSUT (The Institute of Medical Science, The University of Tokyo) Hospital and Director of Center for Gene & Cell Therapy (CGCT), and has cultivated extensive experience through the performance of his duties in these organizations. He has been appointed as an independent director to utilize this experience in the supervision of management at Terumo Corporation.	Board of Directors: 12/12 (100%) Remuneration Committee: 4/4 (100%)	Nomination Committee: 10/10 (100%) Corporate Governance Committee: 6/6 (100%)
Mari Kogiso	Ms. Kogiso has extensive experience as a manager, many years of global experience in financial business and has taken the lead of DE&I and ESG action. She has been appointed as an independent director to utilize this experience in the supervision of management at Terumo Corporation.	Appointed on June 26, 2024	
Masaichi Nakamura	Mr. Nakamura has extensive knowledge of finance and accounting as a Certified Public Accountant. He has been appointed as an Audit and Supervisory Committee member to audit and supervise the management of Terumo Corporation from the independent perspective.	Board of Directors: 12/12 (100%) Nomination Committee: 10/10 (100%) Corporate Governance Committee: 6/6 (100%)	Audit and Supervisory Committee: 14/14 (100%) Remuneration Committee: 4/4 (100%)
Soichiro Uno	Mr. Uno possesses specialized knowledge and extensive experience as an attorney in Japan and overseas. He has been appointed as an Audit and Supervisory Committee member to audit and supervise the management of Terumo Corporation from the independent perspective.	Board of Directors: 12/12 (100%) Nomination Committee: 10/10 (100%) Corporate Governance Committee: 6/6 (100%)	Audit and Supervisory Committee: 14/14 (100%) Remuneration Committee: 4/4 (100%)

Selection and cultivation of a successor to the Chief Executive Officer (succession plans)

The Board of Directors has established the Nomination Committee as an organization overseeing the process of selecting and cultivating successors to the Chief Executive Officer in recognition of the fact that the selection of successors to the Chief Executive Officer is one of the most important duties for the Board of Directors, and the Committee's activities are monitored by the Board of Directors. The process of selection and cultivation of successors to the Chief Executive Officer is clearly stated in internal regulations. With regard to selecting a successor to the Chief Executive Officer, the Chief Executive Officer shall propose a "Succession Plan" listing more than one candidate and a plan for their cultivation within a specified period of time. The Nomination Committee shall consider the successor candidates in accordance with the procedures stipulated in the internal regulations. From the point of view of cultivating future successor candidates, the Chief Executive Officer shall also submit a "Next-Generation Executives' Development Plan" naming several persons with the potential to become future executives to the Nomination Committee within a specified period of time, and shall thereafter continue to report on the status of these candidates' cultivation to the Committee as appropriate.

Evaluation of the effectiveness of the Board of Directors

The Board of Directors conducted a self-evaluation concerning its effectiveness during fiscal 2023, for the purpose of further improving the effectiveness and functionality of the Board. The Board evaluation process included anonymous questionnaires completed by each director and individual interviews with certain members of the Board of Directors and the secretariat of the Board. In order to draw out frank opinions and ensure objectivity, the process of collecting questionnaires, conducting individual interviews, and analyzing them were facilitated by outside consultants. Upon receiving the report from outside consultants, the performance of the Board was discussed and evaluated by the Corporate Governance Committee, of which the majority of the members are independent directors. Subsequently, all members of the Board discussed major findings from the survey and agreed on the actions to take, which will be reflected in the operations of the Board and each committee in fiscal 2024.

Process for evaluation of the effectiveness of the Board of Directors



FY2022 evaluation results and FY2023 actions

The main items identified as requiring further consideration in the fiscal 2022 evaluation of board effectiveness and the actions taken in fiscal 2023 for each item are as follows.

Items identified in FY2022	Actions taken in FY2023
Focused and high-quality discussions on ESG, DX, human capital management, and other related topics, achieving a shared understanding of stakeholder expectations from investors and other stakeholders, continuing monitoring of GS26, deepening discussions on Beyond GS26, and reaffirming the direction regarding gender diversity specifically in Japan.	The Board has continued monitoring the achievement of the set goals for ESG and DE&I, and GS26 within the defined framework, and advanced the discussions. Furthermore, the Board has proactively sought opportunities to gather input from investors to align with stakeholders' expectations. Moreover, the Board has discussed the long-term research and development outlook beyond GS26, as well as Terumo's strategic direction for digital transformation (DX) considering the ongoing digitalization of healthcare.
Continuously discuss timely and accurate identification and response to company-wide risks, as well as the further evolution of the global management structure.	The Board continuously monitored the board meetings of overseas subsidiaries and conducted timely reporting and discussions for improvement on projects where risks were anticipated. Additionally, the Board continued discussions to further streamline the three-axis management (business, function, region) and strengthen governance.
Identify next-generation executive leaders through dialogue with human capital on the business and execution side and create opportunities to foster a global business sense within the Board of Directors through interaction with employees at various levels.	Board members visited domestic and overseas factories, particularly the strategic manufacturing site in Costa Rica, and promoted understanding of business and operations through face-to-face interactions with human capital on site.
Ongoing review of the composition of the Board of Directors to achieve global governance.	The Nomination Committee took the lead in selecting candidates for the positions of Chief Executive Officer as well as Chairman of the Board. Discussions were held at the Board meetings regarding the selection of the new leadership team and the future composition of the Board.

FY2023 evaluation results (overview)

The evaluation results indicated the following main points, confirming the continuous and steady improvement in maintaining the high effectiveness of the Board of Directors and enhancing governance.

- Progress has been made in discussions aimed at further streamlining the three-axis management (business, function, region) and strengthening governance.
- ESG and DE&I goals have been set, and progress has been made with the Board of Directors monitoring their achievement.
- Visits to domestic and overseas factories and sites have promoted understanding of on-site realities and each business, enhancing the quality of discussions.
- The Nomination Committee has taken the lead in the selection of CEO, and Chairman of the Board, progressing through appropriate processes.

Evaluation results (development opportunities)

In addition to the evaluation results, the following issues were mainly identified as requiring further consideration.

- Discussions contributing to long-term corporate value enhancement: Expand discussions on the company-wide business portfolio, adjust GS26 based on changes in the business environment, and continue critical discussions on capital costs and consideration of human capital and developing core talent.
- Evolution of the global governance structure and understanding of the realities of the executive side and the field: Consider further streamlining the three-axis management (business, function, region), optimizing organizational structure, identifying compliance-related risks and thoroughly implementing countermeasures, globally recognizing risks, and considering measures to mitigate them, and aligning perspectives on risk-taking that leads to growth.
- Reorganizing the role of the Board of Directors under the new management structure: Reorganization of the supervisory function of the Board in line with the evolution of the executive structure and continued discussions on the composition of the Board of Directors.

We will take measures to address these, and other issues recognized as challenges in the activities of the Board of Directors and its committees in fiscal 2024 and will continue to consider and implement measures to further ensure the effectiveness and enhance the functionality of the Board of Directors.

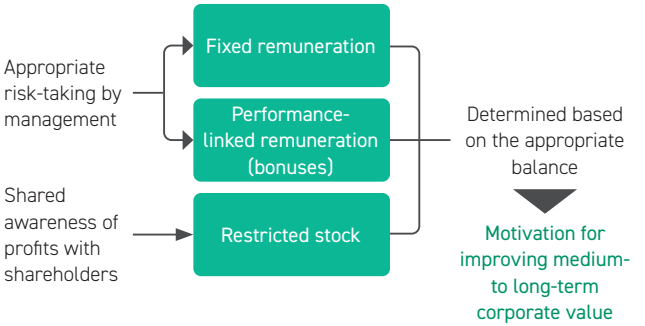
Executive compensation

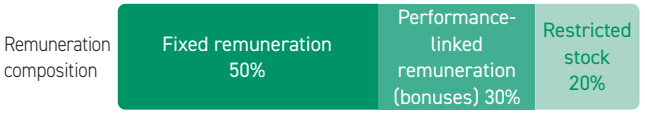
Basic policy and composition

To provide appropriate motivation to enhance corporate value over the medium- to long-term, the remuneration for executives (executive directors, Group Executive Officers, and Executive Officers) shall be determined focusing on (a) appropriate risk-taking by the management, and (b) the same profit awareness as shareholders. To achieve the objective described in (a) above, we will set an appropriate balance between fixed remuneration and performance-linked remuneration (bonuses). To achieve the objective described in (b) above, restricted stocks* have been adopted.

Remuneration for executives shall consist of fixed remuneration, bonuses (standard amount), and restricted stock, the target percentages of which shall be 50%, 30%, and 20% of total combined remuneration, respectively. For higher ranked directors (Chief Executive Officer at the top), the ratios of bonuses and restricted stock to the total amount of remuneration are higher.

* Remuneration-type stock options could be granted to executives residing outside Japan.





For higher ranked directors (Chief Executive Officer at the top), the ratios of bonuses and restricted stock to the total amount of remuneration are higher.

Policies for targets and compensation types

1. Fixed remuneration

To motivate directors, Group Executive Officers, and Executive Officers to steadily perform their professional duties according to their responsibilities, monthly fixed remuneration is paid. The amount of fixed remuneration is determined according to each role and position of the directors and officers.

2. Performance-linked remuneration (bonuses)

(1) Purpose and summary of the calculation method

Annual bonuses are a form of remuneration aimed at motivating executives (executive directors, Group Executive Officers, and Executive Officers) to achieve sustainable growth and annual performance; therefore, purpose-aligned evaluation factors are adopted. Evaluation factors consist of company-wide performance factors, the performance factors for each executive's business operation targets set for each executive. The annual amounts of bonuses are calculated by multiplying the evaluation index determined based on the above evaluation factors by the standard bonus amount set for each position.

(2) Targets for each performance factor and fluctuation range

The company-wide performance factors consist of consolidated revenue and operating profit, return on invested capital (ROIC), and return on equity (ROE). The performance factors for each executive's business operations comprise their respective departments' revenue and adjusted operating profit. In addition, we have introduced "Future Corporate Value Targets" as a new performance evaluation factor for each executive, starting in fiscal 2023, in order to appropriately assess each executive's contribution to improving corporate value over the medium to long term in their evaluation and compensation.

		Policy	Fluctuation range
Company-wide performance factors	Consolidated revenue	Targets of company-wide factors should be planned targets at the beginning of each fiscal year. When the targets are achieved at 100%, the evaluation index should be 100%. For fiscal 2023, the evaluation index of revenue and operating profit are divided into the first and second half, considering factors of external environment such as geopolitical risks and inflation and so on, while ROIC and ROE are evaluated based on fiscal year-end targets.	To motivate executives for sound business performance improvement, evaluation index fluctuates between 0% to 150% according to their achievement rates.
	Consolidated operating profit		
	ROIC		
	ROE		
Performance factors for each executive's business operations	Revenue of overseen departments	Targets of revenue and adjusted operating profit of overseen departments should be planned targets at the beginning of each fiscal year. When the targets are achieved at 100%, evaluation index should be 100%. (Evaluation index are divided into the first and second half for fiscal 2023 due to the same reasons above.)	To motivate executives for sound business performance improvement, evaluation index fluctuates between 0% to 150% according to their achievement rates.
	Adjusted operating profit of overseen departments		
Individual performance factors	Individually set targets (Relevant factors related to key initiatives under the five-year growth strategy "GS26" and the increase in corporate value over the medium to long term (Future Corporate Value Targets)	The target plans are set at the beginning of the fiscal year.	The evaluation index fluctuates between 0% to 120% based on achievement status at the end of the fiscal year.

(3) Evaluation results of company-wide performance factors (FY2023)

In fiscal 2023, the evaluation indices for the company-wide performance factors were 108% for revenue, 106% for operating profit, 102% for ROIC, and 103% for ROE. Considering the weights of these four indices, the overall evaluation index of the company-wide factors was 105%. However, when calculating the evaluation indices for bonuses, we used the internal business plan set at the beginning of the fiscal year and the results based on the planned exchange rates. This approach was adopted as an alternative to using the figures shown in the table below, which consist of the forecast announced at the beginning of the fiscal year and the results based on the actual exchange rates. According to this calculation method, the overall evaluation index for the company-wide performance factors was 106%.

	Forecast at the beginning of FY2023	Results	Evaluation index (Achievement rate)
Consolidated revenue	¥854.0 billion	¥921.9 billion	108%
Consolidated operating profit	¥132.5 billion	¥140.1 billion	106%
ROIC	7.0%	7.1%	102%
ROE	8.5%	8.7%	103%
Overall evaluation index for company-wide performance factors (Achievement rate)			105%

(4) Policy and performance factors for each position (FY2023)
The table below shows the weights of the company-wide performance factors, along with those for each executive's business operations and the individual performance factors for each executive. For individual performance evaluation, factors related to key initiatives under the five-year growth strategy GS26 and those contributing to enhancing corporate value over the medium to long term (Future Corporate Value Targets) have been introduced starting from fiscal 2023. The achievement rates of these factors are taken into account in the calculation of the bonus amounts for each executive, including the Chairman and the Chief Executive Officer.

	Company-wide performance factors	Performance factors of each executive's business operation	Individual performance factors (Future Corporate Value Targets)
Chairman/CEO	80%	–	20%
Persons in charge of business	30-50%	50-30%	20%
Persons in charge of function	80%	–	20%
Persons in charge of region	50%	30%	20%

3. Restricted stock
For executive directors, Group Executive Officers, and Executive Officers to share the benefits and risks of stock price movements with shareholders and further enhance their motivation to contribute to stock price appreciation and corporate value improvement, Terumo has introduced a restricted stock remuneration system since fiscal 2019. Under the concept of "sharing awareness of profits with shareholders over the long term," directors and officers may not transfer to third parties or otherwise dispose of restricted stock allotted to them for thirty years (or until they retire from their positions as directors and officers, if earlier). Furthermore, if directors or officers commit fraud or violate laws during their term, all or part of their allotted stock will be acquired by the company without consideration under the clawback provision.

Determining procedure

The standard amounts and design of the fixed remuneration, bonuses, and restricted stock (stock options) for each position of directors, Group Executive Officers, and Executive Officers (excluding Audit and Supervisory Committee members) are deliberated by the highly independent Remuneration Committee, considering the compensation levels of competitors based on surveys conducted by external professional organizations. This committee, which serves as an advisory body to the Board of Directors, is composed of a majority of independent directors and is chaired by an independent director. As approved at the 104th Annual General Meeting of Shareholders held on June 21, 2019, a total annual limit of ¥700 million was set for the remuneration of directors other than Audit and Supervisory Committee members, which consists of fixed remuneration, bonuses, and stock options as stock-based remuneration (applicable to eight directors, three of whom were independent directors, at the time of approval), and a total annual limit of ¥200 million was set for restricted stock remuneration (applicable to five directors at the time of approval). A maximum annual limit of ¥100 million was also approved for the remuneration of directors who serve as Audit and Supervisory Committee members at the 100th Annual General Meeting of Shareholders held on June 24, 2015 (applicable to three directors, two of whom were independent directors, at the time of approval). Thereunder, the procedure for determining remuneration is as follows:

- Fixed remuneration
  The amount of fixed remuneration for directors is determined within the limit approved at the aforementioned annual general meeting of shareholders, based on the previously described "Basic policy and composition" and "Policies for targets and compensation types." For directors who are not Audit and Supervisory Committee members, the amount is determined by a resolution of the Board of Directors. For directors who serve as Audit and Supervisory Committee members, the amount is determined through deliberation by the Audit and Supervisory Committee.
- Bonuses, restricted stock (stock options as stock-based remuneration)
  The amount of bonuses and the number of restricted stocks (stock options as stock-based remuneration) for directors are determined within the limit approved at the aforementioned annual general meeting of shareholders, based on the previously described "Basic policy and composition" and "Policies for targets and compensation types," after taking business results, the business environment, and other factors for each year into consideration.

Remuneration to directors

	Total value of remuneration (¥ million)	Total compensation by type (¥ million)			Number of directors
		Fixed remuneration	Performance-linked remuneration (Bonuses)	Restricted stock	
Directors (excluding Audit and Supervisory Committee members and independent directors)	532	243	163	124	6
Audit and Supervisory Committee members (excluding independent directors)	42	42	–	–	1
Independent directors	82	82	–	–	5

(Reference) Activities by the Board of Directors and Committees in recent fiscal years as part of the process for deciding remuneration of directors, Group Executive Officers, and Executive Officers

Data	Board of Directors/Committee	Activity
April 12, 2023	Remuneration Committee	Discussion on policies for performance evaluations for fiscal 2023
May 15, 2023	Remuneration Committee	Discussion on the Future Corporate Value Targets in performance evaluations for fiscal 2023
June 15, 2023	Remuneration Committee	Discussion on the remuneration levels of non-Japanese executives for fiscal 2023
June 27, 2023	Board of Directors	Resolution on the remuneration for directors within the limit approved by the annual general meeting of shareholders
December 14, 2023	Remuneration Committee	Discussion on the direction of the remuneration system and the stock-based remuneration system
February 7, 2024	Board of Directors	Resolution on the remuneration system for fiscal 2024
April 11, 2024	Remuneration Committee	Discussion on policies for the performance evaluations for fiscal 2024
May 14, 2024	Remuneration Committee	Discussion on the operation of the Future Corporate Value Targets for fiscal 2024
June 14, 2024	Remuneration Committee	Discussion on the remuneration levels of non-Japanese executives for fiscal 2024
June 26, 2024	Board of Directors	Resolution on the bonuses for directors within the limit approved by the annual general meeting of shareholders

Holding of shares in other companies for strategic purposes

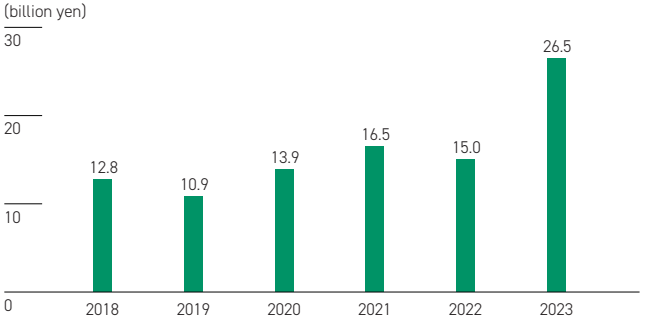
Regarding the holding of shares in other companies for strategic purposes, Terumo adopts the following approach in its Terumo Corporate Governance Guidelines.

3. Securing shareholders' rights and equality

(4) Holding of shares in other companies for strategic purposes

- Terumo may hold shares of other companies with a view to creating business opportunities and/or enhancing corporate value.
- The Board of Directors shall verify the economic, strategic, and other rationale for each such holding using a medium- to long-term perspective on an annual basis. Terumo shall disclose holding securities as specified equity securities in the Annual Securities Report unless selling them.
- Terumo shall exercise its voting rights taking into consideration the impact of its voting on the corporate value of Terumo and the company in which Terumo has invested.

Holding of shares in other companies for strategic purposes (As of the end of each fiscal year)



Notes: 1. Figures represent total of investments in stocks for special purposes and balance of deemed securities holdings (market value).
2. Figures exclude early stage investment in venture companies.

Terumo Corporate Governance Guidelines
https://www.terumo.com/about/governance

Advancing corporate governance to enhance medium- to long-term corporate value

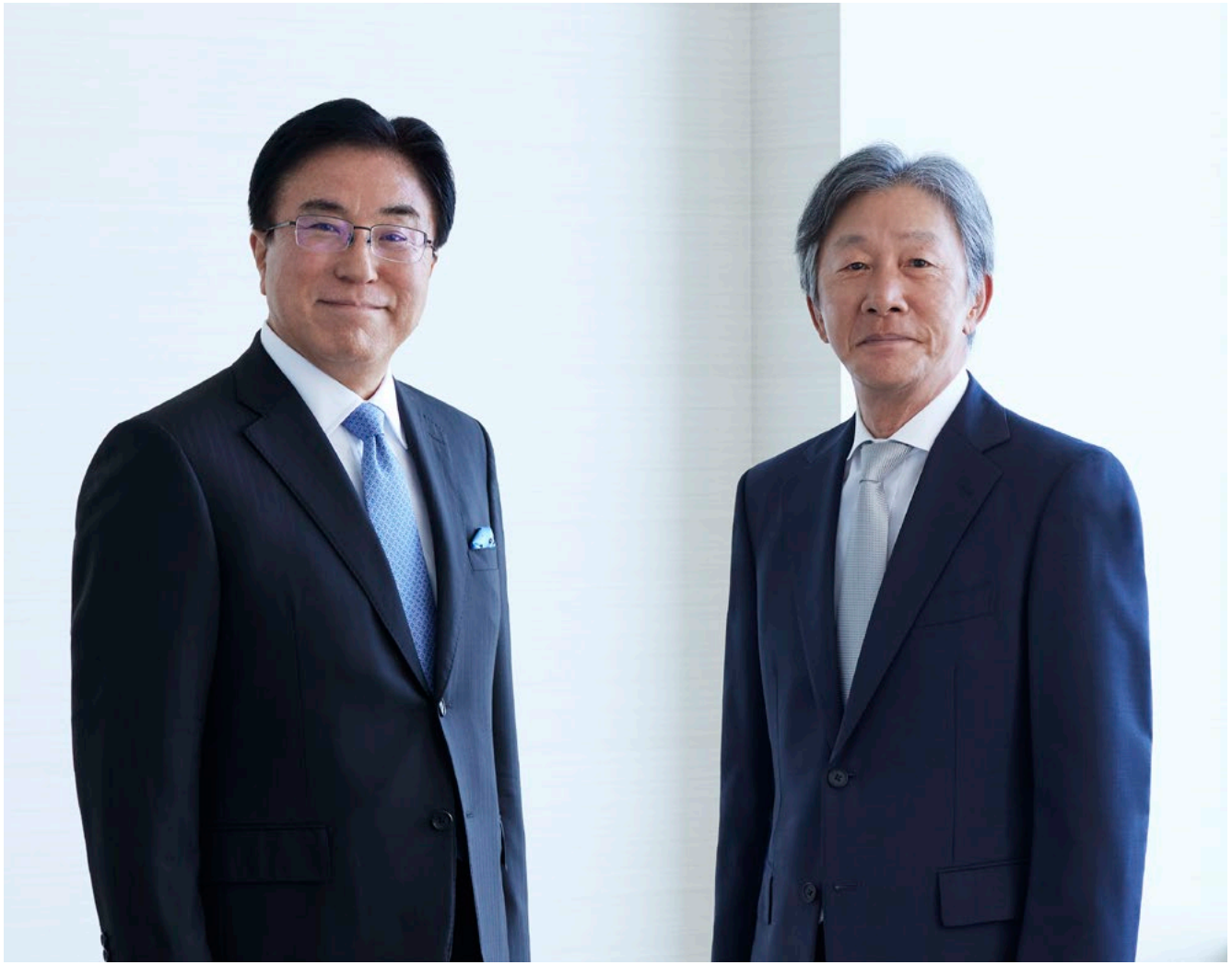
Effectiveness of corporate governance

Takagi Terumo has gradually shifted the roles of the Board of Directors to a monitoring-type board, aiming to clearly define the division of roles and responsibilities between oversight and execution. In this context, over the past few years, we have been enhancing our discussions on the topics contributing to improving corporate value over the medium to long term, including the global people strategy, the evolution of global management systems, and the formulation and monitoring of our five-year growth strategy "GS26." What is your view of the roles of Terumo's Board of Directors and its effectiveness?

Nishi I believe there are three excellent aspects of Terumo's corporate governance. First, there is an effective PDCA cycle at work within the Board of Directors' operations. In order to continue to hold meaningful, substantive discussions, we must continue the cycle of theme selection, appropriate management and review, evaluation of their effectiveness, and selection of themes for the next and subsequent years based on the results of that evaluation. It is not easy to keep this going.

Second, there is strong collaboration between supervision and execution of business operations, or the members of the Board of Directors and executives. When we talk about the effectiveness of corporate governance, we tend to focus only on supervision, but in reality, governance can only function effectively when both supervision and execution of business operations work in tandem. There are of course times when the two sides have differing opinions, but I feel that both the supervisory and executive sides discuss from a broad, fundamental perspective how management ought to be in future in order to continue to increase Terumo's corporate value, and the results are firmly reflected in our management policy, strategies, and measures.

Third, there are ample opportunities for independent directors to gain a deeper understanding of Terumo's business and internal culture. Explanations about medical devices, interaction with associates working at the business frontlines, and 1-on-1s with



Toshiaki Takagi
Chairman of the Board

Hidenori Nishi
Independent Director (Chair of the Nomination Committee)

Group Executive Officers have provided valuable opportunities to gain a better understanding of the company's businesses, its products, and the situation on the ground. I hope that you will continue and expand this program going forward.

Takagi The evaluation of the effectiveness of the Board of Directors conducted in fiscal 2023 showed that the Board maintains a high level of effectiveness and has made steady and continuous improvements toward better governance. As chairman, I will continue to make every effort to choose appropriate themes and to manage agendas in a fair and transparent manner so that we can have substantive discussions based on our business environment, external evaluations, and internal conditions. We will also continue to provide detailed explanations to independent directors ahead of time so that they can deepen their understanding of our business and business execution cycle, as well as expand opportunities for training and site visits.

On the other hand, future issues for consideration raised in the effectiveness evaluation include reorganization of the Board of Directors' supervisory function in line with the evolution of the executive structure, and ongoing discussions regarding the composition of the Board of Directors. Stakeholders such as institutional investors are calling for an increase in the ratio of women, non-Japanese, and independent directors. What are your thoughts on this matter?

Nishi At Terumo, the members of the Group Executive Officers responsible for the execution of business operations are diversified in terms of gender and nationality, and many Japanese members possess extensive global experience. The composition of the Board of Directors may be less diverse in terms of gender and nationality than that of the Group Executive Officers. However, our directors have in-depth knowledge and extensive experience in various fields, enabling them to make appropriate decisions in overseeing the management of the Terumo Group.

At the same time, there is a need to update the composition of the Board of Directors in order to continue to improve the effectiveness of governance in response to societal trends and demands from stakeholders. I believe that the future composition of the Board of Directors should be determined through substantive discussions on its ideal structure, including the necessary skills, gender and nationality balance, and the mix of internal and independent directors, in alignment with the direction outlined in Beyond GS26, the successor to our GS26 growth strategy.

Takagi In order to further improve the quality of governance going forward, it is essential to update the roles and composition of the Board of Directors based on a timely understanding of changes in the business environment surrounding Terumo, as well as trends among government administrations and competitors in other countries. I would like to discuss what form the Board of Directors will take in future while taking into account the management direction set out in Beyond GS26 and the demands of our stakeholders.

Discussions aimed at enhancing corporate value over the medium to long term

Takagi The Board of Directors has been expanding discussions that contribute to enhancing corporate value from a medium- to long-term perspective, such as monitoring the progress of GS26 and discussing Beyond GS26. How do you view the progress to date and the future direction?

Nishi In GS26, Terumo sets out its vision of "From Devices to Solutions." I believe that solutions mean thinking about "what and whose needs are to be met." My impression is that Terumo is now at the stage of providing "devices with solutions." Even solutions using the same devices may have different combinations of goals and needs than those previously considered when viewed from a different perspective. When considering Beyond GS26, I think it will be necessary to identify these variations, review their respective business models, profitability, and management resources required, and then consider how to choose between and focus on them. Investment in talent is also essential to achieving growth. From my perspective, the globalization of Terumo's management talent has been steadily progressing. Going forward, to further enhance the talent and organizational capabilities of the Terumo Group as a whole, I would like to see efforts to foster a sense of unity throughout the group, as well as the development of middle-level talent and those who work on the frontline of business.

Takagi GS26 is now in its third year. We are observing steady progress in developing new solutions across each company, promoting innovation through partnerships, and creating a new



corporate venture capital division. In the future, I would like to monitor how these measures contribute to the improvement of corporate value. I would also like to discuss the optimization of our business portfolio, taking into consideration the synergy effects for the Terumo Group as a whole, growth potential, and profitability. With regard to our people strategy, we will monitor the overall organizational and talent status across the Terumo Group by evaluating the promotion and penetration of the Growth Mindset and DE&I. We will also analyze the results of the associate engagement surveys. Through these measures, we will identify the issues that require monitoring.

Succession plan for Chief Executive Officer

Takagi In April 2024, Chief Executive Officer Samejima took office, and the new management structure was initiated. Terumo has the Nomination Committee to serve as an advisory body to the Board of Directors, which you chair, but how do you see the process of selecting and training the successor to the Chief Executive Officer of Terumo?

Nishi When I became an independent director in June 2020, Terumo had already started evaluating candidates for the next generation of management executives. After approximately two

years of assessment, the Nomination Committee began to consider specific candidates for successions, taking enough time to review the candidates carefully. The majority of the Nomination Committee is made up of independent directors, including myself as its chair. What impressed me about the nomination process was that all members, including those from within the company, openly shared their views on the qualities that the successor who will ultimately be responsible for Terumo's future should possess and engaged in sincere and fair discussions. This kind of discussion is possible because of the open corporate culture and climate that has taken root in the company. I hope that we will continue to maintain an atmosphere that allows this kind of essential discussion in the open.

Takagi In selecting candidates for Terumo's future CEO, we must take the time to carefully evaluate them from multiple perspectives while maintaining objectivity and fairness. The majority of our Nomination Committee, including the chairperson, consists of independent directors. I believe this fosters an open atmosphere where both external and internal committee members can candidly share their opinions and engage in meaningful discussions. As a committee member, I will continue to strive to uphold this open environment.

What qualities and experience do you think will be required of Terumo's CEO in the future?



Nishi I believe that a successor to Terumo's CEO should possess a keen sense and ability to anticipate future trends, along with extensive knowledge of and deep insight into the healthcare industry. In addition, as our business focus shifts from devices to solutions, it is essential for the successor to have experience in effectively communicating and building trust with people from diverse cultures and backgrounds. A mindset geared towards multi-stakeholder management is also crucial. In the medical device industry, in particular, quality and safety concerns can pose significant risks to patient lives. Therefore, it is vital to assess whether the CEO is genuinely committed to these values. In my opinion, both Mr. Sato, the former CEO, and Mr. Samejima, his successor, exemplify these qualities and have the extensive experience I mentioned.

Takagi In the rapidly changing world of healthcare, I believe that the ability to create a vision for the future and lead change in collaboration with internal and external stakeholders is an essential quality for the top management of the Terumo Group. On the other hand, our commitment to quality and safety, which has earned us the trust of healthcare professionals and patients, is an element that must not change. I would like for us to take a close look at these points when selecting and training the next generation of management executives.

Roles of independent directors and the Chairman of the Board and future expectations from Terumo

Nishi I believe that the roles expected of independent directors are to evaluate strategies and measures proposed and advanced by the executive side from an objective perspective that differs from that of internal directors. Based on this evaluation, independent directors should recommend whether they are the best solution for the entire Terumo Group and whether they will contribute to increased corporate value, ultimately leading to higher-quality management decisions.

I personally believe that Terumo should promote its brand more actively. Although Terumo has made significant contributions to society through healthcare, these contributions need to be more effectively communicated, which I find unfortunate. I hope Terumo will enhance the communication of its purpose, not only to healthcare professionals but also to other stakeholders, by finding ways to convey its message more effectively and broadly to society.

Takagi In order for Terumo to continue contributing to society through healthcare, we need to identify signs of change taking place in medical settings and deliver valuable solutions that meet the real needs of medical settings in a timely manner. As you mentioned, it is also very important for us to communicate Terumo's initiatives to healthcare professionals, patients, and other stakeholders to ensure their recognition and understanding. I believe this will enhance Terumo's presence in society, which in turn will lead to increased corporate value. As chairman, I have many opportunities to visit sites both inside and outside the company, and I would like to actively communicate the excellent efforts being made on the business frontlines.

As Chair of the Board of Directors, I will continue to make every effort to ensure that the Board of Directors continues to hold high-quality discussions while receiving input from independent directors in order to enhance the effectiveness of governance in light of current trends and stakeholders' demands and expectations. Furthermore, I would like to continue to improve my sensitivity to signs of change in medical settings by actively visiting the business frontlines, including our business sites and customers, so that I can conduct monitoring that leads to balanced management decisions based on the actual status of the business frontlines.

Leadership team

(As of November 1, 2024)

Directors



Toshiaki Takagi

Chairman of the Board

April	1981	Joined Terumo Corporation
April	2004	Factory Manager of Ashitaka Factory
April	2008	Factory Manager of Ashitaka Factory and Suruga Factory
June	2008	Executive Officer
June	2009	General Manager of R&D Headquarters
June	2010	Director and Senior Executive Officer
June	2013	Responsible for Quality Assurance Dept., Post-Market Surveillance and Vigilance Dept., and Environmental Management Dept.
April	2015	Responsible for Terumo Call Center
July	2015	Chief Quality Officer (CQO)
April	2016	Director and Managing Executive Officer
April	2017	Responsible for Production Dept. and Procurement Dept.
April	2018	Director and Senior Managing Executive Officer Responsible for Intellectual Property Dept. and Terumo Medical Pranex
April	2020	Responsible for Regulatory Affairs, Promotional Activities Control Dept., Clinical Development Dept., Supply Chain Management Dept., CIO Office, and IT Planning Dept.
April	2021	Responsible for R&D Promotion Dept.
April	2022	Representative Director and Chairman of the Board (present)



Hikaru Samejima

Chief Executive Officer

April	1988	Joined Toa Nenryo Kogyo K.K. (currently ENEOS Corporation)
February	2001	Joined Citibank, N.A.
January	2002	Joined Terumo Corporation
June	2007	President, Terumo Interventional Systems (Global), Cardiac and Vascular Group
April	2014	Executive Officer, Division President, Interventional Systems Division, Cardiac and Vascular Company
April	2016	Senior Executive Officer
April	2017	President, Cardiac and Vascular Company
April	2018	Managing Executive Officer
April	2020	President, General Hospital Company (currently Medical Care Solutions Company)
April	2022	Group Senior Managing Executive Officer
April	2024	Chief Executive Officer
June	2024	Representative Director and Chief Executive Officer (present)



Toshihiko Osada

Director and Group Senior Managing Executive Officer

In charge of Innovation; R&D Division, DX Promotion Dept., Intellectual Property Dept., Clinical Development Dept., Terumo Medical Pranex

April	1989	Joined Terumo Corporation
January	2016	General Manager of Strategic Planning Dept.
April	2016	Executive Officer
April	2018	Senior Executive Officer
April	2020	Managing Executive Officer, President of Cardiac and Vascular Company, and Division President of Interventional Systems Division
April	2022	Group Senior Managing Executive Officer
April	2024	In charge of Innovation; R&D Division, DX Promotion Dept., Intellectual Property Dept., Clinical Development Dept., and Terumo Medical Pranex (present)
June	2024	Director and Group Senior Managing Executive Officer (present)



Kazunori Hirose

Director and Group Managing Executive Officer

In charge of Global Supply Chain, Quality and EHS; Quality, Post-Market Surveillance and Vigilance Division, Operations Division, EHS Office, Regulatory Affairs Dept.

April	1986	Joined Terumo Corporation
January	2013	Factory Manager of Kofu Higashi Factory
April	2016	Executive Officer
April	2017	General Manager of Operations Division, General Hospital Company
April	2018	General Manager of S&OP Promotion Dept., General Hospital Company
January	2019	General Manager of Production Dept.
April	2019	Senior Executive Officer, Chief Manufacturing Officer (CMO), and Responsible for Supply Chain Management Dept.
April	2020	Responsible for Procurement Dept.
April	2022	Group Managing Executive Officer, Quality, Post-Market Surveillance and Vigilance Division, Regulatory Affairs and Clinical Development Division, Operations Division, and Intellectual Property Dept.
June	2022	Director and Group Managing Executive Officer (present)
April	2024	In charge of Global Supply Chain, Quality and EHS; Quality, Post-Market Surveillance and Vigilance Division, Operations Division, EHS Office, and Regulatory Affairs Dept. (present)



Norimasa Kunimoto

Director and Group Managing Executive Officer

In charge of Corporate Value Promotion; Corporate Affairs Dept., Legal and Compliance Division, Corporate Communication Division, Japan Sales Dept., Terumo Call Center

April	1987	Joined the Company
October	2011	General Manager of Secretarial Office
April	2018	Executive Officer, General Manager of Secretarial Office
July	2018	Executive Officer, Regional Representative, Eastern Europe, Russia, Middle East and Africa
April	2022	Group Executive Officer, Regional Representative, Europe, Middle East and Africa
April	2023	Group Managing Executive Officer, Corporate Value Promotion Division, Human Resources Division, and Japan Sales Dept.
June	2023	Director and Group Managing Executive Officer (present)
April	2024	In charge of Corporate Value Promotion; Corporate Affairs Dept., Legal and Compliance Division, Corporate Communication Division, Japan Sales Dept., and Terumo Call Center (present)



Hidenori Nishi

Independent Director

April	1975	Joined Kagome Co., Ltd.
June	2000	Director, Kagome Co., Ltd.
June	2005	Director & Managing Executive Officer, Kagome Co., Ltd.
June	2008	Director & Senior Managing Executive Officer, Kagome Co., Ltd.
April	2009	President & Representative Director, Kagome Co., Ltd.
January	2014	Chairman of the Board of Directors & Representative Director, Kagome Co., Ltd.
June	2014	Outside Director, NAGASE & CO., LTD.
March	2016	Chairman of the Board of Directors, Kagome Co., Ltd.
June	2019	Outside Director, FUJI OIL HOLDINGS INC. (present)
June	2020	Independent Director, Terumo Corporation (present)



Keiya Ozawa, M.D., Ph.D.

Independent Director

Professor Emeritus, Visiting Professor of Jichi Medical University

March	1977	Graduated from School of Medicine, Faculty of Medicine, The University of Tokyo
March	1985	Studied at the National Institutes of Health (NIH), the United States (Fogarty Fellow: until 1987)
September	1990	Associate Professor, The Institute of Medical Science, The University of Tokyo
November	1994	Professor, Blood Medical Research Division, Jichi Medical University
February	1998	Senior Professor, Division of Hematology, Jichi Medical University
April	1998	Professor, Division of Genetic Therapeutics, Center for Molecular Medicine, Jichi Medical University
April	2014	Hospital Director, IMSUT Hospital, Director, Center for Gene and Cell Therapy, and Professor, Division of Gene Therapy Development, Advanced Clinical Research Center, The Institute of Medical Science, The University of Tokyo Visiting Professor, Division of Immuno-Gene & Cell Therapy (Takara Bio), Jichi Medical University
April	2018	Professor Emeritus and Visiting Professor, Jichi Medical University (present) Program Supervisor, Japan Agency for Medical Research and Development (present)
June	2018	Program Officer, Japan Agency for Medical Research and Development (present)
October	2018	Senior Advisor, Genetic Therapeutics Center, Jichi Medical University (present)
June	2021	Independent Director, Terumo Corporation (present)
April	2023	Visiting Professor, Division of Gene & Cell Therapy for Intractable Diseases, Jichi Medical University (present)



Mari Kogiso

Independent Director

Founder and CEO, SDG Impact Japan Inc.

April	1990	Joined Long-term Credit Bank of Japan
June	1998	Joined World Bank
June	2003	Representative, Asia, Multilateral Investment Guarantee Agency, World Bank Group
October	2012	Founder and CEO, i-Incubate Corporation
October	2014	Representative, Dalberg Japan
January	2016	Head of International Business Planning, Sasakawa Peace Foundation
July	2017	General Manager, Gender Investment and Innovation Division, Sasakawa Peace Foundation
June	2019	General Manager, CEO Office, FAST RETAILING CO., LTD.
January	2021	CEO, SDG Impact Japan Inc. (present)
June	2022	Independent Audit & Supervisory Board Member, Mitsubishi Corporation
June	2024	Independent Director, Mitsubishi Corporation (present) Independent Director, Terumo Corporation (present)

Directors (Audit and Supervisory Committee Members)



Takanori Shibazaki

Director (Full-time Audit and Supervisory Committee Member)

April	1986	Joined Terumo Corporation
July	2005	Factory Manager of Terumo Medical Products (Hangzhou) Co., Ltd. 1st Factory
September	2007	Deputy General Manager of Strategic Planning Dept.
October	2008	President and CEO, Terumo Medical Products (Hangzhou) Co., Ltd.
April	2014	Executive Officer
July	2014	General Manager of Supply Chain Management Dept.
April	2016	President and CEO, Terumo (China) Holding Co., Ltd.
April	2017	Senior Executive Officer, Regional Representative, China
June	2021	Director (Full-time Audit and Supervisory Committee Member) (present)



Masaichi Nakamura

Independent Director (Audit and Supervisory Committee Member)

Certified Public Accountant

October	1983	Joined Tetsuzo Ota & Co.
May	1999	Partner of Showa Ota & Co.
August	2008	Executive Director of Ernst & Young ShinNihon LLC
July	2014	Representative Partner and Vice President of Ernst & Young ShinNihon LLC
September	2016	Representative of Masaichi Nakamura CPA Office (present)
June	2017	External Corporate Auditor, Sumitomo Heavy Industries, Ltd. (present) Outside Director (Audit and Supervisory Committee Member), SCSK Corporation
June	2019	Independent Director (Audit and Supervisory Committee Member), Terumo Corporation (present)



Soichiro Uno

Independent Director (Audit and Supervisory Committee Member)

Lawyer

April	1988	Joined Nagashima & Ohno (currently Nagashima, Ohno & Tsunematsu) admitted to the bar in Japan
November	1993	Passed the bar exam in the State of New York, USA
January	1997	Partner, Nagashima & Ohno (currently Nagashima, Ohno & Tsunematsu) (present)
June	2004	Audit External & Supervisory Board Member, SoftBank Corp. (currently SoftBank Group Corp.) (present)
June	2018	Outside Director (Audit & Supervisory Committee Member), Dream Incubator Inc.
June	2019	Independent Director (Audit and Supervisory Committee Member), Terumo Corporation (present)

Group Managing Executive Officers (GMEO)

Toshiaki Takagi
Chairman of the Board

Hikaru Samejima
Chief Executive Officer

Toshihiko Osada
Group Senior Managing Executive Officer
In charge of Innovation; R&D Division, DX Promotion Dept., Intellectual Property Dept., Clinical Development Dept., Terumo Medical Pranex

Antoinette Gawin
Group Senior Managing Executive Officer
President, Blood and Cell Technologies Company
President and CEO, Terumo BCT Holding Corp.

Kazunori Hirose
Group Managing Executive Officer
In charge of Global Supply Chain, Quality and EHS; Quality, Post-Market Surveillance and Vigilance Division, Operations Division, EHS Office, Regulatory Affairs Dept.

Fumihisa Hirose
Group Managing Executive Officer
President, Cardiac and Vascular Company

Norimasa Kunimoto
Group Managing Executive Officer
In charge of Corporate Value Promotion; Corporate Affairs Dept., Legal and Compliance Division, Corporate Communication Division, Japan Sales Dept., Terumo Call Center

Itaru Sakaguchi
Group Managing Executive Officer
President, Medical Care Solutions Company
Division President, Hospital Care Solutions Division, Medical Care Solutions Company

Group Executive Officers (GEO)

Ghada Farah
Group Executive Officer
Division President, Interventional Systems Division, Cardiac and Vascular Company

Carsten Schroeder
Group Executive Officer
Division President, Neurovascular Division, Cardiac and Vascular Company
President and CEO, MicroVention, Inc.

Hiroshi Yagi
Group Executive Officer
Chief Operations Officer (COO), Interventional Systems Division, Cardiac and Vascular Company
President, Terumo Yamaguchi Corp.

Chris Williams
Group Executive Officer
Senior Vice President, Global Manufacturing, Terumo Blood and Cell Technologies Inc.

James Rushworth
Group Executive Officer
President and Chief Operating Officer (COO), Terumo Medical Corp.

Takuya Hosogai
Group Executive Officer
Regional Representative, Europe, Middle East and Africa
President and CEO, Terumo Europe N.V.

Masanobu Yano
Group Executive Officer
Regional Representative, China
President and CEO, Terumo (China) Holdings Co., Ltd.

Kenichi Hata
Group Executive Officer
General Manager, Strategic Planning Dept.

Robert DeRyke
Group Executive Officer
Division President, Cardiovascular Division, Cardiac and Vascular Company
President and CEO, Terumo Cardiovascular Systems Corp.

Erik Pomp
Group Executive Officer
Division President, Vascular Graft Division, Cardiac and Vascular Company
President and CEO, Terumo Aortic

Noritsugu Fujita
Group Executive Officer
Division President, Pharmaceutical Solutions Division, Medical Care Solutions Company

Cindy Ng
Group Executive Officer
Senior Vice President, Global Commercial, Terumo Blood and Cell Technologies Inc.

Toshiyuki Akaike
Group Executive Officer
Regional Representative, Asia Pacific and India
Chairman and Managing Director, Terumo Asia Holdings Pte., Ltd.

Katsuyuki Honda
Group Executive Officer
Regional Representative, Americas
President and CEO, Terumo Americas Holding, Inc.
Chairman and CEO, Terumo Medical Corp.

Tomoko Adachi
Group Executive Officer
Chief Human Resources Officer (CHRO)
DE&I Promotion Dept., Human Resources Dept., CHRO Office, Human Resources Development Dept.

Jin Hagimoto
Group Executive Officer
Chief Financial Officer (CFO)
Acting Chief Information Officer (CIO)
General Manager, CFO Office
Controller Dept., Treasury Dept., Tax Dept., J-SOX Office, IT Planning Dept., Global Business Services (GBS)

Executive Officers (EO)

Miho Mizuguchi
Executive Officer
Chief Legal Officer (CLO)
General Manager, CLO Office
Legal Dept., Compliance Dept.

Toshio Nakashima
Executive Officer
General Manager, Ashitaka Factory, Cardiac and Vascular Company
Deputy Chief Operations Officer (COO), Interventional Systems Division, Cardiac and Vascular Company

Takeshi Kuroo
Executive Officer
Senior Vice President, Surgical Business, Cardiac and Vascular Company
General Manager, HeartSheet Business Dept., Cardiac and Vascular Company

Jin Nishizaki
Executive Officer
General Manager, Japan Sales Dept.
Terumo Call Center

Shinji Omori, Ph.D.
Executive Officer
Chief Technology Officer (CTO)
General Manager, DX Promotion Dept.
R&D Division

Jun Yamashita
Executive Officer
Chief Quality Officer (CQO)
Quality Assurance Dept.
Post-Market Surveillance and Vigilance Dept.

Takumi Uchida
Executive Officer
Chief Operations Officer (COO), Medical Care Solutions Company

Yasuhiro Ikoma
Executive Officer
Chief Commercial Officer (CCO), Interventional Systems Division, Cardiac and Vascular Company

Dialogue with shareholders and investors

Policy for Dialogue with Shareholders and Other Investors

1. Appointment of a member of management or a director to be responsible for supervising overall dialogue with shareholders

By way of a resolution of the Board of Directors, Terumo shall appoint an officer who will be responsible for supervising and facilitating overall dialogue with shareholders in order to maintain the consistency and uniformity of the information disclosed.

2. Measures to ensure positive cooperation between internal departments with the aim of supporting dialogue

Terumo shall strive to develop and enhance its in-house systems for the prompt, accurate, and fair disclosure of information.
In particular, the Disclosure Subcommittee, acting under the supervision of the Internal Control Committee, will endeavor to provide consistent and uniform disclosure of any corporate information with a potentially significant impact on management. Such disclosure shall be made in strict compliance with all relevant laws and regulations. The Disclosure Subcommittee shall evaluate and examine matters of disclosure. The Disclosure Subcommittee shall be comprised of the department heads of the Investor Relations Department, the Corporate Communication Department, the Strategic Planning Department, the Secretarial Office, the Internal Control Department, and the Legal Department. In addition, regular meetings will be held with business and disclosing divisions to enhance the contents and improve the accuracy of information disclosed.

3. Enhancement of measures to promote opportunities for dialogue aside from individual meetings

To deepen understanding of Terumo, business strategy briefings and plant tours may be organized for institutional investors, and facility tours are organized for shareholders. Terumo will also participate in conferences for institutional investors held in Japan and other parts of the world, as well as briefings for individual investors organized by securities companies, to enhance dialogue. In addition, Terumo will make other materials, including its financial results briefings, available on its website to provide such information in a timely and appropriate manner to as many shareholders and other investors as possible.

4. Measures for appropriate and effective feedback

Evaluations and opinions acquired through meetings with shareholders, other investors, and analysts are compiled periodically and shared with the management team. In addition, the president or officer supervising dialogue with the shareholders shall report to the Board of Directors on their visits to overseas institutional investors to ensure that the management team has the opportunity to gain an understanding of how the company is evaluated in the capital markets.

5. Measures to control insider information when engaging in dialogue

As a general rule, the president, the officer supervising dialogue, and the department head and staff of the disclosing division will conduct dialogue with investors. In case of a dialogue led by officers other than those listed in the preceding sentence, either the officer supervising dialogue or the department head or staff of the disclosing division will attend such meeting. By having multiple participants engage in the dialogue, the company will work to prevent unauthorized or inappropriate disclosure of information.

Terumo observes a silent period to prevent the leakage of any material information about the company's financial performance and to ensure fairness. In principle, the silent period shall begin four (4) weeks prior to the date of the expected announcement of the company's financial performance and conclude on the date when both the final announcement of financial statements of a fiscal year or the quarterly announcements take place. During this period, Terumo refrains from commenting on its financial performance or answering questions in relation to such performance.

The Policy for Dialogue with Shareholders and Other Investors has been formulated as part of Terumo's IR Policy. For the full text of the IR Policy, please visit:
https://www.terumo.com/investors/management/ir_policy

Initiatives

The activities implemented in fiscal 2023 are outlined below.

Target	Activities implemented in fiscal 2023 Items in bold-faced type are activities in which the President or Group Executive Officers took part
Shareholders	**・General meeting of shareholders** **・Corporate presentations for shareholders (in Osaka and Nagoya)** ・Terumo Medical Pranex tours
Securities analysts and/or institutional investors	**・Quarterly earnings briefings** **・Medical device seminars** **・One-to-one interviews (online or face-to-face)** **・Participation in conferences organized by securities firms** **・Participation in small-scale meetings organized by securities firms** **・Overseas IR activities (online or face-to-face)**

Risk management

Basic approach

Changes in global circumstances, the globalization of business, and other factors are causing rapid changes in the Terumo Group's business environment. At the same time, risks affecting our business activities are diversifying and growing in complexity. In response to these risks, the Terumo Group is advancing the construction of a group-wide risk management system, an effort that began in fiscal 2015.

Under this risk management system, we have established the Group Risk Management Policy and have been working on appropriate risk management based on identification and analysis of risks for the Terumo Group as a whole. Our objective in managing risks is to provide the proper environment for supporting bold yet appropriate risk-taking—for all types of risks—by management and ultimately to win stakeholder trust and enhance our corporate value. In addition, we aim to foster an organizational culture where every associate recognizes the importance of risk awareness and performs their job responsibilities accordingly. To achieve this goal, we are actively working to raise awareness and promote the importance of risk management as a corporate activity by sending messages from the CEO to all Terumo Group associates and other efforts.

Risk management system

Establishment of the risk management system

The Risk Management Committee has been established directly under the Board of Directors as an organization overseeing risk management across the Terumo Group. Chaired by the Chief Executive Officer, the Risk Management Committee consists of directors who also serve as Group Executive Officers or Executive Officers, representatives of relevant departments selected by the committee chair, and the company's legal counsel. The Committee meets twice a year to discuss key risks and draw up, implement, and monitor risk response measures.

Key risks are designated by assessing risks identified throughout the Terumo Group based on predefined criteria. Assessment criteria focus on two key points: 1) whether the risk will significantly impact patients and Terumo customers, and 2) whether the risk will cause serious damage to the Terumo Group's management. Risk information is gathered throughout the Terumo Group, organized in a database, and shared with department heads and risk managers at subsidiaries. In addition, we have established a system to ensure that information is promptly communicated to management organizations through functional departments and the relevant departments of subsidiaries when a significant issue arises.

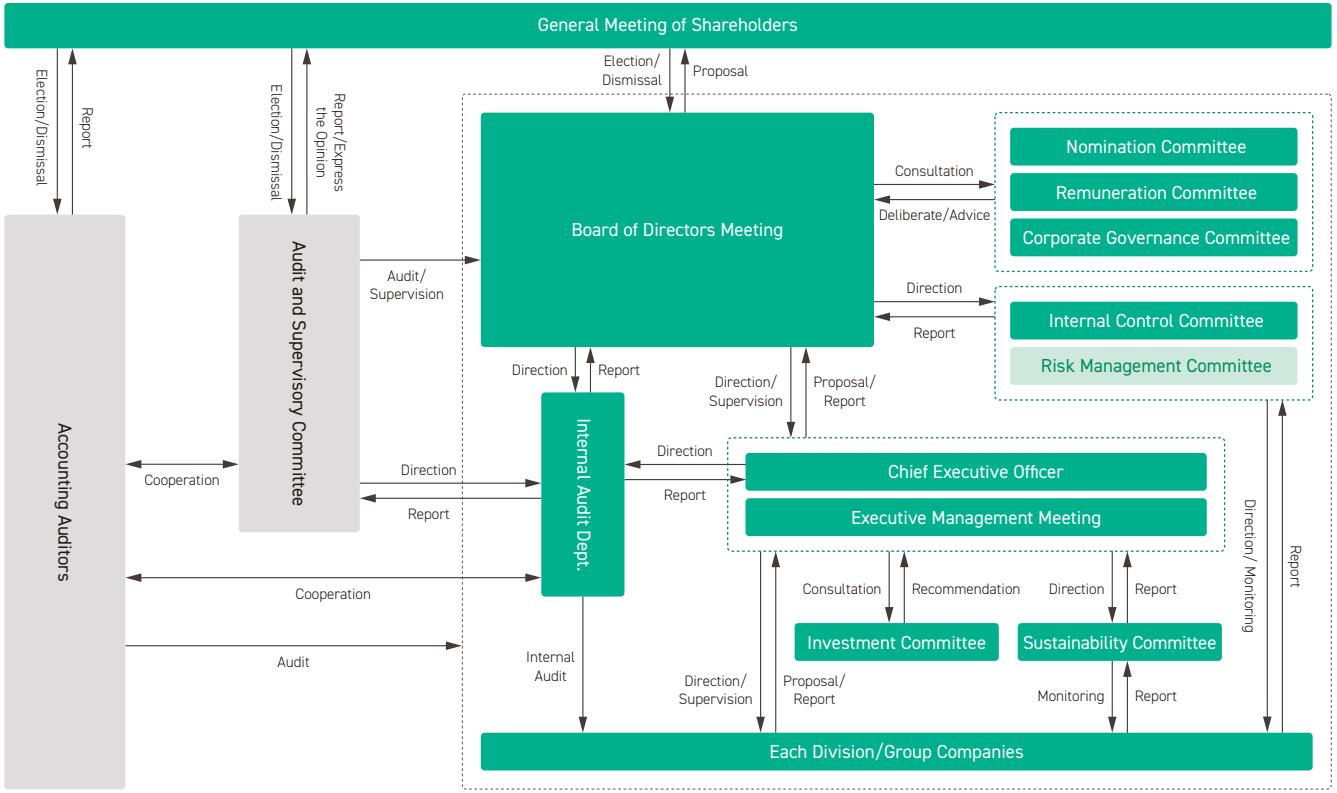
Risk management education

Since fiscal 2016, Terumo has been including content emphasizing the importance of risk management in briefings for department heads and conducting participatory workshop training for associates. Through such initiatives, Terumo is working to enhance the level of risk sensitivity among individual managers and associates.

Crisis response

When a crisis emerges (an identified risk occurs), the Group Risk Management Policy stipulates that an internal response be organized in accordance with the crisis level. Crisis responses aim to accomplish three things: 1) protect human lives, 2) minimize damage and losses, and 3) maintain the trust of society. Should a crisis of the highest level occur, we will establish a crisis response headquarters, led by the Risk Management Committee Chair, with the relevant department heads as the second tier of leadership.

Risk management system



As of November 1, 2024

Major risks and opportunities

The major risk factors that could impact the Terumo Group's operating results and financial position are as follows.

Major risk factors	Risk and opportunity content	Response
Changes in government healthcare policies	Risk ■ Impact of large-scale amendment in government healthcare policies exceeding expectations Opportunity ■ Shortened development and approval process cycle for innovative medical device development ■ Expanded revenue opportunities associated with increased demand for products and services with high medical cost efficiency	・Constantly analyze the government healthcare policies of the countries in which we operate in order to furnish the necessary responses through coordination between relevant internal divisions and stakeholders
Stable supply-related risks	Risk ■ Impact of a dysfunctional sustainable value chain caused by issues in material procurement, quality control, compliance, and EHS (environment, health, and safety), resulting in an inability to provide a stable supply of high-quality products to medical settings Opportunity ■ Competitive edge maintained through the continuous stable supply of products	・Enhance quality control, compliance, environmental, and health and safety initiatives through various actions including the development of systems for collaboration with business partners (procurement policy/supplier guidelines) ・Develop business continuity plans (BCPs) ・Manage the credit of business partners
Quality-related risks	Risk ■ Impact of delayed compliance with more rigorous legal or regulatory standards which could be newly implemented in the countries ■ Impacts of lost social trust and business interruptions due to quality-related issues disrupting the supply of products to medical settings Opportunity ■ Expansion of the number of countries where the Terumo Group can sell its products and services by complying with laws and regulations ■ Competitive edge on the market maintained with high product quality	・Comply with legal and regulatory standards and specifications pertaining to pharmaceuticals and medical devices in the countries in which products are manufactured or sold ・Reinforce quality governance systems globally and develop and constantly improve quality control systems ・Regularly verify compliance with relevant regulations and the status of quality control at each production site within the Terumo Group through audits conducted by the headquarters quality department ・Ensure quality, efficacy, and safety of products under rigorous quality and production control provisions
Discovery of new medical evidence	Risk ■ Decline in competitiveness in cases where the efficacy of products under development cannot be proven or when new defects or side effects are discovered in treatments previously considered efficacious Opportunity ■ Differentiation achieved by showcasing superiority over competitors' products and procedures through clinical research and other studies	・Analyze new research reports or clinical data after an initiative for product development, business alliances, or acquisitions is started, and decide whether to continue or discontinue the initiative
Market price fluctuations	Risk ■ Market price fluctuations pertaining to revised national healthcare systems ■ Price fluctuations mainly in overseas markets due to large-scale bidding and other causes Opportunity ■ Development and provision of products with higher added value	・Implement continuous cost-reduction measures

Risk management

Major risk factors	Risk and opportunity content	Response
Exchange rate fluctuations	Risk ■ Impact of exchange rate fluctuations	・Implement structural changes such as relocating production to factories outside Japan and sourcing raw materials from overseas ・Minimize impact through flexible utilization of contracts to hedge against exchange rate volatility for trade receivables
Changes in accounting policies and taxation systems	Risk ■ Affected operating results and financial position when new accounting standards or taxation systems are implemented or altered ■ Impact of additional tax burdens incurred due to difference in interpretation between tax authorities and the company	・Consider measures based on the timely information obtained and advice from experts ・Increase opportunities to have dialogue with tax authorities
Capital and business alliances, corporate acquisitions	Risk ■ Impact of the situation where a major strategy for the company, a capital or business alliance, or a corporate acquisition fails to produce the expected benefits Opportunity ■ Developed base for growth and strengthened business fundamentals by acquiring new management resources via capital and business alliances and corporate acquisitions	・Analyze and evaluate business potentials, mitigate projected risks, and ensure swift and efficient post-merger integration
Risks pertaining to impairment losses, valuation losses, and business reorganizations	Risk ■ Impairment losses recorded on goodwill and tangible or intangible assets, and accrued losses incurred due to sale or liquidation of businesses in the event that the anticipated growth isn't achieved as a result of the utilization of management resources or being unable to recover assets	・Efficiently utilize management resources in each business and maximize return on investments
Information security and IT system management-related risks	Risk ■ Loss of social trust and business interruptions due to system outages if information is leaked or tampered with through a cyberattack or internal fraud	・Strengthen information security measures and enhance responsiveness when incidents occur ・Establish the global information security standards and rules ・Provide continuous training for associates
Legal proceedings	Risk ■ Impact from any major legal action by a third party such as a lawsuit for damages or an injunction against sales	・Research by Legal, Intellectual Property, and other managing divisions as well as establishment of an internal control system ・Develop a management structure to ensure that the Board of Directors and the Audit and Supervisory Committee review situations as needed
Pandemics, epidemics, and large-scale natural disasters	Risk ■ Impacts on business activities that are more severe than expected in the event of global pandemics and epidemics, earthquakes, hurricanes, and other natural disasters	・Establish the Group BCM Policy and implement various drills on a regular basis
Risks related to the environmental, health and safety management and compliance	Risk ■ Impact of damaged social trust if the company's measures are not sufficiently functional due to sudden changes in laws of relevant countries, in regard to compliance with laws pertaining to occupational health and safety, anti-corruption, antitrust, and appropriate promotions targeting healthcare professionals as well as measures for addressing climate change and other environmental issues	・Implement management systems that conform to international standards ・Implement continuous improvement activities and expand systems ・Provide education for associates
Economic and geopolitical risks	Risk ■ Impact of situations where the disruption to business activities caused by an economic downturn in countries to which the company supplies products and the resulting fall in demand, or by an unexpected change in the political situation due to terrorism, war, etc., is greater than expected	・Constantly monitor the political and economic situations of each country

Business Continuity Management (BCM) and Business Continuity Plans (BCP)

Basic approach

The Terumo Group provides medical devices, pharmaceuticals, and services that are directly linked to people's lives. Accordingly, we believe that ensuring business continuity in the event of a major natural disaster or some other unforeseen situation is an important social obligation of the Terumo Group.

To fulfill this responsibility, the BCM Policy clearly stipulates the Terumo Group's basic approach to business continuity and the related systems and response measures. Based on the following three basic policies: 1) protect our associates and their families worldwide, 2) fulfill our social responsibility. The impact on the healthcare system should be minimized whenever possible, and 3) protect our assets, we will prepare for emergencies during normal times, and strive to ensure that we can maintain or restore our business operations in the event of an incident.

Promotion system and major initiatives

In the event of a major natural disaster or some other unforeseen situation, the Corporate Affairs Department at the head office plays a key role in promoting relevant activities throughout the Terumo Group. If a serious risk that could affect business continuity emerges, the Countermeasures Headquarters, led by the Chief Executive Officer of Terumo Corporation, will be established to swiftly initiate response activities. The Countermeasures Headquarters will determine and implement necessary measures by gathering information, including information regarding the safety of associates and their family members, damage to suppliers, and the situation in the affected areas. At the same time, the Countermeasures Headquarters will embark on efforts to provide the necessary material and human support to disaster-hit areas in a timely manner. If it becomes apparent that the Terumo Group's supply chain or operations will be temporarily interrupted, we will strive to restore normal supply chain and operational functions as quickly as possible.

In normal times, Business Continuity Plans (BCPs) are prepared by the collaboration of personnel responsible for risk management at each factory, functional department involved with raw material procurement or distribution, company, and subsidiary outside Japan. The BCPs aim to prevent operations from being disrupted even in emergency situations, and to ensure that operations can be quickly restored and resumed should they be disrupted. In addition, each Terumo Group business site conducts drills, such as those noted below.

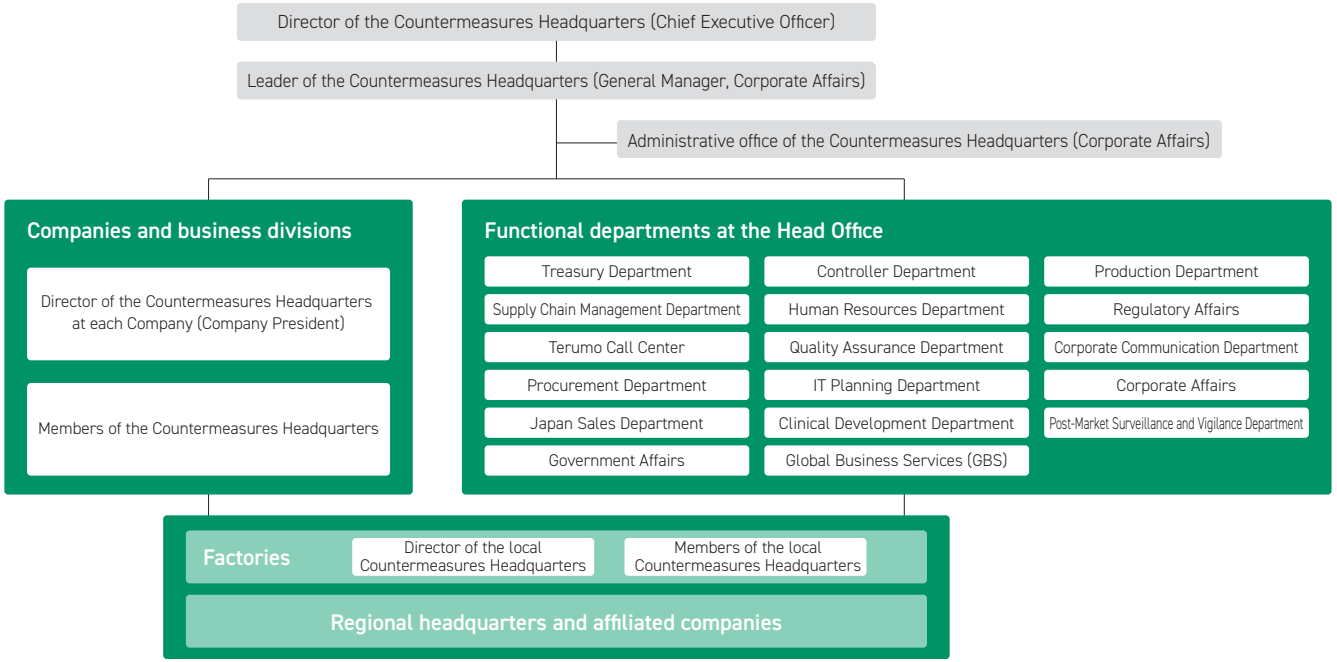
- Establishment of a disaster response headquarters following a major earthquake, confirmation of the roles of individual staff, and other BCP-related drills
- Implementation of systems for rapidly ascertaining the condition of associates and training on their use
- Comprehensive disaster response drills including firefighting, CPR, and rapid evacuation
- BCM and BCP education and training for all associates in Japan

Infectious disease countermeasures

Terumo has been designated as a specified public institution under Japan's Act on Special Measures for Pandemic Influenza and New Infectious Disease Preparedness and Response. Accordingly, we have developed an operation plan as required and have formulated a BCP that will enable us to continue operating even in the event of an outbreak of a new strain of influenza or other infectious diseases.

In addition, Terumo has prepared its infectious disease response manual to guide efforts to combat the various infectious diseases that are currently spreading around the world and to help halt the spread of such diseases. This manual lays out rules covering everything from infection prevention to the return to work of associates who have been infected in an effort to protect business operations from the impacts of infectious diseases. Terumo also monitors the status of infectious diseases around the world and issues travel precautions or restricts business travel for its associates, as conditions warrant.

An example of the structure of the Countermeasures Headquarters used in a large-scale disaster



Information security

Basic approach

At the Terumo Group, we have established the Group Information Security Policy as a common global standard for the Terumo Group to appropriately protect and ensure the security of our confidential information and the information entrusted to us by our customers and business partners from all information-related threats in our business activities. These threats include unauthorized access by outside parties, information leakage due to negligence, tampering, destruction, theft, information system failures, and natural disasters. Based on this group policy, we have also established information security rules in each region. Regarding personal information, we have developed the Personal Information Protection Standards based on Japanese laws and regulations, including the Act on the Protection of Personal Information and the Act on the Use of Numbers to Identify a Specific Individual in Administrative Procedures. We properly protect and manage all forms of personal information, including Individual Number (used for Japan's Social Security and Tax Number System), in accordance with these standards. In addition, we established the Group Privacy and Personal Information Protection Policy in April 2022 to ensure the proper handling of personal information at a certain level within the Terumo Group.

Information security system

Under the direction of the Chief Information Officer (CIO), the Terumo Group develops global information security systems headed by the IT Planning Department. The formulation and enactment of standards and guidelines based on the laws and regulations of countries of operation and the education and training of associates are promoted on a global basis through these systems. In addition, global meetings are held regularly between representatives from Terumo's IT Planning Department and information security divisions of the Terumo Group companies. These meetings serve as opportunities to share information on cyber risks and other matters and to examine possible measures for strengthening information security.

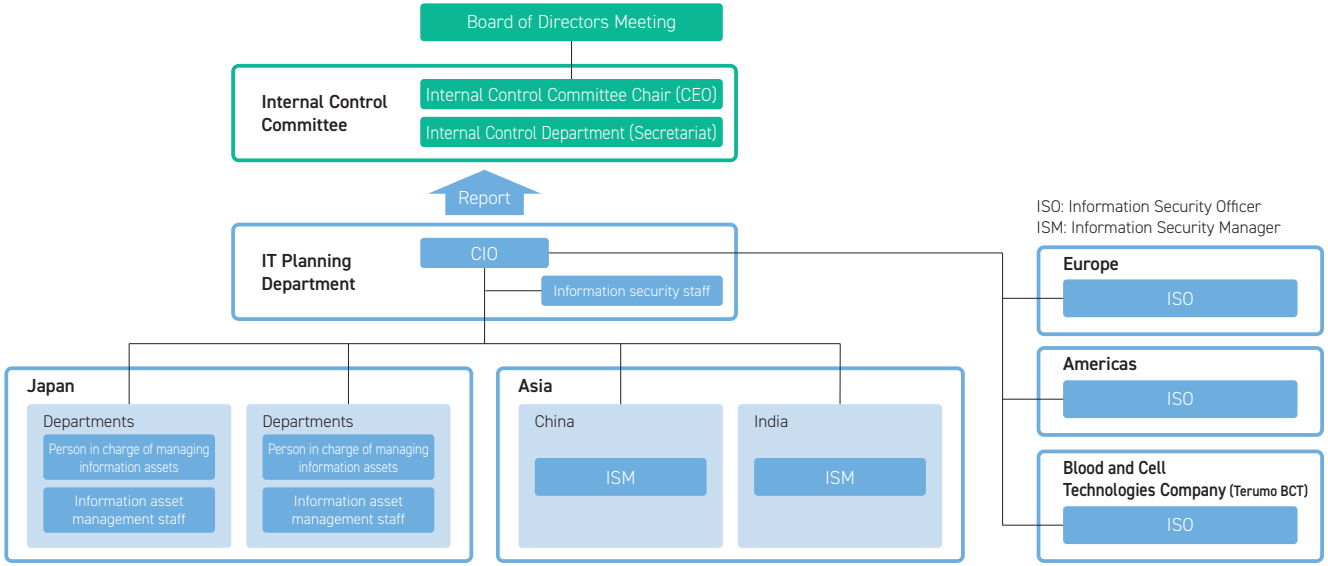
In Japan, information security managers and management staff are appointed in each department of Terumo and in each group company, as stipulated by the Group Information Security Policy and the information security rules. These individuals perform management and provide guidance to ensure that information in their departments is properly managed and protected. Outside of Japan, information security officers are selected for each region and information security managers are put in place at all affiliates to promote appropriate information protection and management throughout the Terumo Group.

Measures for strengthening information security

Terumo business locations throughout the world perform self-evaluations of their security status annually, and information security training for associates is conducted on a regional basis once a year. In addition, both internal and external audits are performed to confirm the status of compliance with the internal rules and regulations of the company.

In response to the rise in the various information security threats that need to be addressed, including targeted attacks, unauthorized access, and leaks of personal information, as well as changes in workstyles such as the growth of remote working, we are implementing measures for strengthening information security to provide multi-layered protection that includes countermeasures for scam emails, monitoring of unauthorized transmissions, and other provisions. Furthermore, we conduct drills on targeted email attacks for our associates around the world to raise their awareness of information security.

Global information security management organization



Compliance

Promoting compliance

Basic approach

Earning the trust of society is critical for Terumo to continue to fulfill its Group Mission of "Contributing to Society through Healthcare."

Terumo, together with all of its associates, strives to protect its reputation, which is an invaluable asset, and to further build trust with society. To achieve this, every Terumo associate must make the right decisions and do the right things. The Terumo Group Code of Conduct is a guide to help Terumo associates make the right decisions in their everyday actions.

Terumo makes every effort to ensure that all associates around the world, not only directors and officers, engage in fair business practices, abide by laws and regulations, and follow the highest ethical standards when serving all stakeholders, including the patients and healthcare professionals that use our products, and when practicing social responsibility, always keeping this Code of Conduct in mind. For this purpose, Terumo has established an environment that enables associates to better understand the importance of the Code of Conduct through means such as constantly providing training tailored to each workplace.

Terumo Group Code of Conduct
https://www.terumo.com/about/code-of-conduct

Compliance system

At Terumo, the Internal Control Committee, which is responsible for enacting the Internal Control System of the Terumo Group in accordance with the Internal Control System Design Basic Policy approved by the Board of Directors, shall deliberate and make decisions regarding important policies related to compliance, and regularly report the status of these activities to the Board of Directors and Audit and Supervisory Committee.

Under the leadership of the Chief Legal Officer (CLO), we create compliance-related rules, perform training and education, and conduct monitoring to quickly discover and ascertain compliance issues through coordination with the compliance officers who are in charge of promoting compliance-related activities at each Group company.

In the event that a significant compliance violation occurs, a response team shall be immediately organized under the supervision of the Internal Control Committee, and that team shall, in addition to handling and resolving the matter, report and make proposals to the Internal Control Committee regarding the cause and recurrence prevention measures.

Compliance education

Terumo conducts compliance education with the aim of improving compliance awareness among all associates and ensuring understanding of and compliance with relevant laws and regulations.

Major compliance training programs (Terumo Corporation)

Name	Scope of participation	Format	Subjects	Frequency
Terumo Group Code of Conduct training	All directors, Group Executive Officers, Executive Officers, and associates	E-learning program	Training on the Terumo Group Code of Conduct	Once a year
Anti-bribery training	Directors, Group Executive Officers, Executive Officers, and some associates	E-learning program	Anti-corruption in business activities	Once a year
Training in competition law	Directors, Group Executive Officers, Executive Officers, and some associates	E-learning program	Secure fair transactions in business activities	Every two years
Training in interactions with healthcare professionals	Associates working in sales branches and in three Companies within Terumo	Branch training, e-learning program	Maintenance of appropriate relations with healthcare professionals	At least once a month
Training on whistle-blowing system	All directors, Group Executive Officers, Executive Officers, and associates	E-learning program	Training on whistle-blowing system	Once a year
Level-based training	Associates at specific levels	Group training	Compliance education as part of training for early-career associates and for associates being promoted to mid-level and management positions	At the time of promotion or onboarding
Education relating to the restriction on advertising specified by Japan's PMD Act	All associates	E-learning program	Compliance with the restriction on advertising specified by Japan's PMD Act	Once a year
Education relating to the Terumo Group rules for dealing with off-label use	All associates	E-learning program	Compliance with the Terumo Group rules for dealing with off-label use	Once a year
Harassment prevention training	All associates	E-learning program	Harassment awareness and prevention	Once a year

Compliance initiatives

Whistle-blowing system

When we encounter any compliance issues, it is important to promptly take the appropriate measures, such as investigation, preventive action, disciplinary action, and/or recurrence prevention. With this in mind, the Terumo Group has established the Group Compliance Violations Reporting and Anti-Retaliation Policy, which encourages associates to promptly report any compliance concerns internally, while clearly stipulating that any retaliation against associates who have submitted such reports in good faith is strictly prohibited, so that associates will feel able to submit reports with peace of mind. The Policy also clearly stipulates those reports may be submitted anonymously, in countries where this is permitted by law.

Based on this policy, the Terumo Group has established and operates the Terumo Integrity Helpline, a group-wide whistleblowing system. Associates at all Terumo Group business sites can make reports or receive a consultation concerning violations of laws and regulations, the company's internal policies and regulations, the Terumo Group Code of Conduct, and other serious misconduct. Reporting via the Helpline can be conducted anonymously. Reports can be submitted through the Helpline not only by Terumo Group associates, but also by the directors, officers, and employees of business partners that do business with any Terumo Group company. A link to the Helpline has been posted on the Terumo website.

In Japan, besides the Terumo Integrity Helpline referred to above, Terumo has also established internal contact points, a legal advisor, and external whistle-blowing contact points operated by independent third parties, which accept reports and consultations via e-mail, mail, or telephone. In addition, a whistle-blowing system relating to the Board of Directors has been established, enabling associates to contact the Audit and Supervisory Committee.

Prevention of harassment

Terumo's work regulations in Japan explicitly forbid abuses of power and sexual harassment, regardless of gender orientation or gender identification (members of the LGBT community), as well as activities intended to put individual associates at a disadvantage due to reasons such as pregnancy or roles as a parent or caregiver. In addition, we have established a harassment intranet page where associates in Japan will find our Harassment Prevention Guidelines. These measures are indicative of our stance toward harassment. Associates can seek consultations regarding harassment not only from their supervisors and the Human Resources Department, but also from the company's internal hotline and the external hotline, where consultations can be kept completely anonymous. Whichever channel an associate decides to use, consultations are conducted in an appropriate manner so that the associate's privacy is well protected, confidentiality is enforced, and any retaliation against the associate seeking consultation is prohibited.

In addition, as an educational activity to prevent harassment, we conduct harassment prevention training in associates' level-based education, including training for new associates and new managers. December and January have been designated as harassment prevention reinforcement months since fiscal 2017 in Japan. During these periods, all associates receive email messages, complete surveys, and take part in e-learning programs. Managers, meanwhile, periodically attend training sessions that provide examples of harassment relevant to daily business activities. Through these initiatives, we are constantly working to raise awareness of harassment prevention.

Furthermore, a new intranet page detailing our efforts to ensure rigorous compliance was established in April 2020. On this page, associates will find information on our stance toward earnestly embracing compliance and concrete examples of compliance violations and countermeasures. This information is designed to facilitate increased understanding and risk sensitivity among associates. (For more information about the progress of harassment-related education, please refer to "Compliance education" on p. 96.)

Harassment Prevention Guidelines

- Sexual harassment, abuses of power, and other forms of harassment are human rights issues that violate the dignity of associates and create a toxic workplace.
- Terumo continuously conducts compliance training and asks associates for written pledges declaring their understanding of the negative impacts of harassment and the disciplinary measures that may be taken against them for engaging in harassment.
- Terumo does not tolerate any form of harassment.
- Terumo strives to increase each associate's understanding of harassment as well as their ability to address harassment issues as part of its efforts in creating a healthy organization that is not complicit in or tolerant of harassment and where all employees are respectful of one another.
- Terumo urges associates who have encountered any form of harassment to consult with their supervisor or with a human resources or general affairs representative at their workplace or to use internal hotline in cases where it is difficult to consult with someone in the regular line of reporting. Reporters of harassment issues will not suffer any retaliation and their privacy will be respected.

Opposition to antisocial forces

Avoiding relationships with antisocial forces is one of Terumo's corporate responsibilities. We therefore strictly refuse to become involved in any relationship with antisocial forces and do not engage in any transactions with companies, other organizations, or individuals with ties to antisocial forces. Furthermore, we work with law enforcement authorities and other agencies to combat antisocial forces.

Anti-corruption

The Terumo Group expects full compliance with Japan's Unfair Competition Prevention Act, the U.S. Foreign Corrupt Practices Act, and other anti-corporation laws in the countries and regions in which the group operates in order to ensure honest and fair business practices.

All Terumo associates observe the Terumo Group Code of Conduct and the Group Anti-Corruption and Anti-Bribery Policy, which make clear our commitment to preventing corruption and engaging in fair business practices. All Terumo Group associates receive annual training on the Terumo Group Code of Conduct. In addition, we have established the Group Policy for Third Party Anti-Corruption and Anti-Bribery, and we require our business partners to comply with anti-corruption laws. If any associate has concerns about possible corruption, including the giving or receiving of bribes, they can report these concerns using Terumo's internal whistle-blowing system. (For more information about the internal whistle-blowing system, please refer to "Whistle-blowing system" on p. 97.)

Prohibition of collusion and cartels

To prevent associates from becoming involved in collusion and cartels during the course of business activities, the Terumo Group has established the Group Antitrust Policy and is engaged in a Groupwide effort to maintain fair and free competition.

Appropriate relationships with healthcare professionals

Terumo abides by the Fair Competition Code of the Japan Fair Trade Council of the Medical Devices Industry, the Promotion Code of the Japan Federation of Medical Devices Associations, and other industry regulations to ensure that it follows appropriate practices in promoting medical devices and pharmaceuticals to healthcare professionals. We have also established internal rules for this purpose.

Furthermore, the Group Ethical Interactions with Healthcare Professionals Policy was established based on the principles of the codes of ethics of reputable industry associations in the regions in which the Terumo Group operates, to guide us in maintaining appropriate relationships with healthcare professionals. (For more information about the implementation status of education on ethical interactions with healthcare professionals, please refer to "Compliance education" on p. 96.)

Advertisements and other activities for providing product information and sales promotions

Terumo strives to conduct appropriate promotional activities. To facilitate these efforts, Terumo ensures compliance with Japan's PMD Act (the Act on Securing Quality, Efficacy and Safety of Pharmaceuticals, Medical Devices, Regenerative and Cellular Therapy Products, Gene Therapy Products, and Cosmetics) as well as other relevant laws and regulations. We also abide by various industry codes, such as those established by the Japan Federation of Medical Devices Associations (JFMDA). The relevant divisions review promotional materials prior to use to confirm their legality and the accuracy of the information they contain. In addition, in order to promote compliance with the Guidelines for Prescription Drug Marketing Information Provision released by the Ministry of Health, Labour and Welfare on September 25, 2018, we monitor the appropriateness of materials used in prescription drug marketing information provision activities and the activities themselves. We also work to ensure the appropriateness of promotional activities overseas with major Group companies playing a central role in advancing these activities in compliance with the applicable laws.

Moreover, the Group Rules for Dealing with Off-Label Use were established for global application in January 2016. These rules prohibit all advertisements and promotions soliciting off-label use of Terumo products. In addition, the Terumo (Japan) Rules for Dealing with Off-Label Use were implemented for Japan and other regional rules have been enacted to ensure compliance with the laws of the countries in which we sell our products and to guarantee appropriate promotions. (For more information about the implementation status of education relating to advertisements and other activities for providing product information and sales promotions, please refer to "Compliance education" on p. 96.)

Transparent relationships between corporate activities and medical institutions

The supply of advanced medical devices and pharmaceuticals that meet sophisticated needs requires not only the efforts of individual companies but also cooperation with universities and other research and medical institutions at all stages of the process, ranging from research and development to production and sales. Sometimes this cooperation entails monetary compensation. Terumo seeks to ensure transparency in such activities through adherence to high ethical standards.

In Japan, Terumo has formulated its Transparency Guidelines for the Relationships between Corporate Activities and Medical Institutions in compliance with the Clinical Trials Act and voluntary industry rules. Based on these guidelines, we disclose the status of funding to medical institutions and medical professionals.

Basic Policy on Tax

Terumo Group's mission is "Contributing to Society through Healthcare." Guided by this mission, Terumo Group conducts business based on strict legal compliance and corporate ethics and aims to achieve sustainable growth, maximize long-term corporate value, and meet the expectations of its worldwide stakeholders. In conformity with its mission, Terumo Group takes the following actions in conducting tax management.

- Compliance with Laws and Regulations
  Terumo Group complies with international taxation rules, such as the OECD Transfer Pricing Guidelines, and the laws of all countries in which it conducts business activities to maintain tax compliance.
- Proper Tax Payment
  Terumo Group, as a responsible corporate citizen, aims to contribute to society by properly paying taxes in the countries where Terumo Group conducts business activities.
- Transparency
  Terumo Group discloses tax-related information appropriately to relevant parties such as tax authorities, shareholders, and the communities of each country to ensure transparency in taxation practices in aiming to be a highly socially responsible corporation.
- Relationship with the Tax Authorities
  Terumo Group constructs and maintains appropriate relationships with the tax authorities where Terumo Group conducts business activities and does not attempt to obtain unfair benefits from the tax authorities.
- Tax Planning
  Terumo Group does not implement tax planning that is not in line with business substance and/or is intended to avoid taxes.
- Corporate Value
  Through above tax management, Terumo Group ensures that an appropriate tax burden is borne while maximizing its corporate value.

R&D ethics

Basic approach

The development of medical devices, pharmaceuticals, and other products requires us to conduct animal experiments and clinical research on human beings to evaluate the safety and efficacy of these products. In its research activities, Terumo always acts in an appropriate manner based on both an ethical and a scientific perspective. We therefore observe the principles of the Declaration of Helsinki* and comply with Good Clinical Practices (GCP), the standards for conducting clinical trials of medical devices, pharmaceuticals, and other medical products such as regenerative medicine products as well as the pharmaceutical laws of countries in which we operate and other relevant regulations and standards. In addition, we have established the internal Research Ethics Review Committee and the Institutional Animal Care and Use Committee to ensure high ethical standards and respect for animal welfare in our R&D activities.

* Declaration of Helsinki—Ethical Principles for Medical Research Involving Human Subjects, a set of ethical guidelines for clinical research

Ethics in clinical research and clinical trials

In accordance with Japan's Ethical Guidelines for Medical and Biological Research Involving Human Subjects, Terumo has established the Terumo Research Ethics Policy, which outlines fundamental principles respecting human rights and dignity in clinical research. The Terumo Research Ethics Review Committee, which includes members from outside the Terumo Group, has been formed following this policy to evaluate the social value and scientific validity of all clinical research projects prior to commencement. The status of this committee's activities is registered and disclosed through the Ethical Review Committee Reporting System of Japan's Ministry of Health, Labour and Welfare.

Clinical trials aimed at the acquisition of manufacturing and sales approval are conducted in accordance with the principles of the Declaration of Helsinki and in compliance with GCP put forth in the relevant countries. GCP defines all of the items for which compliance is required by the medical institutions conducting clinical trials; an investigator and staff responsible for the clinical trials, and the sponsors of the study. The Terumo Group formulates and adheres to procedures based on GCP to ensure the quality of clinical trials and to acquire highly reliable data. Moreover, clinical trials are monitored to confirm adherence to the defined procedures and, most importantly, to ensure that the human rights, protection of personal data, and safety of trial participants are being prioritized.

Ethics in animal experiments

In its quest to fulfill the Group Mission of "Contributing to Society through Healthcare," Terumo performs research and development on medical devices, pharmaceuticals, and other products and provides training to healthcare professionals on the safe use of its products in medical settings. For these reasons, certain animal experiments are unavoidable. Those animal experiments that cannot be avoided are performed appropriately with due consideration to animal welfare.

Terumo has established internal regulations on animal experiments based on relevant laws and guidelines such as the Act on Welfare and Management of Animals and the Standards relating to the Care and Keeping and Reducing Pain of Laboratory Animals. We have also formed the Institutional Animal Care and Use Committee. The committee examines protocols, confirms the conclusion of experiments, performs animal husbandry management while taking animal welfare into consideration, and provides training for staff engaged in animal experiments to ensure that we adhere to the "Three Rs" stipulated by relevant laws—Replacement (to replace animal studies with other methods), Reduction (to use fewer animals), and Refinement (to alleviate pain and distress). Moreover, the Institutional Animal Care and Use Committee carries out self-inspections to assess compliance with the relevant laws, and third-party verification and certification is received from the Association for Assessment and Accreditation of Laboratory Animal Care International or the Japan Pharmaceutical Information Center, which are international third-party organizations that accredit and assess animal care and use programs. When contracting animal experiments to third parties, Terumo also verifies that subcontractors are practicing proper compliance.

Data sheets

101 Ten-year financial summary

102 Human resources and labor data

104 Environmental data

109 Independent assurance statement

111 Corporate information

Ten-year financial summary

Terumo Corporation and consolidated subsidiaries
Years ended March 31

(Millions of yen)

	FY2014 (Ended March 2015)	FY2015 (Ended March 2016)	FY2016 (Ended March 2017)	FY2017*2 (Ended March 2018)	FY2018*2 (Ended March 2019)	FY2019 (Ended March 2020)	FY2020 (Ended March 2021)	FY2021 (Ended March 2022)	FY2022 (Ended March 2023)	FY2023 (Ended March 2024)
	JGAAP			IFRS						
Results of Operations and Cash Flow*1										
Net sales/Revenue	489,506	525,026	514,164	587,775	599,481	628,897	613,842	703,303	820,209	**921,863**
Adjusted operating profit*3	–	–	–	124,929	122,128	124,998	115,927	134,441	138,025	**156,785**
Operating profit	67,456	81,703	76,578	108,552	106,637	110,611	98,386	115,960	117,332	**140,096**
Income before income taxes/Profit before tax	64,046	76,920	74,981	106,630	102,709	106,466	97,060	114,501	116,137	**140,829**
Profit attributable to owners of parent/Profit for the year attributable to owners of the parent	38,470	50,676	54,225	91,295	79,470	85,211	77,268	88,813	89,325	**106,374**
Net cash provided by (used in) operating activities	73,110	80,303	80,862	114,562	93,571	117,479	121,485	141,467	117,536	**146,330**
Net cash provided by (used in) investing activities	(40,421)	(23,495)	(181,433)	(44,105)	(74,792)	(84,714)	(85,317)	(78,454)	(59,121)	**(81,472)**
Free cash flow	32,689	56,808	(100,571)	70,457	18,778	32,764	36,168	63,013	58,414	**64,857**
Net cash provided by (used in) financing activities	44,121	(79,936)	60,937	(4,132)	(67,540)	14,010	(7,436)	(70,879)	(86,559)	**(62,079)**
Research and development expenses	29,360	33,147	33,747	41,342	47,681	50,618	49,096	51,837	61,583	**69,060**
Capital expenditure	37,342	31,454	39,091	45,685	60,845	89,510	77,208	69,230	75,774	**78,426**
Depreciation and amortization*4	40,692	44,674	45,400	42,035	44,035	52,358*6	53,932*6	58,882	70,238	**76,745**
Per Share Indicators*1										
EPS (Yen)*5	25.33	33.78	37.54	64.78	54.35	56.98	51.16	58.72	59.50	**71.50**
Dividends per share (Yen)	30.50	39.00	42.00	50.00	54.00	28.00	29.00	34.00	40.00	**44.00**
BPS (Yen)*5	378.43	352.13	347.42	388.97	469.80	501.68	566.57	669.23	746.07	**893.80**
Financial Position (at year-end)*1										
Current assets	412,458	374,746	349,183	411,042	398,722	460,607	523,966	558,713	611,396	**722,116**
Current liabilities	129,947	168,835	248,389	179,013	142,912	211,845	211,366	177,721	218,001	**379,152**
Total assets	992,073	901,685	1,021,405	1,081,045	1,120,790	1,241,355	1,351,192	1,473,693	1,602,225	**1,831,402**
Net assets/Total equity	573,523	511,544	489,554	550,435	698,113	754,883	856,662	1,012,313	1,111,063	**1,327,090**
Capital stock/Share capital	38,716	38,716	38,716	38,716	38,716	38,716	38,716	38,716	38,716	**38,716**
Management Indicators*1										
ROE	7.2%	9.3%	10.8%	17.5%	12.7%	11.7%	9.6%	9.5%	8.4%	**8.7%**
ROA	4.2%	5.4%	5.6%	8.7%	7.2%	7.2%	6.0%	6.3%	5.8%	**6.2%**
Shareholders' equity ratio/Ratio of equity attributable to owners of the parent to total assets	57.8%	56.7%	47.9%	50.9%	62.3%	60.8%	63.4%	68.7%	69.3%	**72.5%**
Shares issued and outstanding at year-end (thousands)*5	1,515,316	1,451,879	1,407,916	1,414,777	1,485,805	1,504,568	1,512,025	1,512,652	1,489,215	**1,484,766**
Employees at year-end	19,934	20,697	22,441	23,319	25,378	26,438	26,482	28,294	30,207	**30,591**

*1 Items separated by a " / " refer to items under "JGAAP/IFRS."
*2 A provisional accounting treatment, for the integration of businesses acquired in fiscal 2017 was finalized in fiscal 2018, and which is reflected on certain figures for fiscal 2017 under IFRS.
*3 Adjusted operating profit is operating profit excluding amortization of acquired intangible assets and other non-recurring profit or loss. The Terumo Group uses adjusted operating profit as a performance indicator.
*4 Depreciation and amortization under JGAAP up to fiscal 2016 includes amortization of goodwill.
*5 A 2-for-1 stock split was carried out for Terumo common shares effective on April 1, 2014, April 1, 2019, and April 1, 2024. The figures for EPS, BPS, and shares issued and outstanding at year-end are reflected as if the aforementioned stock split had been carried out at the beginning of fiscal 2014. Shares issued and outstanding at year-end do not include treasury shares.
*6 Figures for fiscal 2019 and beyond include depreciation amounts associated with the application of IFRS 16 Leases.

Human resources and labor data

Associate data

		Scope	FY2021	FY2022	FY2023
Number of associates by geographic area	Japan	Terumo Group	7,050	7,328	7,537
	Europe		2,345	2,408	2,473
	Americas		12,228	13,495	13,231
	Asia and others		6,671	6,976	7,350
	Total		28,294	30,207	30,591
Number of associates	Male	Terumo Corporation	4,403	4,426	4,453
	Female		974	1,031	1,101
	Total		5,377	5,457	5,554
Average age	Male	Terumo Corporation	41.64	43.30	41.13
	Female		37.12	37.00	36.70
	Total		40.85	40.50	40.26
Average years of service	Male	Terumo Corporation	18.0	17.7	17.1
	Female		12.1	11.4	11.2
	Total		16.9	16.3	15.9
Average salary (yen)		Terumo Corporation	7,365,222	7,650,863	7,554,701
Gender pay gap* (%)	All associates	Terumo Corporation	–	81.9	81.4
	Fulltime associates		–	82.5	81.8
	Part-time and fixed-term associates		–	86.0	82.9
Number of new graduate hires	Male	Terumo Corporation	134	143	150
	Female		45	60	90
	Total		179	203	240
Number of mid-career hires	Male	Terumo Corporation	63	95	100
	Female		25	43	46
	Total		88	138	146
	Mid-career hires as ratio of all regular, fulltime associates hired in that year (%)		33	40	38
Number of voluntary turnover (resigning due to personal reasons)	Male	Terumo Corporation	84	71	103
	Female		27	27	45
	Total		111	98	148
Turnover rate (%)	Male	Terumo Corporation	2.0	2.0	2.3
	Female		3.0	2.6	4.1
	Total		2.1	1.8	2.7

* The gender pay gap calculation includes associates seconded to other companies as part of their original company but excludes those seconded to overseas group companies.

DE&I

		Scope	FY2021	FY2022	FY2023
Number and ratio of female Group Executive Officers*1, *2	Total number of Group Executive Officers	Terumo Group	–	19	24
	Number of female Group Executive Officers		–	2	3
	Ratio of female Group Executive Officers (%)		–	10.5	12.5
Ratio of female associates in global key positions (%)*1		Terumo Group	–	16.1	20.1
Ratio of female associates in managerial positions (%)			–	30.8	31.3
Ratio of female associates (%)			–	46.8	46.3
Number and ratio of female associates in managerial positions	Total number of associates in managerial positions	Terumo Corporation	865	942	959
	Number of female managers		73	90	100
	Ratio of female managers in managerial positions (%)		8.4	9.6	10.4
Number and ratio of female general managers (or equivalent)	Total number of general managers (or equivalent)	Terumo Corporation	161	219	234
	Number of female general managers (or equivalent)		11	16	21
	Ratio of female general managers (or equivalent) (%)		6.8	7.3	9.0
Number and ratio of female managers (or equivalent)	Total number of managers (or equivalent)	Terumo Corporation	704	723	725
	Number of female managers (or equivalent)		62	74	79
	Ratio of female managers (or equivalent) (%)		8.8	10.2	10.9
Number and ratio of female associates newly appointed to managerial positions	Total number of associates newly appointed to managerial positions	Terumo Corporation	68	163	55
	Number of female associates newly appointed to managerial positions		8	26	8
	Ratio of female associates newly appointed to managerial positions (%)		11.8	16.0	14.5
Number and ratio of female chiefs	Total number of chiefs	Terumo Corporation	1,224	1,178	1,164
	Number of female chiefs		201	217	220
	Ratio of female chiefs (%)		16.4	18.4	18.9
Ratio of female associates (%)		Terumo Corporation	18.1	18.9	19.8
Ratio of non-Japanese in Group Executive Officers*2 (%)		Terumo Group	–	33.3	33.3*1
Ratio of non-Japanese in global key positions (%)*1			–	54.0	61.5
Ratio of mid-career hires in Group Executive Officers*2 (%)		Terumo Group	–	50.0	52.6
Ratio of mid-career hires in managerial positions (%)		Terumo Corporation	–	21.5	23.0
Number and ratio of retirees rehired under TES*3	Number of retirees	Terumo Corporation	128	175	106
	Number of retirees rehired under TES		103	136	81
	Ratio of retirees rehired under TES (%)		80.5	77.7	76.4
Ratio of associates with disabilities (%)		Terumo Corporation	2.30	2.26	2.41

*1 The figures indicate the ratios as of April 1 of the subsequent fiscal year (e.g., the figures in the fiscal 2023 columns represent the ratios as of April 1, 2024).
*2 The term "Group Executive Officers" also includes Group Managing Executive Officers.
*3 TES: Terumo Expert Systeme (Reemployment system for retirees)

Work-life balance

		Scope	FY2021	FY2022	FY2023
Number of associates taking maternity and childcare leave	Associates taking maternity leave	Terumo Corporation	44	56	27
	Associates taking spousal childbirth leave		2	0	1
	Associates taking childcare leave (female)		102	95	31
	Associates taking childcare leave (male)		84	104	118
	Ratio of female associates returning to work after childcare leave (%)		100	100	100
	Ratio of male associates returning to work after childcare leave (%)		100	100	100
	Ratio of applicable male associates taking childcare leave (%)		54.9	68.8	76.6
	Average number of childcare leave days taken by applicable male associates		24.9	27.0	32.1
Number of associates taking nursing care leave	Associates taking long-term nursing care leave	Terumo Corporation	3	4	1
	Associates taking leave (nursing care/family illness)		14	20	13
Number of former associates rehired	Registered	Terumo Corporation	3	9	6
	Rehired		0	3	2
Ratio of paid vacation days taken (%)		Terumo Corporation	67.1	71.1	73.2
Average number of paid vacation days taken		Terumo Corporation	13.0	13.9	14.2
Average hours of overtime worked per month		Terumo Corporation	18.7	18.8	18.5

Occupational safety and health

		Scope	FY2021	FY2022	FY2023
Fatal and serious work-related accidents	Fatalities	Terumo Group	–	0	0
	Serious work-related accidents		–	2	2
Accidents resulting in lost work days		Terumo Corporation	0	2	3
Frequency rate		Terumo Corporation	0.00	0.19	0.27
Severity rate		Terumo Corporation	0.00	0.001	0.001

Promotion of “Kenko Keiei” (Health and productivity management)

1. Reduction of ratio of smokers and ratio of associates diagnosed with metabolic

Ratio of smokers and ratio of associates diagnosed with metabolic syndrome*

	Scope	FY2021	FY2022	FY2023
Smokers (%)	Terumo Corporation	22.6	23.3	21.8
Associates diagnosed with metabolic syndrome (%)		29.4	32.4	32.2

* The ratio of associates diagnosed with metabolic syndrome is calculated based on the number of associates whose body metrics have surpassed the threshold for being judged to have metabolic syndrome and those who are at risk of surpassing this threshold.

2. Early diagnosis and treatment of cancer to enable associates to return to the workplace

Cancer screening rates

	Scope	FY2021	FY2022	FY2023
Stomach (%)	Terumo Corporation	97.0	95.0	95.8
Colon (%)		92.6	90.0	91.4
Upper abdomen (%)		96.8	93.6	95.4
Lung (sputum) (%)		43.1	40.7	46.6
PSA (%)		96.9	93.6	95.6
Breast (%)		67.0	63.3	70.2
Cervix (%)		64.6	62.9	62.1

3. Women’s health

Breast cancer and cervical cancer screening rates

	Scope	FY2021	FY2022	FY2023
Breast (%)	Terumo Corporation	67.0	63.3	70.2
Cervix (%)		64.6	62.9	62.1

Environmental data

CO_2 emissions (Scope 1+2)

		FY2018	FY2021	FY2022	FY2023
Japan (t-CO_2)	Scope 1	42,084	44,680	43,080	42,313
	Scope 2	110,203	94,224	46,910	50,329
	Total	152,287	138,904	89,990	92,643
Overseas (t-CO_2)	Scope 1	18,614	21,987	24,069	21,809
	Scope 2	110,477	97,413	106,277	91,579
	Total	129,091	119,400	130,346	113,388
Total (t-CO_2)	Scope 1	60,698	66,667*	67,148*	64,123*
	Scope 2	220,680	191,637*	153,187*	141,908*
	Total	281,378	258,304*	220,335*	206,031*
Increase/decrease compared to FY2018 (%)		–	-8.2	-21.7	-26.8
Index of emissions per unit of revenue (FY2018=100)		100	78.2	57.2	47.6

* Data assured by a third party

Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Note: CO_2 emissions are calculated by using the CO_2 emission factors for electricity for each fiscal year provided by power companies.

FY2023 CO_2 emissions (Scope 3)

(t-CO_2)

		Emissions volume	Method of calculation
Category 1	Purchased goods and services	835,664	For the Terumo Group in Japan, emissions volume is calculated by multiplying the amounts of purchased components and materials by their respective emission intensities. For the Terumo Group overseas, emissions volume is calculated based on the amount of revenue.
Category 2	Capital goods	232,074	Multiplying emission intensities per capital goods price by annual capital expenditure amounts
Category 3	Fuel- and energy-related activities (not included in Scope 1 or 2)	41,127*	Multiplying amounts of purchased fuel, electricity, and heat by their respective emission intensities
Category 4	Upstream transportation and distribution	73,070	For the Terumo Group in Japan, emissions volume is calculated by multiplying product transportation in ton-kilometers by the emission intensity for each transport type. For the Terumo Group overseas, emissions data is obtained from logistics providers; if this data is unavailable, calculations are made using transportation costs.
Category 5	Waste generated in operations	2,726	Multiplying amounts of waste generated by the emission intensity for each category of waste
Category 6	Business travel	3,988	Multiplying the number of employees by emission intensity per employee
Category 7	Employee commuting	9,217	Multiplying the number of employees by emission intensity per category of work or area classification
Category 8	Upstream leased assets	0	Emissions associated with leased company vehicles and leased office buildings are included under Scope 1 and 2
Category 9	Downstream transportation and distribution	4,323	Multiplying product weight by emission intensities using a standard transportation and distance model
Category 10	Processing of sold products	0	Intra-group processing is included under Scope 1 and 2
Category 11	Use of sold products	6,681	Calculated based on lifespan and electricity consumption of principal medical engineering products (pumps)
Category 12	End-of-life treatment of sold products	170,450	For the Terumo Group in Japan, emissions volume is calculated by multiplying weight of shipped products by emission intensity for waste processing. For the Terumo Group overseas, emissions volume is calculated based on the amount of revenue.
Category 13	Downstream leased assets	0	Emissions associated with products leased to customers are included under "Use of sold products"
Category 14	Franchise	–	Not applicable as facilities classed as franchise operations are not owned
Category 15	Investments	–	Not applicable as no emissions were generated through investments
Total		1,379,319	

* Data assured by a third party

Scope: Terumo Group

Note: The figures above are calculated based on the Basic Guidelines on Accounting for Greenhouse Gas Emissions Throughout the Supply Chain (ver. 2.6) compiled by the Ministry of the Environment and the Ministry of Economy, Trade and Industry.

CO_2 emissions (Scope 3)

	FY2021	FY2022	FY2023
Index of emissions per unit of revenue (FY2018 = 100)	84.1	85.3	75.6

Scope: Terumo Group
Note: The figures above are calculated based on the Basic Guidelines on Accounting for Greenhouse Gas Emissions Throughout the Supply Chain (ver. 2.6) compiled by the Ministry of the Environment and the Ministry of Economy, Trade and Industry. The calculation method for certain data has been updated to enhance accuracy. Consequently, historical data has also been adjusted to align with this new calculation method.

Energy consumption

Fuel type	FY2021	FY2022	FY2023
Electricity (MWh)	479,161	520,938*	522,581*
Gas (MWh)	316,449	318,358*	319,551*
LPG (MWh)	19,204	19,044*	19,632*
Heavy oil (MWh)	6,182	9,017*	8,733*
Diesel oil (MWh)	963	1,619*	2,156*
Steam (MWh)	31,925	32,448*	28,946*
Steam [excluding steam for industrial use], hot water, and cold water (MWh)	0	1,509*	1,242*
Gasoline (MWh)	14,442	12,157*	10,990*
Heating oil (MWh)	287	1*	0*
Cold water (MWh)	0	171*	151*
Total (MWh)	868,612	915,262*	913,984*
Index of consumption per unit of revenue (FY2018 = 100)	90.9	82.0	73.0

* Data assured by a third party
Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Renewable energy use

	FY2021	FY2022	FY2023
Renewable energy use (MWh)	50,595	167,463*1	195,894*1
Ratio of renewable energy use (%)*2	10.6	32.1*1	37.5*1

*1 Data assured by a third party
*2 The ratio of renewable energy use to total electricity use
Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Total waste volume and recycling rate

		FY2021	FY2022	FY2023
Japan	Total waste (t)	11,408	11,759	11,727
	Hazardous waste (t)*	968	1,433	1,419
	Volume recycled (t)	11,223	11,569	11,487
	Recycling rate (%)	98.4	98.4	98.0
Overseas	Total waste (t)	10,264	12,365	12,811
	Hazardous waste (t)	1,061	1,387	1,732
	Volume recycled (t)	8,280	10,231	10,417
	Recycling rate (%)	80.7	82.7	81.3
Total	Total waste (t)	21,672	24,124	24,538
	Hazardous waste (t)	2,029	2,819	3,151
	Volume recycled (t)	19,503	21,800	21,904
	Recycling rate (%)	90.0	90.4	89.3

*The volume of specially controlled industrial waste as prescribed by Japan's Waste Management and Public Cleansing Act.
Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Final waste disposal

	FY2021	FY2022	FY2023
Total waste (t)	11,408	11,759	11,727
Final waste disposal (t)	15	14	12
Ratio of final waste disposal to total waste (%)	0.14	0.12	0.10

Scope: Terumo Group business sites in Japan

Collection and recycling of small rechargeable batteries

	FY2021	FY2022	FY2023
Nickel-cadmium batteries (kg)	1,598	1,327	869
Nickel-metal hydride batteries (kg)	2,869	2,494	2,437
Lithium-ion batteries (kg)	1,424	1,716	1,947
Sealed lead-acid batteries (kg)	112	228	291

Scope: Terumo Group business sites in Japan

Water use (water withdrawal) volume

	FY2021	FY2022	FY2023
Japan (1,000m^3)	3,617	3,738	3,881
Overseas (1,000m^3)	1,310	1,425	1,250
Total (1,000m^3)	4,927	5,162	5,131
Index of water use per unit of revenue (FY2018 = 100)	77.4	69.5	61.5

Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Water discharge volume

	FY2021	FY2022	FY2023
Japan (1,000m^3)	2,620	2,836	2,946
Overseas (1,000m^3)	1,115	1,195	1,051
Total (1,000m^3)	3,736	4,031	3,996

Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

Chlorofluorocarbons emissions

	FY2021	FY2022	FY2023
Emissions (t)	971.8	365.3	326.4

Scope: Terumo Group business sites in Japan

Major violations of environmental laws and regulations (air and water pollution, etc.)

	FY2021	FY2022	FY2023
Total amount of fines (billion yen)	0	0	0
Total number of penalties other than fines	0	0	0

Scope: Terumo Group business sites in Japan and manufacturing and R&D sites overseas

FY2023 site data (Manufacturing and R&D sites)

Region	Site	Location	CO_2 emissions [Scope 1+2] (t-CO_2)	Water Use (1,000m^3)	Total waste emissions (t)	Recycled amount (t)
Japan	Fujinomiya Factory	Fujinomiya, Shizuoka	28,641	1,892	2,580	2,578
	Ashitaka Factory	Fujinomiya, Shizuoka	14,472	492	2,892	2,830
	Kofu Factory	Nakakoma, Yamanashi	24,877	1,122	4,383	4,241
	ME Center	Suntou, Shizuoka	199	2	74	74
	R&D Center (Shonan Center)	Ashigarakami, Kanagawa	3,761	70	220	193
	Terumo Clinical Supply Co., Ltd.	Kakamigahara, Gifu	444	4	34	34
	Terumo Yamaguchi Corporation	Yamaguchi, Yamaguchi	16,771	292	1,450	1,444
Americas	Terumo Medical Corp. (Elkton Factory)	Maryland, USA	8,464	53	501	347
	Terumo Cardiovascular Systems Corp. (Elkton Factory)	Maryland, USA	4,998	29	586	242
	Terumo Cardiovascular Systems Corp. (Ann Arbor Factory) and Terumo Heart, Inc.	Michigan, USA	2,530	0.2	31	17
	MicroVention, Inc.	California, USA	1,694	13	441	253
	Terumo BCT, Inc. (Lakewood Factory)	Colorado, USA	9,306	59	680	328
	Terumo BCT, Inc. (Littleton Factory)	Colorado, USA	3,505	9	557	309
	Bolton Medical, Inc.	Florida, USA	558	4	450	294
	Terumo Puerto Rico LLC	Commonwealth of Puerto Rico	1,032	2	75	37
	MicroVention Costa Rica, S.r.l.	San Jose, Costa Rica	137	36	724	713
	TFB Manufacturing S.r.l. (Terumo BCT Costa Rica Factory)	Cartago, Costa Rica	34	20	1,013	1,013
	Terumo Cardiovascular Costa Rica LLC, S.r.l.	Cartago, Costa Rica	28	7	352	310
	Kalila Medical, Inc.	California, USA	97	2	44	22
Europe	Terumo Europe NV	Leuven, Belgium	3,005	35	521	519
	Vascutek Ltd.	Glasgow, UK	959	32	214	214
	Terumo BCT, Ltd.	Larne, UK	2,738	72	594	593
Asia	Terumo Medical Products (Hangzhou) Co., Ltd.	Zhejiang, China	14,015	231	1,211	1,169
	Terumo (Philippines) Corp.	Laguna, Philippines	28,287	274	1,771	1,611
	Terumo Penpol Pvt. Ltd.	Kerala, India	11,254	43	874	717
	Terumo Vietnam Co., Ltd.	Hanoi, Vietnam	4,036	217	780	671
	Terumo BCT Vietnam Co., Ltd.	Dong Nai, Vietnam	14,586	101	1,373	1,022
	Essen Technology (Beijing) Co., Ltd.	Beijing, China	2,124	12	17	17

Material flow

INPUT

Energy

Electricity	212 GWh
City gas	16 MNm^3
LPG	12 t
Heavy oil	1 kl
Diesel oil	8 kl
Gasoline	989 kl
Cold water	458 GJ
Steam	3,757 GJ

Resources

Industrial water	2,052 thousand m^3
Ground water	1,532 thousand m^3
Paper	17.26 million sheets

R&D/ Manufacturing/ Sales

OUTPUT

Atmosphere

CO_2	75 thousand t-CO_2
Nitrogen oxide	12 t
Sulfur oxide	0 t

Bodies of water

Wastewater volume	2,694 thousand m^3
Biochemical oxygen demand	7.8 t

Waste

Waste generated	10,206 t
Recycled	9,972 t
Landfill	12 t

INPUT

Energy

Diesel oil	135 TJ
Heavy oil	6 TJ
Jet fuel	7 TJ

Distribution (contracted)

OUTPUT

Atmosphere

CO_2	10 thousand t-CO_2

Scope: Terumo Corporation business sites in Japan
Note 1: The volume of energy use and CO_2 emissions to the atmosphere associated with distribution indicates the volume resulting from distribution in Japan.
2: The volume of energy use associated with distribution is the converted value calculated using the ton-kilometer method.
3: The CO_2 emissions factors for electricity are the fiscal 2023 factors provided by power companies.

Independent assurance statement

INDEPENDENT ASSURANCE STATEMENT

To: Terumo Corporation

Bureau Veritas Japan Co., Ltd. (Bureau Veritas) has been engaged by Terumo Corporation (Terumo) to provide limited assurance over sustainability information selected by Terumo. This Assurance Statement applies to the related information included within the scope of work described below.

Selected information

The scope of our work was limited to assurance over the following information included within Terumo Report 2024 for the period of April 1, 2023 through March 31, 2024 (the 'Selected Information'):

1) The following environmental data through business operations of Terumo Group's 49 sites within Japan (six factories, two R&D bases, two headquarters offices, 35 sales offices, one facility for simulated medical experience and three subsidiary offices) and 21 sites outside Japan (20 factories and one R&D base)
   - Scope 1 emissions (CO_2 from energy use)
   - Scope 2 emissions (market-based)
   - Total of Scope 1 emissions (CO_2 from energy use) and Scope 2 emissions (market-based)
   - Scope 3 emissions (Category 3)
   - Energy consumption
   - Renewable energy use
   - Ratio of renewable energy use to total electricity use

Reporting criteria

The Selected Information needs to be read and understood together with the internal reporting criteria defined by Terumo.

Limitations and Exclusions

Excluded from the scope of our work is any verification of information relating to:
- Activities outside the defined verification period;
- Any other information which is not listed as the 'Selected Information'.

This limited assurance engagement relies on a risk based selected sample of sustainability data and the associated limitations that this entails. This independent statement should not be relied upon to detect all errors, omissions or misstatements that may exist.

Responsibilities

This preparation and presentation of the Selected Information are the sole responsibility of the management of Terumo.
Bureau Veritas was not involved in the drafting of the Selected Information or of the Reporting Criteria.
Our responsibilities were to:

Ref: BVJ_ 21827336

- obtain limited assurance about whether the Selected Information has been prepared in accordance with the Reporting Criteria;
- form an independent conclusion based on the assurance procedures performed and evidence obtained; and
- report our conclusions to the Directors of Terumo.

Assessment Standard

We performed our work in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance Engagements Other than Audits or Reviews of Historical Financial Information (Effective for assurance reports dated on or after December 15, 2015) issued by the International Auditing and Assurance Standards Board.
For the greenhouse gas emissions data, we undertook verification in accordance with the requirements of ISO14064-3 (2019): Greenhouse gases - Part 3: Specification with guidance for the verification and validation of greenhouse gas statements.

Summary of work performed

As part of our independent verification, our work included:
1. Conducting interviews with relevant personnel of Terumo;
2. Reviewing the data collection and consolidation processes used to compile Selected Information, including assessing assumptions made, and the data scope and reporting boundaries;
3. Reviewing documentary evidence provided by Terumo;
4. Reviewing Terumo systems for quantitative data aggregation and analysis;
5. Verification of sample of data back to source by carrying out four physical site visits selected on a risk based bases at the following locations:
   [Site visit]
   - Terumo Corporation Head Office
   - Terumo Clinical Supply Co., Ltd.
   - Terumo Corporation Ashitaka Factory
   - Terumo Vietnam Co., Ltd.
6. Reperforming a selection of aggregation calculations of the Selected Information;
7. Comparing the Selected Information to the prior year amounts taking into consideration changes in business activities, acquisitions and disposals.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement.
Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Verified greenhouse gas emissions

We performed our verification work on greenhouse gas emissions data in accordance with the requirements of ISO14064-3(2019).
Verified data in greenhouse gas assertion made by Terumo are as follows.

Ref: BVJ_ 21827336

	Greenhouse gas emissions [t-CO_2e]	Boundary
Scope 1 (CO_2 from energy use)	64,123	Greenhouse gas emissions from fuel, and electricity, steam chilled/hot water through business operations of Terumo Group's 49 sites within Japan (six factories, two R&D bases, two headquarters offices, 35 sales offices, one facility for simulated medical experience and three subsidiary offices) and 21 sites outside Japan (20 factories and one R&D base) for the period of April 1, 2023 through March 31, 2024
Scope 2 (market-based)	141,908	
Scope 3 Category 3	41,127	Upstream emissions from purchased fuel, and electricity, steam chilled/hot water for business operations of Terumo Group's 49 sites within Japan (six factories, two R&D bases, two headquarters offices, 35 sales offices, one facility for simulated medical experience and three subsidiary offices) and 21 sites outside Japan (20 factories and one R&D base) for the period of April 1, 2023 through March 31, 2024

Conclusion

On the basis of our methodology and the activities described above:

- Nothing has come to our attention to indicate that the Selected Information has not been properly prepared, in all material respects, in accordance with the Reporting Criteria;
- It is our opinion that Terumo has established appropriate systems for the collection, aggregation and analysis of quantitative data within the scope of our work.

Statement of Independence, Integrity and Competence

Bureau Veritas is an independent professional services company that specialises in quality, environmental, health, safety and social accountability with over 190 years history. Its assurance team has extensive experience in conducting verification over environmental, social, ethical and health and safety information, systems and processes.

Bureau Veritas operates Quality Management System which complies with the requirements of globally recognized quality management standard, and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards, quality reviews and applicable legal and regulatory requirements which we consider to be equivalent to ISQM 1 & 2[1].

Bureau Veritas has implemented and applies a Code of Ethics, which meets the requirements of the International Federation of Inspections Agencies (IFIA)[2], across the business to ensure that its employees maintain integrity, objectivity, professional competence and due care, confidentiality, professional behavior and high ethical standards in their day-to-day business activities. We consider this to be equivalent to the requirements of the IESBA code[3].

[1] International Standard on Quality Management 1 & 2
[2] International Federation of Inspection Agencies - Compliance Code - Third Edition
[3] Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants

Ref: BVJ_ 21827336

Bureau Veritas Japan Co., Ltd.
Yokohama, Japan
September 24, 2024

Ref: BVJ_ 21827336

Corporate information

Corporate information (As of March 31, 2024)

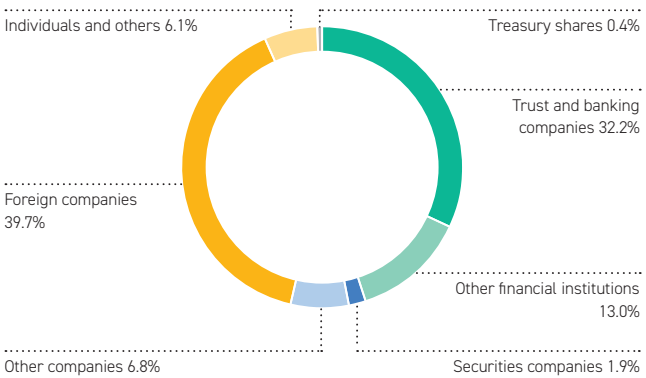
Company name	Terumo Corporation
Founded	September 17, 1921
Tokyo Office	Tokyo Opera City Tower, 3-20-2 Nishi Shinjuku, Shinjuku-ku, Tokyo 163-1450, Japan
Head office	2-44-1 Hatagaya, Shibuya-ku, Tokyo 151-0072, Japan
Share capital	¥38.7 billion
Employees	Consolidated: 30,591 Non-Consolidated: 5,554
Fiscal year	From April 1 to March 31

Stock information (As of March 31, 2024)

Security code	4543
Stock exchange listing	Prime Section of the Tokyo Stock Exchange
Number of shares authorized	3,038,000,000*1
Number of shares issued	745,348,640*1
Number of shareholders	45,195
Trading unit	100

*1 A 2-for-1 stock split was carried out for Terumo common shares effective on April 1, 2024. The figures show the number of shares before the stock split.

Composition of issued shares by type of shareholder



Major shareholders (Top 10 shareholders)*2

Shareholders	Number of shares held (thousands)	Percentage of total shares issued (%)
The Master Trust Bank of Japan, Ltd. (Trust Account)	153,483	20.7
Custody Bank of Japan, Ltd. (Trust Account)	67,140	9.0
The Dai-ichi Life Insurance Company, Limited*3	30,163	4.1
Meiji Yasuda Life Insurance Company	24,422	3.3
TERUMO LIFE SCIENCE FOUNDATION	14,720	2.0
STATE STREET BANK WEST CLIENT - TREATY 505234	12,887	1.7
SSBTC CLIENT OMNIBUS ACCOUNT	12,176	1.6
STATE STREET BANK AND TRUST COMPANY 505223	12,024	1.6
Mizuho Bank, Ltd.*4	11,436	1.5
GOVERNMENT OF NORWAY	10,803	1.5

*2 Terumo owns 2,965,202 treasury shares at the end of March 2024. The percentage is calculated by deducting the treasury stocks.
*3 Shares held by The Dai-ichi Life Insurance Company, Limited include 6,000 thousand shares contributed by that company to a retirement benefit trust.
*4 Shares held by Mizuho Bank, Ltd. include 8,736 thousand shares contributed by that company to a retirement benefit trust.

Terumo's corporate website

Terumo's corporate website provides information on the company and its businesses, the latest financial information, news releases, and other information.



Terumo Global website
https://www.terumo.com/



Investor relations website
https://www.terumo.com/investors



Sustainability website
https://www.terumo.com/sustainability

Terumo Group official LinkedIn
https://www.linkedin.com/company/terumo-global/

All brand names are trademarks or registered trademarks owned by TERUMO CORPORATION, its affiliates, or unrelated third parties.

TERUMO

TERUMO CORPORATION

Tokyo Office
Tokyo Opera City Tower, 3-20-2 Nishi Shinjuku, Shinjuku-ku, Tokyo 163-1450, Japan

©Terumo Corporation January 2025